

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-Q

☒ QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the quarterly period ended June 30, 2025

OR

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from _____ to _____.

Commission file number: 001-35346

• **A P T I V** •

APTIV PLC
(Exact name of registrant as specified in its charter)

Jersey
(State or other jurisdiction of incorporation or organization)

98-1824200
(I.R.S. Employer Identification No.)

Spitalstrasse 5, 8200 Schaffhausen, Switzerland
(Address of principal executive offices, including zip code)

+41 52 580 96 00

(Registrant's telephone number, including area code)

(Former name, former address and former fiscal year, if changed since last report) N/A

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading symbol(s)	Name of each exchange on which registered
Ordinary Shares, \$0.01 par value per share	APTV	New York Stock Exchange
1.600% Senior Notes due 2028	APTV	New York Stock Exchange
4.350% Senior Notes due 2029	APTV	New York Stock Exchange
4.650% Senior Notes due 2029	APTV	New York Stock Exchange
3.250% Senior Notes due 2032	APTV	New York Stock Exchange
5.150% Senior Notes due 2034	APTV	New York Stock Exchange
4.250% Senior Notes due 2036	APTV	New York Stock Exchange
4.400% Senior Notes due 2046	APTV	New York Stock Exchange
5.400% Senior Notes due 2049	APTV	New York Stock Exchange
3.100% Senior Notes due 2051	APTV	New York Stock Exchange
4.150% Senior Notes due 2052	APTV	New York Stock Exchange
5.750% Senior Notes due 2054	APTV	New York Stock Exchange
6.875% Fixed-to-Fixed Reset Rate Junior Subordinated Notes due 2054	APTV	New York Stock Exchange

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒
The number of the registrant's ordinary shares outstanding, \$0.01 par value per share as of July 25, 2025, was 217,759,811.

APTIV PLC

INDEX

	<u>Page</u>
Part I - Financial Information	
Item 1.	Financial Statements
	Consolidated Statements of Operations for the Three and Six Months Ended June 30, 2025 and 2024 (Unaudited) 4
	Consolidated Statements of Comprehensive Income for the Three and Six Months Ended June 30, 2025 and 2024 (Unaudited) 5
	Consolidated Balance Sheets as of June 30, 2025 (Unaudited) and December 31, 2024 6
	Consolidated Statements of Cash Flows for the Six Months Ended June 30, 2025 and 2024 (Unaudited) 7
	Consolidated Statements of Redeemable Noncontrolling Interest and Shareholders' Equity for the Three and Six Months Ended June 30, 2025 and 2024 (Unaudited) 8
	Notes to Consolidated Financial Statements (Unaudited) 10
	Cautionary Statement Regarding Forward Looking Information 51
Item 2.	Management's Discussion and Analysis of Financial Condition and Results of Operations 52
Item 3.	Quantitative and Qualitative Disclosures About Market Risk 75
Item 4.	Controls and Procedures 75
Part II - Other Information	
Item 1.	Legal Proceedings 76
Item 1A.	Risk Factors 76
Item 2.	Unregistered Sales of Equity Securities and Use of Proceeds 76
Item 5.	Other Information 76
Item 6.	Exhibits 77
	Signatures 78

PART I. FINANCIAL INFORMATION

ITEM 1. FINANCIAL STATEMENTS

APTIV PLC CONSOLIDATED STATEMENTS OF OPERATIONS (Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
(in millions, except per share amounts)				
Net sales	\$ 5,208	\$ 5,051	\$ 10,033	\$ 9,952
Operating expenses:				
Cost of sales	4,211	4,083	8,116	8,106
Selling, general and administrative	406	405	790	771
Amortization	53	52	104	106
Restructuring (Note 7)	52	70	89	109
Total operating expenses	4,722	4,610	9,099	9,092
Operating income	486	441	934	860
Interest expense	(91)	(64)	(184)	(129)
Other income, net (Note 16)	12	10	12	25
Net gain on equity method transactions (Note 21)	46	641	46	641
Income before income taxes and equity loss	453	1,028	808	1,397
Income tax expense (Note 11)	(45)	(51)	(401)	(127)
Income before equity loss	408	977	407	1,270
Equity loss, net of tax	(11)	(34)	(21)	(103)
Net income	397	943	386	1,167
Net income attributable to noncontrolling interest	5	5	6	11
Net loss attributable to redeemable noncontrolling interest	(1)	—	(2)	—
Net income attributable to Aptiv	\$ 393	\$ 938	\$ 382	\$ 1,156
Basic net income per share:				
Basic net income per share attributable to Aptiv	\$ 1.80	\$ 3.47	\$ 1.71	\$ 4.24
Weighted average number of basic shares outstanding	217.73	270.19	223.91	272.69
Diluted net income per share:				
Diluted net income per share attributable to Aptiv	\$ 1.80	\$ 3.47	\$ 1.70	\$ 4.24
Weighted average number of diluted shares outstanding	218.11	270.43	224.32	272.87

See notes to consolidated financial statements.

APTIV PLC
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
	(in millions)			
Net income	\$ 397	\$ 943	\$ 386	\$ 1,167
Other comprehensive income (loss):				
Currency translation adjustments	228	(87)	333	(158)
Net change in unrecognized gain (loss) on derivative instruments, net of tax (Note 14)	71	(101)	133	(86)
Employee benefit plans adjustment, net of tax	(1)	1	(1)	1
Net change in unrealized gain on available-for-sale debt securities, net of tax (Note 15)	9	—	9	—
Other comprehensive income (loss)	307	(187)	474	(243)
Comprehensive income	704	756	860	924
Comprehensive income attributable to noncontrolling interests	6	6	7	11
Comprehensive income (loss) attributable to redeemable noncontrolling interest	8	(2)	11	(4)
Comprehensive income attributable to Aptiv	\$ 690	\$ 752	\$ 842	\$ 917

See notes to consolidated financial statements.

APTIV PLC
CONSOLIDATED BALANCE SHEETS

	June 30, 2025 (Unaudited)	December 31, 2024
	(in millions)	
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 1,448	\$ 1,573
Restricted cash	1	1
Accounts receivable, net of allowance for doubtful accounts of \$47 million and \$37 million, respectively (Note 2)	3,717	3,261
Inventories (Note 3)	2,475	2,320
Other current assets (Note 4)	732	671
Total current assets	8,373	7,826
Long-term assets:		
Property, net	3,754	3,698
Operating lease right-of-use assets	513	495
Investments in affiliates (Note 21)	1,311	1,433
Intangible assets, net (Note 2)	2,105	2,140
Goodwill (Note 2)	5,248	5,024
Other long-term assets (Note 4)	2,638	2,842
Total long-term assets	15,569	15,632
Total assets	\$ 23,942	\$ 23,458
LIABILITIES, REDEEMABLE NONCONTROLLING INTEREST AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Short-term debt (Note 8)	\$ 32	\$ 509
Accounts payable	3,039	2,870
Accrued liabilities (Note 5)	1,680	1,752
Total current liabilities	4,751	5,131
Long-term liabilities:		
Long-term debt (Note 8)	7,758	7,843
Pension benefit obligations	426	374
Long-term operating lease liabilities	422	412
Other long-term liabilities (Note 5)	610	613
Total long-term liabilities	9,216	9,242
Total liabilities	13,967	14,373
Commitments and contingencies (Note 10)		
Redeemable noncontrolling interest (Note 2)	103	92
Shareholders' equity:		
Preferred shares, \$0.01 par value per share, 50,000,000 shares authorized, none issued and outstanding	—	—
Ordinary shares, \$0.01 par value per share, 1,200,000,000 shares authorized, 217,759,811 and 235,035,739 issued and outstanding as of June 30, 2025 and December 31, 2024, respectively	2	2
Additional paid-in-capital	3,605	2,966
Retained earnings	6,797	7,002
Accumulated other comprehensive loss (Note 13)	(714)	(1,174)
Total Aptiv shareholders' equity	9,690	8,796
Noncontrolling interest	182	197
Total shareholders' equity	9,872	8,993
Total liabilities, redeemable noncontrolling interest and shareholders' equity	\$ 23,942	\$ 23,458

See notes to consolidated financial statements.

APTIV PLC
CONSOLIDATED STATEMENTS OF CASH FLOWS (Unaudited)

	Six Months Ended June 30,	
	2025	2024
	(in millions)	
Cash flows from operating activities:		
Net income	\$ 386	\$ 1,167
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	388	372
Amortization	104	106
Amortization of deferred debt issuance costs	5	4
Restructuring expense, net of cash paid	2	(34)
Deferred income taxes	306	31
Pension and other postretirement benefit expenses	23	23
Loss from equity method investments, net of dividends received	29	110
Loss on extinguishment of debt	3	—
(Gain) loss on sale of assets	(4)	1
Share-based compensation	71	57
Net gain on equity method transactions	(46)	(641)
Changes in operating assets and liabilities:		
Accounts receivable, net	(456)	(46)
Inventories	(155)	(5)
Other assets	(112)	(30)
Accounts payable	242	(110)
Accrued and other long-term liabilities	(18)	(83)
Other, net	24	(22)
Pension contributions	(9)	(13)
Net cash provided by operating activities	783	887
Cash flows from investing activities:		
Capital expenditures	(346)	(491)
Proceeds from sale of property	2	2
Proceeds from asset sale	4	—
Proceeds from sale of technology investments	1	—
Cost of technology investments	(42)	(40)
Proceeds from the sale of equity method investments	164	448
Purchase of short-term investments	—	(748)
Settlement of derivatives	5	—
Net cash used in investing activities	(212)	(829)
Cash flows from financing activities:		
Net repayments under other short-term debt agreements	(458)	(11)
Repayment of term loans	(250)	—
Proceeds from the issuance of senior and junior notes, net of issuance costs (net of \$0 and \$7 issuance costs and \$0 and \$2 discount, respectively)	—	798
Fees related to modification of debt agreements	(5)	—
Repurchase of ordinary shares	—	(1,030)
Taxes withheld and paid on employees' restricted share awards	(19)	(21)
Net cash used in financing activities	(732)	(264)
Effect of exchange rate fluctuations on cash, cash equivalents and restricted cash	36	(25)
Decrease in cash, cash equivalents and restricted cash	(125)	(231)
Cash, cash equivalents and restricted cash at beginning of the period	1,574	1,640
Cash, cash equivalents and restricted cash at end of the period	\$ 1,449	\$ 1,409
	June 30,	
	2025	2024
	(in millions)	
Supplemental non-cash investing activities:		
Capital expenditures included in accounts payable	\$ 149	\$ 167

See notes to consolidated financial statements.

APTIV PLC
CONSOLIDATED STATEMENTS OF REDEEMABLE NONCONTROLLING INTEREST AND SHAREHOLDERS' EQUITY (Unaudited)
Three Months Ended June 30,

Three Months Ended June 30,											
	Redeemable Noncontrolling Interest	Ordinary Shares		Preferred Shares		Additional Paid in Capital	Retained Earnings	Accumulated Other Comprehensive Loss	Total Aptiv Shareholders' Equity	Noncontrolling Interest	Total Shareholders' Equity
		Number of shares	Amount of shares	Number of shares	Amount of shares						
2025		(in millions)									
Balance at March 31, 2025	\$ 95	224	\$ 2	—	\$ —	\$ 3,372	\$ 6,598	\$ (1,011)	\$ 8,961	\$ 198	\$ 9,159
Net income	—	—	—	—	—	—	393	—	393	—	393
Other comprehensive income	9	—	—	—	—	—	—	297	297	1	298
Net (loss) income attributable to noncontrolling interest	(1)	—	—	—	—	—	—	—	—	5	5
Dividend payments of consolidated affiliates to minority shareholders	—	—	—	—	—	—	—	—	—	(22)	(22)
Repurchase of ordinary shares	—	(6)	—	—	—	(56)	(194)	—	(250)	—	(250)
Forward contracts for share repurchases	—	—	—	—	—	250	—	—	250	—	250
Share-based compensation	—	—	—	—	—	39	—	—	39	—	39
Balance at June 30, 2025	\$ 103	218	\$ 2	—	\$ —	\$ 3,605	\$ 6,797	\$ (714)	\$ 9,690	\$ 182	\$ 9,872
2024											
Balance at March 31, 2024	\$ 97	272	\$ 3	—	\$ —	\$ 3,968	\$ 7,847	\$ (698)	\$ 11,120	\$ 202	\$ 11,322
Net income	—	—	—	—	—	—	938	—	938	—	938
Other comprehensive (loss) income	(2)	—	—	—	—	—	—	(186)	(186)	1	(185)
Net income attributable to noncontrolling interest	—	—	—	—	—	—	—	—	—	5	5
Taxes withheld on employees' restricted share award vestings	—	—	—	—	—	(1)	—	—	(1)	—	(1)
Repurchase of ordinary shares	—	(6)	—	—	—	(50)	(384)	—	(434)	—	(434)
Share-based compensation	—	1	—	—	—	30	—	—	30	—	30
Balance at June 30, 2024	\$ 95	267	\$ 3	—	\$ —	\$ 3,947	\$ 8,401	\$ (884)	\$ 11,467	\$ 208	\$ 11,675

See notes to consolidated financial statements.

APTIV PLC
CONSOLIDATED STATEMENTS OF REDEEMABLE NONCONTROLLING INTEREST AND SHAREHOLDERS' EQUITY (Unaudited)
(Continued)

Six Months Ended June 30,

	Redeemable Noncontrolling Interest	Ordinary Shares		Preferred Shares		Additional Paid in Capital	Retained Earnings	Accumulated Other Comprehensive Loss	Total Aptiv Shareholders' Equity	Noncontrolling Interest	Total Shareholders' Equity
		Number of shares	Amount of shares	Number of shares	Amount of shares						
		(in millions)									
2025											
Balance at January 1, 2025	\$ 92	235	\$ 2	—	\$ —	\$ 2,966	\$ 7,002	\$ (1,174)	\$ 8,796	\$ 197	\$ 8,993
Net income	—	—	—	—	—	—	382	—	382	—	382
Other comprehensive income	13	—	—	—	—	—	—	460	460	1	461
Net (loss) income attributable to noncontrolling interest	(2)	—	—	—	—	—	—	—	—	6	6
Dividend payments of consolidated affiliates to minority shareholders	—	—	—	—	—	—	—	—	—	(22)	(22)
Taxes withheld on employees' restricted share award vestings	—	—	—	—	—	(19)	—	—	(19)	—	(19)
Repurchase of ordinary shares	—	(18)	—	—	—	(163)	(587)	—	(750)	—	(750)
Forward contracts for share repurchases	—	—	—	—	—	750	—	—	750	—	750
Share-based compensation	—	1	—	—	—	71	—	—	71	—	71
Balance at June 30, 2025	\$ 103	218	\$ 2	—	\$ —	\$ 3,605	\$ 6,797	\$ (714)	\$ 9,690	\$ 182	\$ 9,872
2024											
Balance at January 1, 2024	\$ 99	279	\$ 3	—	\$ —	\$ 4,028	\$ 8,162	\$ (645)	\$ 11,548	\$ 197	\$ 11,745
Net income	—	—	—	—	—	—	1,156	—	1,156	—	1,156
Other comprehensive loss	(4)	—	—	—	—	—	—	(239)	(239)	—	(239)
Net income attributable to noncontrolling interest	—	—	—	—	—	—	—	—	—	11	11
Taxes withheld on employees' restricted share award vestings	—	—	—	—	—	(21)	—	—	(21)	—	(21)
Repurchase of ordinary shares	—	(13)	—	—	—	(117)	(917)	—	(1,034)	—	(1,034)
Share-based compensation	—	1	—	—	—	57	—	—	57	—	57
Balance at June 30, 2024	\$ 95	267	\$ 3	—	\$ —	\$ 3,947	\$ 8,401	\$ (884)	\$ 11,467	\$ 208	\$ 11,675

See notes to consolidated financial statements.

APTIV PLC
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Unaudited)

1. GENERAL

General and basis of presentation—In December 2024, Old Aptiv (as defined below), a public limited company formed under the laws of Jersey on May 19, 2011, completed its previously announced reorganization transaction (the “Transaction,” or the “reorganization transaction”), in which Old Aptiv established a new publicly-listed Jersey parent company, Aptiv Holdings Limited (“New Aptiv”), which is resident for tax purposes in Switzerland. As a result of the Transaction, all issued and outstanding ordinary shares of Old Aptiv were exchanged on a one-for-one basis for newly issued ordinary shares of New Aptiv. Following consummation of the Transaction, holders of Old Aptiv shares became ordinary shareholders of New Aptiv, Old Aptiv became a wholly-owned subsidiary of New Aptiv and New Aptiv was renamed “Aptiv PLC.” The previous publicly-listed Jersey parent company, which was an Irish tax resident, is referred to as “Old Aptiv” throughout this Quarterly Report on Form 10-Q. New Aptiv’s ordinary shares are publicly traded on the New York Stock Exchange (“NYSE”) under the symbol “APTIV,” the same symbol under which the Old Aptiv shares were previously listed. Aptiv PLC remains a public limited company incorporated under the laws of Jersey, and continues to be subject to U.S. Securities and Exchange Commission reporting requirements.

In December 2024, following the completion of the Transaction, Old Aptiv merged with and into Aptiv Swiss Holdings Limited (“Aptiv Swiss Holdings”), a newly formed Jersey incorporated private limited company, and a direct, wholly-owned subsidiary of New Aptiv, with Aptiv Swiss Holdings surviving as a direct, wholly-owned subsidiary of New Aptiv, and Old Aptiv ceasing to exist. Except as otherwise noted, all property, rights, privileges, powers and franchises of Old Aptiv vested in Aptiv Swiss Holdings, and all debts, liabilities and duties of Old Aptiv became debts, liabilities and duties of Aptiv Swiss Holdings.

In connection with the Transaction, New Aptiv assumed Old Aptiv’s long-term incentive plans and its existing obligations in connection with awards granted thereunder, and Aptiv Swiss Holdings (i) entered into a supplemental indenture to each indenture in which Aptiv Swiss Holdings assumed all of Old Aptiv’s obligations under each series of Old Aptiv’s outstanding Notes and (ii) entered into an assumption and/or supplement agreement relating to the Credit Agreement in which New Aptiv assumed all of Old Aptiv’s obligations under the Credit Agreement as the “parent entity” thereunder. In addition, New Aptiv (i) entered into a supplemental indenture to each indenture in which New Aptiv guaranteed the outstanding Notes and (ii) entered into a guarantee joinder relating to the Credit Agreement in which New Aptiv guaranteed the obligations under the Credit Agreement. Following the reorganization transaction, Aptiv Swiss Holdings (i) replaced Old Aptiv as a guarantor of the borrowers’ obligations under the Credit Agreement, and (ii) succeeded to Old Aptiv as an obligor under the senior notes and the junior notes, and New Aptiv became a guarantor under the Credit Agreement (and will act as the “parent entity” thereunder) and the indentures.

The Transaction described above was accounted for as a reorganization between entities under common control. As a result of the Transaction, there were no material changes in Aptiv PLC’s operations or governance. The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”) and all adjustments, consisting of only normal recurring items, which are necessary for a fair presentation, have been included. The consolidated financial statements and notes thereto included in this report should be read in conjunction with Aptiv’s 2024 Annual Report on Form 10-K.

References in this Quarterly Report on Form 10-Q, including the exhibits being filed as part of this report, to “Aptiv PLC,” “Aptiv,” the “Company,” “we,” “us” and “our” refers to Old Aptiv (Aptiv PLC before the Transaction in December 2024) and to New Aptiv (Aptiv PLC after the Transaction in December 2024).

Nature of operations—Aptiv is a global technology company focused on making the world safer, greener and more connected. We deliver end-to-end mobility solutions enabling our customers’ transition to a more electrified, software-defined future. We design and manufacture vehicle components and provide electrical, electronic and active safety technology to the global automotive and commercial vehicle markets, creating the software and hardware foundation for vehicle features and functionality. Aptiv operates manufacturing facilities and technical centers utilizing a regional service model that enables the Company to efficiently and effectively serve its global customers from best cost countries.

On January 22, 2025, the Company announced its intention to pursue a separation of its Electrical Distribution Systems business into a new, independent publicly traded company, through a transaction expected to be treated as a tax-free spin-off to its shareholders (the “Separation”). The Company plans to complete the Separation by March 31, 2026, subject to customary closing conditions. Refer to Note 22. Separation of Electrical Distribution Systems for additional detail.

In connection with the Separation, in the first quarter of 2025, Aptiv realigned its business into three reportable operating segments: Electrical Distribution Systems, Engineered Components Group and Advanced Safety and User Experience. Prior period amounts have been adjusted retrospectively to reflect the change in reportable operating segments, consistent with the current year presentation, throughout the consolidated financial statements and the accompanying notes to the consolidated financial statements.

2. SIGNIFICANT ACCOUNTING POLICIES

Consolidation—The consolidated financial statements include the accounts of Aptiv and the subsidiaries in which Aptiv holds a controlling financial or management interest and variable interest entities of which Aptiv has determined that it is the primary beneficiary. Aptiv's share of the earnings or losses of non-controlled affiliates, over which Aptiv exercises significant influence (generally a 20% to 50% ownership interest), is included in the consolidated operating results using the equity method of accounting. When Aptiv does not have the ability to exercise significant influence (generally when ownership interest is less than 20%), investments in non-consolidated affiliates without readily determinable fair value are measured at cost, less impairments, adjusted for observable price changes in orderly transactions for identical or similar investments of the same issuer, while investments in publicly traded equity securities are measured at fair value based on quoted prices for identical assets on active market exchanges as of each reporting date. The Company monitors its investments in affiliates for indicators of other-than-temporary declines in value on an ongoing basis. If the Company determines that such a decline has occurred, an impairment loss is recorded, which is measured as the difference between carrying value and estimated fair value. Estimated fair value is generally determined using an income approach based on discounted cash flows or negotiated transaction values.

Intercompany transactions and balances between consolidated Aptiv businesses have been eliminated.

During the three months ended June 30, 2025, Aptiv received dividends of \$8 million from its equity method investments. During the six months ended June 30, 2024, Aptiv received dividends of \$7 million from its equity method investments. The dividends were recognized as a reduction to the investment and represented a return on investment included in cash flows from operating activities.

Aptiv's investments in publicly traded equity securities totaled \$11 million as of June 30, 2025 and December 31, 2024, and are classified within other long-term assets in the consolidated balance sheets. Aptiv's non-publicly traded investments totaled \$219 million and \$167 million as of June 30, 2025 and December 31, 2024, respectively, and are classified within other long-term assets in the consolidated balance sheets. Refer to Note 21. Investments in Affiliates for further information regarding Aptiv's investments.

In 2022, the Company acquired 85% of the equity interests of Intercable Automotive Solutions S.r.l. ("Intercable Automotive"). Concurrent with the acquisition, the Company entered into an agreement with the noncontrolling interest holders that provides the Company with the right to purchase, and the noncontrolling interest holders with the right to sell, the remaining 15% of Intercable Automotive for cash at a contractually defined value beginning in 2026. As a result of this redemption feature, the Company recorded the redeemable noncontrolling interest at its acquisition-date fair value to temporary equity in the consolidated balance sheet. The redeemable noncontrolling interest is adjusted each reporting period for the income (loss) attributable to the noncontrolling interest, and for any measurement period adjustments necessary to record the redeemable noncontrolling interest at the higher of its redemption value, assuming it was redeemable at the reporting date, or its carrying value. Any measurement period adjustments are recorded to retained earnings, with a corresponding increase or reduction to net income attributable to Aptiv. Redeemable noncontrolling interest was \$103 million and \$92 million as of June 30, 2025 and December 31, 2024, respectively.

Use of estimates—Preparation of consolidated financial statements in conformity with U.S. GAAP requires the use of estimates and assumptions that affect amounts reported therein. Generally, matters subject to estimation and judgment include amounts related to accounts receivable realization, inventory obsolescence, asset impairments, useful lives of intangible and fixed assets, deferred tax asset valuation allowances, income taxes, pension benefit plan assumptions, accruals related to litigation, warranty costs, environmental remediation costs, contingent consideration arrangements, redeemable noncontrolling interest, worker's compensation accruals and healthcare accruals. Due to the inherent uncertainty involved in making estimates, actual results reported in future periods may be based upon amounts that differ from those estimates.

Revenue recognition—Revenue is measured based on consideration specified in a contract with a customer. Customer contracts for production parts generally are represented by a combination of a current purchase order and a current production schedule issued by the customer. Substantially all of the Company's revenue is generated from the sale of manufactured production parts, wherein there is a single performance obligation. Transfer of control and revenue recognition for the Company's sales of production parts generally occurs upon shipment or delivery of the product, which is when title, ownership, and risk of loss pass to the customer and is based on the applicable customer shipping terms. Revenue is measured based on the

transaction price and the quantity of parts specified in a contract with a customer. Refer to Note 20. Revenue for further detail of the Company's accounting for its revenue from sales of production parts.

Customer contracts for software licenses are generally represented by a sales contract or purchase order with contract durations typically ranging from one to three years. The Company recognizes revenue when it satisfies a performance obligation by transferring control over a product or service to a customer. Revenue from software licenses and professional software services is generally recognized at a point in time upon delivery or when the services are provided. Revenue from post delivery support and maintenance for software contracts is generally recognized over time on a ratable basis over the contract term. Certain software license contracts contain multiple performance obligations, for which the Company allocates the contract's transaction price to each performance obligation based on the estimated relative standalone selling price of each distinct performance obligation in the contract. The standalone selling prices are generally determined based on observable inputs, such as the prices of standalone sales and historical contract pricing. Under certain of these arrangements, timing may differ between revenue recognition and billing. Refer to Note 20. Revenue for further detail of the Company's accounting for its revenue from contracts with customers, including contract balances associated with software sales.

From time to time, Aptiv enters into pricing agreements with its customers that provide for price reductions on production parts, some of which are conditional upon achieving certain joint cost saving targets, which are accounted for as variable consideration. In these instances, revenue is recognized based on the agreed-upon price at the time of shipment if available, or in the event the Company concludes that a portion of the revenue for a given part may vary from the purchase order and requires estimation, the Company records consideration at the most likely amount that the Company expects to be entitled to based on historical experience and input from customer negotiations.

Sales incentives and allowances are recognized as a reduction to revenue at the time of the related sale. In addition, from time to time, Aptiv makes payments to customers in conjunction with ongoing business. These payments to customers are generally recognized as a reduction to revenue at the time of the commitment to make these payments. However, certain other payments to customers, or upfront fees, meet the criteria to be considered a cost to obtain a contract as they are directly attributable to a contract, are incremental and management expects the fees to be recoverable.

Aptiv collects and remits taxes assessed by different governmental authorities that are both imposed on and concurrent with a revenue-producing transaction between the Company and the Company's customers. These taxes may include, but are not limited to, sales, use, value-added, and some excise taxes. Aptiv reports the collection of these taxes on a net basis (excluded from revenues). Shipping and handling fees billed to customers are included in net sales, while costs of shipping and handling are included in cost of sales. Refer to Note 20. Revenue for further information.

Net income per share—Basic net income per share is computed by dividing net income attributable to Aptiv by the weighted average number of ordinary shares outstanding during the period. Diluted net income per share reflects the weighted average dilutive impact of all potentially dilutive securities from the date of issuance and is computed using the treasury stock method by dividing net income attributable to Aptiv by the diluted weighted average number of ordinary shares outstanding during the period. Unless otherwise noted, share and per share amounts included in these notes are on a diluted basis. Refer to Note 12. Shareholders' Equity and Net Income Per Share for additional information including the calculation of basic and diluted net income per share.

Cash and cash equivalents—Cash and cash equivalents are defined as short-term, highly liquid investments with original maturities of three months or less, for which the book value approximates fair value.

Restricted cash—Restricted cash primarily includes balances on deposit at financial institutions that have issued letters of credit in favor of Aptiv and cash deposited into escrow accounts.

Accounts receivable—Aptiv enters into agreements to sell certain of its accounts receivable, primarily in Europe. Sales of receivables are accounted for in accordance with Financial Accounting Standards Board ("FASB") Accounting Standards Codification ("ASC") Topic 860, *Transfers and Servicing* ("ASC 860"). Agreements which result in true sales of the transferred receivables, as defined in ASC 860, which occur when receivables are transferred without recourse to the Company, are excluded from amounts reported in the consolidated balance sheets. Cash proceeds received from such sales are included in operating cash flows. Agreements that allow Aptiv to maintain effective control over the transferred receivables and which do not qualify as a sale, as defined in ASC 860, are accounted for as secured borrowings and recorded in the consolidated balance sheets within accounts receivable, net and short-term debt. The expenses associated with receivables factoring are recorded in the consolidated statements of operations within interest expense.

Credit losses—Aptiv is exposed to credit losses primarily through the sale of vehicle components, software licenses and services. Aptiv assesses the creditworthiness of a counterparty by conducting ongoing credit reviews, which considers the Company's expected billing exposure and timing for payment, as well as the counterparty's established credit rating. When a credit rating is not available, the Company's assessment is based on an analysis of the counterparty's financial statements. Aptiv also considers contract terms and conditions, country and political risk, and business strategy in its evaluation. Based on

the outcome of this review, the Company establishes a credit limit for each counterparty. The Company continues to monitor its ongoing credit exposure through active review of counterparty balances against contract terms and due dates, which includes timely account reconciliation, payment confirmation and dispute resolution. The Company may also employ collection agencies and legal counsel to pursue recovery of defaulted receivables, if necessary.

Aptiv primarily utilizes historical loss and recovery data, combined with information on current economic conditions and reasonable and supportable forecasts to develop the estimate of the allowance for doubtful accounts in accordance with ASC Topic 326, *Financial Instruments – Credit Losses* (“ASC 326”). As of June 30, 2025 and December 31, 2024, the Company reported \$3,717 million and \$3,261 million, respectively, of accounts receivable, net of the allowances, which includes the allowance for doubtful accounts of \$47 million and \$37 million, respectively. Changes in the allowance for doubtful accounts were not material for the six months ended June 30, 2025.

Inventories—As of June 30, 2025 and December 31, 2024, inventories are stated at the lower of cost, determined on a first-in, first-out basis, or net realizable value, including direct material costs and direct and indirect manufacturing costs. Refer to Note 3. Inventories for additional information. Obsolete inventory is identified based on analysis of inventory for known obsolescence issues, and, generally, the net realizable value of inventory on hand in excess of one year’s supply is fully-reserved.

From time to time, payments may be received from suppliers. These payments from suppliers are recognized as a reduction of the cost of the material acquired during the period to which the payments relate. In some instances, supplier rebates are received in conjunction with or concurrent with the negotiation of future purchase agreements and these amounts are amortized over the prospective agreement period as purchases are made.

Intangible assets—Intangible assets were \$2,105 million and \$2,140 million as of June 30, 2025 and December 31, 2024, respectively. The Company amortizes definite-lived intangible assets over their estimated useful lives. The Company has definite-lived intangible assets related to patents and developed technology, customer relationships and trade names. Indefinite-lived in-process research and development intangible assets are not amortized, but are tested for impairment annually, or more frequently when indicators of potential impairment exist, until the completion or abandonment of the associated research and development efforts. Upon completion of the projects, the assets will be amortized over the expected economic life of the asset, which will be determined on that date. Should the project be determined to be abandoned, and if the asset developed has no alternative use, the full value of the asset will be charged to expense. The Company also has intangible assets related to acquired trade names that are classified as indefinite-lived when there are no foreseeable limits on the periods of time over which they are expected to contribute cash flows. These indefinite-lived trade name assets are tested for impairment annually, or more frequently when indicators of potential impairment exist. Costs to renew or extend the term of acquired intangible assets are recognized as expense as incurred. Amortization expense was \$53 million and \$104 million for the three and six months ended June 30, 2025, respectively, and \$52 million and \$106 million for the three and six months ended June 30, 2024, respectively, which includes the impact of any intangible asset impairment charges recorded during the period.

Goodwill—Goodwill is the excess of the purchase price over the estimated fair value of identifiable net assets acquired in business combinations. The Company tests goodwill for impairment annually in the fourth quarter, or more frequently when indications of potential impairment exist. The Company monitors the existence of potential impairment indicators throughout the fiscal year. The Company tests for goodwill impairment at the reporting unit level. Our reporting units are the components of operating segments which constitute businesses for which discrete financial information is available and is regularly reviewed by segment management.

The impairment test involves first qualitatively assessing goodwill for impairment. If the qualitative assessment is not met the Company then performs a quantitative assessment by comparing the estimated fair value of each reporting unit to its carrying value, including goodwill. Fair value reflects the price a market participant would be willing to pay in a potential sale of the reporting unit. If the estimated fair value exceeds carrying value, then we conclude that no goodwill impairment has occurred. If the carrying value of the reporting unit exceeds its estimated fair value, the Company recognizes an impairment loss in an amount equal to the excess, not to exceed the amount of goodwill allocated to the reporting unit.

When a quantitative assessment is required, the estimated fair value of the Company’s reporting units is primarily determined using discounted cash flow projections. Significant assumptions include management’s forecasted cash flows and the discount rate. Forecasts of future cash flows are based on management’s best estimates. The discount rate is determined using a weighted average cost of capital adjusted for risk factors specific to the reporting unit.

As described in Note 1. General, in the first quarter of 2025 Aptiv realigned its business into three reportable operating segments: Electrical Distribution Systems, Engineered Components Group and Advanced Safety and User Experience. Concurrent with the change in reportable operating segments, the Company reassigned goodwill to the updated reporting units using a relative fair value approach. Aptiv tested goodwill related to the impacted reporting units immediately before and after the reassignment and concluded no goodwill impairments existed.

The Company concluded there were no goodwill impairments during the six months ended June 30, 2025 and 2024. Goodwill was \$5,248 million and \$5,024 million as of June 30, 2025 and December 31, 2024, respectively.

Warranty and product recalls—Expected warranty costs for products sold are recognized at the time of sale of the product based on an estimate of the amount that eventually will be required to settle such obligations. These accruals are based on factors such as past experience, production changes, industry developments and various other considerations. Costs of product recalls, which may include the cost of the product being replaced as well as the customer's cost of the recall, including labor to remove and replace the recalled part, are accrued as part of our warranty accrual at the time an obligation becomes probable and can be reasonably estimated. These estimates are adjusted from time to time based on facts and circumstances that impact the status of existing claims. Refer to Note 6. Warranty Obligations for additional information.

Income taxes—Deferred tax assets and liabilities reflect temporary differences between the amount of assets and liabilities for financial and tax reporting purposes. Such amounts are adjusted, as appropriate, to reflect changes in tax rates expected to be in effect when the temporary differences reverse. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in earnings in the period that includes the enactment date. A valuation allowance is recorded to reduce deferred tax assets to the amount that is more likely than not to be realized. In the event the Company determines it is more likely than not that the deferred tax assets will not be realized in the future, the valuation allowance adjustment to the deferred tax assets will be charged to earnings in the period in which the Company makes such a determination. In determining whether an uncertain tax position exists, the Company determines, based solely on its technical merits, whether the tax position is more likely than not to be sustained upon examination, and if so, a tax benefit is measured on a cumulative probability basis that is more likely than not to be realized upon the ultimate settlement. In determining the provision for income taxes for financial statement purposes, the Company makes certain estimates and judgments which affect its evaluation of the carrying value of its deferred tax assets, as well as its calculation of certain tax liabilities. As it relates to changes in accumulated other comprehensive income (loss), the Company's policy is to release tax effects from accumulated other comprehensive income (loss) when the underlying components affect earnings. Refer to Note 11. Income Taxes for additional information.

Restructuring—Aptiv continually evaluates alternatives to align the business with the changing needs of its customers and to lower operating costs. This includes the realignment of its existing manufacturing capacity, facility closures, or similar actions, either in the normal course of business or pursuant to significant restructuring programs. These actions may result in employees receiving voluntary or involuntary employee termination benefits, which are mainly pursuant to union or other contractual agreements or statutory requirements. Voluntary termination benefits are accrued when an employee accepts the related offer. Involuntary termination benefits are accrued upon the commitment to a termination plan and when the benefit arrangement is communicated to affected employees, or when liabilities are determined to be probable and estimable, depending on the existence of a substantive plan for severance or termination. Contract termination costs are recorded when contracts are terminated. All other exit costs are expensed as incurred. Refer to Note 7. Restructuring for additional information.

Customer concentrations—We sell our products and services to the major global OEMs in every region of the world. Our ten largest customers accounted for approximately 55% of our total net sales for the three and six months ended June 30, 2025, which included approximately 11% to Ford Motor Company during the three and six months ended June 30, 2025. Our ten largest customers accounted for approximately 57% and 56% for the three and six months ended June 30, 2024, which included approximately 10% to Ford Motor Company during the three months ended June 30, 2024, and none of which individually exceeded 10% for the six months ended June 30, 2024. During the three and six months ended June 30, 2025, our Electrical Distribution Systems segment and Advanced Safety and User Experience segment recognized net sales to each of our ten largest customers, and our Engineered Components Group segment recognized net sales to nine of our ten largest customers during the three months ended June 30, 2025 and to each of our top ten largest customers during the six months ended June 30, 2025. During the three and six months ended June 30, 2024, our Electrical Distribution Systems segment and Advanced Safety and User Experience segment recognized net sales to each of our ten largest customers, and our Engineered Components Group Segment recognized net sales to nine of our ten largest customers during the three and six months ended June 30, 2024.

Recently adopted accounting pronouncements—Aptiv adopted ASU 2023-05, *Business Combinations - Joint Venture Formations (Subtopic 805-60): Recognition and Initial Measurement* in the first quarter of 2025. The amendments in this update require a joint venture to initially recognize all contributions received at fair value upon formation. The new guidance is applicable to joint venture entities with a formation date on or after January 1, 2025 and is to be applied prospectively. As the Company did not have any applicable joint venture formations during the first half of 2025, there was no impact to the Company's financial statements upon adoption. The adoption of this guidance will be applied to any applicable joint venture formations that occur in future periods.

Aptiv adopted ASU 2023-09, *Income Taxes (Topic 740): Improvements to Income Tax Disclosures* in the first quarter of 2025. The amendments in this update require public entities to disclose specific categories in the effective tax rate reconciliation, as well as additional information for reconciling items that exceed a quantitative threshold. The amendments also require all entities to disclose income taxes paid disaggregated by federal, state and foreign taxes, and further disaggregated for specific jurisdictions that exceed 5% of total income taxes paid, among other expanded disclosures. The adoption of this

guidance is only applicable to annual disclosures and is expected to result in incremental disclosures in the Company's financial statements.

Recently issued accounting pronouncements not yet adopted—In May 2025, the FASB issued ASU 2025-03, *Business Combinations (Topic 805) and Consolidation (Topic 810): Determining the Accounting Acquirer in the Acquisition of a Variable Interest Entity*. The amendments in this update clarify guidance for identifying the accounting acquirer in business combination effected primarily by exchanging equity interests when the legal acquiree is a variable interest entity that meets the definition of a business. The new guidance will be applied prospectively and is effective for fiscal years beginning after December 15, 2026 and interim periods within those annual reporting periods. Early adoption is permitted. The adoption of this guidance is not expected to have a significant impact on Aptiv's consolidated financial statements.

In November 2024, the FASB issued ASU 2024-03, *Income Statement—Reporting Comprehensive Income—Expense Disaggregation Disclosures (Subtopic 220-40): Disaggregation of Income Statement Expenses*. The amendments in this update require public entities to disclose, on an annual and interim basis, disaggregated information about certain income statement expenses, including purchases of inventory, employee compensation, depreciation, intangible asset amortization and depletion, that are included in each relevant income statement expense line item. The amendments also require qualitative descriptions of the amounts remaining in relevant expense line items not separately disaggregated quantitatively. Certain amounts already disclosed under existing U.S. GAAP are required to be included in the same disclosure as the other disaggregated income statement expense line items. In addition, the amendments require disclosure of the total amount of selling expenses and, in annual reporting periods, an entity's definition of those expenses. The new guidance will be applied prospectively and is effective for fiscal years beginning after December 15, 2026 and interim periods within fiscal years beginning after December 15, 2027. Early adoption is permitted. The adoption of this guidance is expected to result in incremental disclosures in the Company's financial statements.

3. INVENTORIES

Inventories are stated at the lower of cost, determined on a first-in, first-out basis, or net realizable value, including direct material costs and direct and indirect manufacturing costs. A summary of inventories is shown below:

	June 30, 2025	December 31, 2024
	(in millions)	
Productive material	\$ 1,544	\$ 1,463
Work-in-process	229	199
Finished goods	702	658
Total	<u>\$ 2,475</u>	<u>\$ 2,320</u>

4. ASSETS

Other current assets consisted of the following:

	June 30, 2025	December 31, 2024
	(in millions)	
Value added tax receivable	\$ 180	\$ 184
Prepaid insurance and other expenses	124	97
Reimbursable engineering costs	177	181
Notes receivable	5	6
Income and other taxes receivable	104	106
Deposits to vendors	8	4
Derivative financial instruments (Note 14)	43	18
Capitalized upfront fees (Note 20)	11	10
Contract assets (Note 20)	74	65
Other	6	—
Total	<u>\$ 732</u>	<u>\$ 671</u>

Other long-term assets consisted of the following:

	June 30, 2025	December 31, 2024
	(in millions)	
Deferred income taxes, net	\$ 1,967	\$ 2,281
Unamortized Revolving Credit Facility debt issuance costs	7	4
Income and other taxes receivable	50	47
Reimbursable engineering costs	141	124
Value added tax receivable	2	2
Technology investments (Note 21)	230	178
Derivative financial instruments (Note 14)	11	1
Capitalized upfront fees (Note 20)	38	43
Contract assets (Note 20)	82	65
Other	110	97
Total	<u>\$ 2,638</u>	<u>\$ 2,842</u>

5. LIABILITIES

Accrued liabilities consisted of the following:

	June 30, 2025	December 31, 2024
	(in millions)	
Payroll-related obligations	\$ 393	\$ 344
Employee benefits, including current pension obligations	95	143
Income and other taxes payable	191	187
Warranty obligations (Note 6)	85	62
Restructuring (Note 7)	112	102
Customer deposits	92	132
Derivative financial instruments (Note 14)	2	76
Accrued interest	69	90
Dividends payable	22	—
Contract liabilities (Note 20)	96	111
Operating lease liabilities	136	124
Other	387	381
Total	<u>\$ 1,680</u>	<u>\$ 1,752</u>

Other long-term liabilities consisted of the following:

	June 30, 2025	December 31, 2024
	(in millions)	
Environmental	\$ 2	\$ 3
Extended disability benefits	3	3
Warranty obligations (Note 6)	26	12
Restructuring (Note 7)	19	16
Payroll-related obligations	11	9
Accrued income taxes	150	165
Deferred income taxes, net	298	290
Contract liabilities (Note 20)	25	13
Derivative financial instruments (Note 14)	—	39
Other	76	63
Total	<u>\$ 610</u>	<u>\$ 613</u>

6. WARRANTY OBLIGATIONS

Expected warranty costs for products sold are recognized principally at the time of sale of the product based on an estimate of the amount that eventually will be required to settle such obligations. These accruals are based on factors such as past experience, production changes, industry developments and various other considerations. The estimated costs related to product recalls based on a formal campaign soliciting return of that product are accrued at the time an obligation becomes probable and can be reasonably estimated. These estimates are adjusted from time to time based on facts and circumstances that impact the status of existing claims. Aptiv has recognized a reasonable estimate for its total aggregate warranty reserves, including product recall costs, across all of its operating segments as of June 30, 2025. The Company estimates the reasonably possible amount to ultimately resolve all matters in excess of the recorded reserves as of June 30, 2025 to be zero to \$40 million.

The table below summarizes the activity in the product warranty liability for the six months ended June 30, 2025:

	Warranty Obligations (in millions)
Accrual balance at beginning of period	\$ 74
Provision for estimated warranties incurred during the period	19
Changes in estimate for pre-existing warranties (1)	40
Settlements	(24)
Foreign currency translation and other	2
Accrual balance at end of period	<u>\$ 111</u>

- (1) In addition to amounts recorded to the product warranty liability, during the six months ended June 30, 2025, Aptiv recognized a \$15 million recovery from a supplier related to a warranty matter. The current portion of supplier recoveries is recorded in accounts receivable, net and the non-current portion is recorded in other long-term assets in the consolidated balance sheets. Warranty expense, net of supplier recoveries was \$44 million for the six months ended June 30, 2025.

7. RESTRUCTURING

Aptiv's restructuring activities are undertaken as necessary to implement management's strategy, streamline operations, take advantage of available capacity and resources, and ultimately achieve net cost reductions. These activities generally relate to the realignment of existing manufacturing capacity and closure of facilities and other exit or disposal activities, as it relates to executing Aptiv's strategy, either in the normal course of business or pursuant to significant restructuring programs.

As part of the Company's continued efforts to optimize its cost structure, it has undertaken several restructuring programs which include workforce reductions as well as plant closures. These programs are primarily focused on reducing global overhead costs, the continued rotation of our manufacturing footprint to best cost locations in Europe and aligning our manufacturing capacity with the current levels of automotive production in each region. The Company recorded employee-

related and other restructuring charges related to these programs totaling approximately \$52 million and \$89 million during the three and six months ended June 30, 2025, respectively, which included the recognition of approximately \$12 million and \$15 million, respectively, for a program initiated in the fourth quarter of 2024 focused on global salaried workforce optimization, primarily in the European region. The charges recorded during the three and six months ended June 30, 2025 also included the recognition of approximately \$9 million and \$22 million, respectively, within the Electrical Distribution Systems segment for programs to downsize and close European manufacturing sites.

There have been no changes in previously initiated programs that have resulted (or are expected to result) in a material change to our restructuring costs. The Company expects to incur additional restructuring costs of approximately \$25 million (of which approximately \$10 million relates to the Electrical Distribution Systems segment, approximately \$10 million relates to the Engineering Components Group segment and approximately \$5 million relates to the Advanced Safety and User Experience segment) for programs approved as of June 30, 2025, and are expected to be incurred within the next twelve months.

During the three and six months ended June 30, 2024, Aptiv recorded employee-related and other restructuring charges totaling approximately \$70 million and \$109 million, respectively, which included the recognition of approximately \$30 million and \$54 million, respectively, for a program initiated in the fourth quarter of 2023 focused on global salaried workforce optimization, primarily in the European region. The charges recorded during the three and six months ended June 30, 2024 also reflected programs to align manufacturing capacity with the current levels of automotive production in North America and Asia Pacific.

Restructuring charges for employee separation and termination benefits are paid either over the severance period or in a lump sum in accordance with either statutory requirements or individual agreements. Aptiv incurred cash expenditures related to its restructuring programs of approximately \$87 million and \$143 million in the six months ended June 30, 2025 and 2024, respectively.

The following table summarizes the restructuring charges recorded for the three and six months ended June 30, 2025 and 2024 by operating segment:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
	(in millions)			
Electrical Distribution Systems	\$ 25	\$ 35	\$ 41	\$ 50
Engineered Components Group	17	19	32	26
Advanced Safety and User Experience	10	16	16	33
Total	<u>\$ 52</u>	<u>\$ 70</u>	<u>\$ 89</u>	<u>\$ 109</u>

The table below summarizes the activity in the restructuring liability for the six months ended June 30, 2025:

	Employee Termination Benefits Liability	Other Exit Costs Liability	Total
	(in millions)		
Accrual balance at January 1, 2025	\$ 118	\$ —	\$ 118
Provision for estimated expenses incurred during the period	89	—	89
Payments made during the period	(87)	—	(87)
Foreign currency and other	11	—	11
Accrual balance at June 30, 2025	<u>\$ 131</u>	<u>\$ —</u>	<u>\$ 131</u>

8. DEBT

The following is a summary of debt outstanding, net of unamortized issuance costs and discounts, as of June 30, 2025 and December 31, 2024:

	June 30, 2025	December 31, 2024
	(in millions)	
Accounts receivable factoring	\$ —	\$ 450
1.60%, Euro-denominated senior notes, due 2028 (net of \$1 and \$1 unamortized issuance costs, respectively)	584	519
4.35%, senior notes, due 2029 (net of \$1 and \$1 unamortized issuance costs, respectively)	299	299
4.650%, senior notes, due 2029 (net of \$4 and \$5 unamortized issuance costs, respectively)	546	545
3.25%, senior notes, due 2032 (net of \$5 and \$5 unamortized issuance costs and \$2 and \$2 discount, respectively)	793	793
5.150%, senior notes, due 2034 (net of \$5 and \$5 unamortized issuance costs and \$1 and \$1 discount, respectively)	544	544
4.25%, Euro-denominated senior notes, due 2036 (net of \$6 and \$7 unamortized issuance costs and \$2 and \$2 discount, respectively)	869	772
4.40%, senior notes, due 2046 (net of \$3 and \$3 unamortized issuance costs and \$1 and \$1 discount, respectively)	296	296
5.40%, senior notes, due 2049 (net of \$3 and \$4 unamortized issuance costs and \$1 and \$1 discount, respectively)	346	345
3.10%, senior notes, due 2051 (net of \$15 and \$15 unamortized issuance costs and \$29 and \$30 discount, respectively)	1,456	1,455
4.15%, senior notes, due 2052 (net of \$10 and \$10 unamortized issuance costs and \$2 and \$2 discount, respectively)	988	988
5.750%, senior notes, due 2054 (net of \$6 and \$6 unamortized issuance costs and \$3 and \$3 discount, respectively)	541	541
6.875%, fixed-to-fixed reset rate junior subordinated notes, due 2054 (net of \$6 and \$7 unamortized issuance costs, respectively)	494	493
Term Loan A, due 2027 (net of \$0 and \$2 unamortized issuance costs, respectively)	—	248
Finance leases and other	34	64
Total debt	7,790	8,352
Less: current portion	(32)	(509)
Long-term debt	\$ 7,758	\$ 7,843

Change of Tax Residency

In connection with the reorganization transaction as further described in Note 1. General, in December 2024, Old Aptiv established a new publicly-listed Jersey parent company, New Aptiv, which is resident for tax purposes in Switzerland. Following consummation of the Transaction, Old Aptiv became a wholly-owned subsidiary of New Aptiv and New Aptiv was renamed “Aptiv PLC.” Old Aptiv merged with and into Aptiv Swiss Holdings, a newly formed Jersey incorporated private limited company, and a direct, wholly-owned subsidiary of New Aptiv, with Aptiv Swiss Holdings surviving as a direct, wholly-owned subsidiary of New Aptiv, and Old Aptiv ceasing to exist. Except as otherwise noted, all property, rights, privileges, powers and franchises of Old Aptiv vested in Aptiv Swiss Holdings, and all debts, liabilities and duties of Old Aptiv became debts, liabilities and duties of Aptiv Swiss Holdings.

In connection with the Transaction, Aptiv Swiss Holdings (i) entered into a supplemental indenture to each indenture in which Aptiv Swiss Holdings assumed all of Old Aptiv’s obligations under each series of Old Aptiv’s outstanding Notes and (ii) entered into an assumption and/or supplement agreement relating to the Credit Agreement in which New Aptiv assumed all of Old Aptiv’s obligations under the Credit Agreement as the “parent entity” thereunder. In addition, New Aptiv (i) entered into a supplemental indenture to each indenture in which New Aptiv guaranteed the outstanding Notes and (ii) entered into a guarantee joinder relating to the Credit Agreement in which New Aptiv guaranteed the obligations under the Credit Agreement. Following the reorganization transaction, Aptiv Swiss Holdings (i) replaced Old Aptiv as a guarantor of the borrowers’ obligations under the Credit Agreement, and (ii) succeeded to Old Aptiv as an obligor under the senior notes and the junior notes, and New Aptiv became a guarantor under the Credit Agreement (and will act as the “parent entity” thereunder) and the indentures.

Credit Agreement

Aptiv PLC and its wholly-owned subsidiaries Aptiv Corporation and Aptiv Global Financing Designated Activity Company (“AGF DAC”) entered into a credit agreement (the “Credit Agreement”) with, among others, JPMorgan Chase Bank, N.A., as administrative agent (the “Administrative Agent”), under which it maintains a senior unsecured credit facility currently consisting of a revolving credit facility of \$2 billion (the “Revolving Credit Facility”). AGF DAC and Aptiv Corporation are each borrowers under the Credit Agreement, under which such borrowings would be guaranteed by each of the other borrowers, Aptiv PLC and Aptiv Swiss Holdings.

The Credit Agreement was entered into in March 2011 and has been subsequently amended and restated on several occasions, most recently on March 31, 2025 (the “March 2025 amendment”). The March 2025 amendment, among other things, (1) refinanced and replaced the revolver with a new five-year revolving credit facility with aggregate commitments of \$2 billion, and (2) removed provisions from the June 2021 amendment for sustainability-linked rate adjustments. The Revolving Credit Facility matures on March 31, 2030. The Credit Agreement also contains an uncommitted accordion feature that permits Aptiv to increase, from time to time, on customary terms and conditions, the aggregate borrowing capacity under the Credit Agreement by up to an additional \$1 billion upon Aptiv’s request, the agreement of the lenders participating in the increase, and the approval of the Administrative Agent. Borrowings under the Credit Agreement are revolving in nature and may be made and prepaid from time to time at Aptiv’s option without premium or penalty, in accordance with the terms and conditions of the Credit Agreement. The March 2025 amendment also required that Aptiv pay amendment fees of \$5 million during the six months ended June 30, 2025, which are reflected as a financing activity in the consolidated statements of cash flows.

As of June 30, 2025, Aptiv had no amounts outstanding under the Revolving Credit Facility and approximately \$1 million in letters of credit were issued under the Credit Agreement. Letters of credit issued under the Credit Agreement reduce availability under the Revolving Credit Facility.

Loans under the Credit Agreement bear interest, at Aptiv’s option, at either (a) the Administrative Agent’s Alternate Base Rate (“ABR” as defined in the Credit Agreement) or (b) SOFR plus in either case a percentage per annum as set forth in the table below (the “Applicable Rate”). The rates under the Credit Agreement on the specified dates are set forth below:

	June 30, 2025		December 31, 2024	
	SOFR plus	ABR plus	SOFR plus	ABR plus
Revolving Credit Facility	1.125 %	0.125 %	1.06 %	0.06 %

The Applicable Rate under the Credit Agreement, as well as the facility fee, may increase or decrease from time to time based on changes in the Company’s credit ratings. Accordingly, the interest rate is subject to fluctuation during the term of the Credit Agreement based on changes in the ABR, SOFR and changes in the Company’s corporate credit ratings. The Credit Agreement also requires that Aptiv pay certain facility fees on the Revolving Credit Facility, which are also subject to adjustment based on certain letter of credit issuance and fronting fees.

The Credit Agreement contains certain covenants that limit, among other things, the Company’s (and the Company’s subsidiaries’) ability to incur certain additional indebtedness or liens or to dispose of substantially all of its assets. In addition, the Credit Agreement requires that the Company maintain a consolidated leverage ratio (the ratio of Consolidated Total Indebtedness to Consolidated EBITDA, each as defined in the Credit Agreement) of not more than 3.5 to 1.0 (or 4.0 to 1.0 for four full fiscal quarters following completion of material acquisitions, as defined in the Credit Agreement).

The Credit Agreement also contains events of default customary for financings of this type. The Company was in compliance with the Credit Agreement covenants as of June 30, 2025.

Bridge Credit Agreement

On August 1, 2024, Aptiv PLC and certain of its subsidiaries entered into a \$2.5 billion senior unsecured bridge facility under a Bridge Credit Agreement (the “Bridge Credit Agreement”) with JPMorgan Chase Bank, N.A., as administrative agent, JPMorgan Chase Bank, N.A. and Goldman Sachs Lending Partners LLC, as joint lead arrangers and joint bookrunners, and Goldman Sachs Lending Partners LLC, as syndication agent. The proceeds of the loans under the Bridge Credit Agreement were utilized to provide initial funding for a portion of the share repurchases under the accelerated share repurchase program, as further described in Note 12. Shareholders’ Equity and Net Income Per Share. Aptiv incurred approximately \$17 million of issuance costs in connection with the Bridge Credit Agreement. The loans available under the Bridge Credit Agreement were fully drawn on August 1. The Bridge Credit Agreement was fully repaid and terminated during the third quarter of 2024 using proceeds from the Term Loan A and proceeds from the issuance of the 2024 Senior Notes and 2024 Junior Notes, as described below.

Term Loan A Credit Agreement

On August 19, 2024, Aptiv PLC and its wholly-owned subsidiaries AGF DAC and Aptiv Corporation entered into a senior unsecured term loan A credit agreement (the “Term Loan A Credit Agreement”) with, among others, JPMorgan Chase Bank, N.A., as Administrative Agent, under which it maintained a senior unsecured credit facility consisting of a term loan (the “Term Loan A”) in aggregate principal amount of \$600 million. Aptiv incurred approximately \$2 million of issuance costs in connection with the Term Loan A.

As described above, proceeds from the Term Loan A were used to repay a portion of the loans incurred under the Bridge Credit Agreement during the three months ended September 30, 2024. This transaction was accounted for as a modification of debt in accordance with ASC Topic 470-50, *Debt Modifications and Extinguishments*. Accordingly, a pro-rata portion of the unamortized fees from the Bridge Credit Agreement in the amount of \$4 million was transferred to the Term Loan A and, together with the \$2 million of direct issuance costs referenced above, were amortized to interest expense over the term of the Term Loan A.

During the fourth quarter of 2024, the Company repaid \$350 million of the outstanding principal balance on the Term Loan A, utilizing cash on hand. During the first quarter of 2025, the Company fully repaid the remaining outstanding principal balance of \$250 million on the Term Loan A utilizing cash on hand, and recognized a loss on debt extinguishment of approximately \$2 million during the six months ended June 30, 2025 within other income, net in the consolidated statements of operations.

The Term Loan A had a maturity date of August 19, 2027. Prior to its repayment, borrowings under the Term Loan A Credit Agreement were prepayable at Aptiv’s option without premium or penalty. No principal payment was required until the maturity date.

Loans under the Term Loan A Credit Agreement bore interest, at Aptiv’s option, at either (a) ABR or (b) SOFR plus in either case a percentage per annum as set forth in the table below (the “Term Loan Applicable Rate”). The rates under the Term Loan A Credit Agreement on the specified dates are set forth below:

	June 30, 2025		December 31, 2024	
	SOFR plus	ABR plus	SOFR plus	ABR plus
Term Loan A	N/A	N/A	1.250 %	0.250 %

Senior Unsecured Notes

On September 15, 2016, Aptiv PLC issued €500 million in aggregate principal amount of 1.60% Euro-denominated senior unsecured notes due 2028 (the “2016 Euro-denominated Senior Notes”) in a transaction registered under the Securities Act. The 2016 Euro-denominated Senior Notes were priced at 99.881% of par, resulting in a yield to maturity of 1.611%. The proceeds, together with proceeds from the 2016 Senior Notes described below, were utilized to redeem \$800 million of 5.00% senior unsecured notes due 2023. Aptiv incurred approximately \$4 million of issuance costs in connection with the 2016 Euro-denominated Senior Notes. Interest is payable annually on September 15. The Company has designated the 2016 Euro-denominated Senior Notes as a net investment hedge of the foreign currency exposure of its investments in certain Euro-denominated wholly-owned subsidiaries. Refer to Note 14. Derivatives and Hedging Activities for further information.

On September 20, 2016, Aptiv PLC issued \$300 million in aggregate principal amount of 4.40% senior unsecured notes due 2046 (the “2016 Senior Notes”) in a transaction registered under the Securities Act. The 2016 Senior Notes were priced at 99.454% of par, resulting in a yield to maturity of 4.433%. The proceeds, together with proceeds from the 2016 Euro-denominated Senior Notes, were utilized to redeem \$800 million of 5.00% senior unsecured notes due 2023. Aptiv incurred approximately \$3 million of issuance costs in connection with the 2016 Senior Notes. Interest is payable semi-annually on April 1 and October 1 of each year to holders of record at the close of business on March 15 or September 15 immediately preceding the interest payment date.

On March 14, 2019, Aptiv PLC issued \$650 million in aggregate principal amount of senior unsecured notes in a transaction registered under the Securities Act, comprised of \$300 million of 4.35% senior unsecured notes due 2029 (the “4.35% Senior Notes”) and \$350 million of 5.40% senior unsecured notes due 2049 (the “5.40% Senior Notes”) (collectively, the “2019 Senior Notes”). The 4.35% Senior Notes were priced at 99.879% of par, resulting in a yield to maturity of 4.365%, and the 5.40% Senior Notes were priced at 99.558% of par, resulting in a yield to maturity of 5.430%. The proceeds were utilized to redeem \$650 million of 3.15% senior unsecured notes due 2020. Aptiv incurred approximately \$7 million of issuance costs in connection with the 2019 Senior Notes. Interest on the 2019 Senior Notes is payable semi-annually on March 15 and September 15 of each year to holders of record at the close of business on March 1 or September 1 immediately preceding the interest payment date.

On November 23, 2021, Aptiv PLC issued \$1.5 billion in aggregate principal amount of 3.10% senior unsecured notes due 2051 (the “2021 Senior Notes”) in a transaction registered under the Securities Act. The 2021 Senior Notes were priced at 97.814% of par, resulting in a yield to maturity of 3.214%. Aptiv incurred approximately \$17 million of issuance costs in connection with the 2021 Senior Notes. Interest on the 2021 Senior Notes is payable semi-annually on June 1 and December 1 of each year (commencing on June 1, 2022) to holders of record at the close of business on May 15 or November 15 immediately preceding the interest payment date. On December 27, 2021, Aptiv PLC entered into a supplemental indenture to add AGF DAC as a joint and several co-issuer of the 2021 Senior Notes effective as of the date of issuance. The proceeds from the 2021 Senior Notes were primarily utilized to redeem \$700 million of 4.15% senior unsecured notes due 2024 and \$650 million of 4.25% senior unsecured notes due 2026.

On February 18, 2022, Aptiv PLC and Aptiv Corporation together issued \$2.5 billion in aggregate principal amount of senior unsecured notes in a transaction registered under the Securities Act, comprised of \$700 million of 2.396% senior unsecured notes due 2025 (the “2.396% Senior Notes”), \$800 million of 3.25% senior unsecured notes due 2032 (the “3.25% Senior Notes”) and \$1.0 billion of 4.15% senior unsecured notes due 2052 (the “4.15% Senior Notes”) (collectively, the “2022 Senior Notes”). The 2022 Senior Notes are guaranteed by AGF DAC. The 2.396% Senior Notes were priced at 100% of par, resulting in a yield to maturity of 2.396%; the 3.25% Senior Notes were priced at 99.600% of par, resulting in a yield to maturity of 3.297%; and the 4.15% Senior Notes were priced at 99.783% of par, resulting in a yield to maturity of 4.163%. On or after February 18, 2023, the 2.396% Senior Notes may be optionally redeemed at a price equal to their principal amount plus accrued and unpaid interest thereon. The proceeds from the 2022 Senior Notes were utilized to fund a portion of the cash consideration payable in connection with the acquisition of Wind River. In September 2024, Aptiv redeemed for cash the entire \$700 million aggregate principal amount outstanding of the 2.396% Senior Notes, financed by the proceeds received from the issuance of the 2024 Senior Notes and 2024 Junior Notes, as defined below.

Aptiv incurred approximately \$22 million of issuance costs in connection with the 2022 Senior Notes. Interest on the 2.396% Senior Notes, 3.25% Senior Notes and 4.15% Senior Notes is payable semi-annually on February 18 and August 18 (commencing August 18, 2022), March 1 and September 1 (commencing September 1, 2022) and May 1 and November 1 (commencing May 1, 2022), respectively, of each year to holders of record at the close of business on February 3 or August 3, February 15 or August 15, April 15 or October 15, respectively, immediately preceding the interest payment date.

On June 11, 2024, Aptiv PLC and AGF DAC together issued €750 million in aggregate principal amount of 4.25% Euro-denominated senior unsecured notes due 2036 (the “2024 Euro-denominated Senior Notes”) in a transaction registered under the Securities Act. The 2024 Euro-denominated Senior Notes were priced at 99.723% of par, resulting in a yield to maturity of 4.28%. The 2024 Euro-denominated Senior Notes are guaranteed by Aptiv Corporation. The proceeds were initially invested in short-term investments and subsequently utilized to redeem €700 million in aggregate principal amount of 1.50% Euro-denominated senior unsecured notes due 2025 (the “2015 Euro-denominated Senior Notes”). Aptiv incurred approximately \$7 million of issuance costs in connection with the 2024 Euro-denominated Senior Notes. Interest is payable annually on June 11. The Company has designated the 2024 Euro-denominated Senior Notes as a net investment hedge of the foreign currency exposure of its investments in certain Euro-denominated wholly-owned subsidiaries beginning in December 2024 upon redeeming the 2015 Euro-denominated Senior Notes. Refer to Note 14. Derivatives and Hedging Activities for further information.

On September 13, 2024, Aptiv PLC and AGF DAC together issued \$1.65 billion in aggregate principal amount of senior unsecured notes in a transaction registered under the Securities Act, comprised of \$550 million of 4.650% senior unsecured notes due 2029 (the “4.650% Senior Notes”), \$550 million of 5.150% senior unsecured notes due 2034 (the “5.150% Senior Notes”) and \$550 million of 5.750% senior unsecured notes due 2054 (the “5.750% Senior Notes”) (collectively, the “2024 Senior Notes”). The 2024 Senior Notes are guaranteed by Aptiv Corporation. The 4.650% Senior Notes were priced at 99.912% of par, resulting in a yield to maturity of 4.670%; the 5.150% Senior Notes were priced at 99.768% of par, resulting in a yield to maturity of 5.180%; and the 5.750% Senior Notes were priced at 99.476% of par, resulting in a yield to maturity of 5.787%. The proceeds from the 2024 Senior Notes, together with the proceeds from the 2024 Junior Notes, as described below, were utilized to repay a portion of the Bridge Credit Agreement and to redeem the 2.396% Senior Notes, as described above.

Aptiv incurred approximately \$16 million of issuance costs in connection with the 2024 Senior Notes. Interest on the 2024 Senior Notes is payable semi-annually on March 13 and September 13 (commencing March 13, 2025) of each year to holders of record at the close of business on February 26 or August 29, immediately preceding the interest payment date.

Although the specific terms of each indenture governing each series of senior notes vary, the indentures contain certain restrictive covenants, including with respect to Aptiv’s (and Aptiv’s subsidiaries’) ability to incur liens, enter into sale and leaseback transactions and merge with or into other entities. In February 2022, Aptiv Corporation and AGF DAC were added as guarantors on each series of outstanding senior notes previously issued by Aptiv PLC. The guarantees rank equally in right of payment with all of the guarantors’ existing and future senior indebtedness, are effectively subordinated to any of their existing and future secured indebtedness to the extent of the value of the collateral securing such indebtedness and are structurally

subordinated to the indebtedness of each of their existing and future subsidiaries that is not a guarantor. As of June 30, 2025, the Company was in compliance with the provisions of all series of the outstanding senior notes.

Junior Subordinated Unsecured Notes

On September 13, 2024, Aptiv PLC and AGF DAC together issued \$500 million in aggregate principal amount of 6.875% fixed-to-fixed reset rate junior subordinated unsecured notes due 2054 (the “2024 Junior Notes”) in a transaction registered under the Securities Act. The 2024 Junior Notes are guaranteed by Aptiv Corporation, and are subordinate in rank to all of Aptiv’s senior indebtedness. Aptiv incurred approximately \$7 million of issuance costs in connection with the 2024 Junior Notes.

The 2024 Junior Notes bear interest from and including September 13, 2024 to, but excluding, December 15, 2029, at an annual rate of 6.875%, and from and including, December 15, 2029, during each interest reset period at an annual interest rate equal to the Five-Year Treasury rate, as contractually defined in the applicable indenture, as of the most recent reset interest determination date, plus 3.385%. Interest on the 2024 Junior Notes is payable semi-annually on June 15 and December 15 (commencing June 15, 2025).

Interest payments on the 2024 Junior Notes may be deferred on one or more occasions, from time to time, for up to 20 consecutive semi-annual interest payment periods. During any optional deferral period, interest on the 2024 Junior Notes will continue to accrue at the then-applicable interest rate on the 2024 Junior Notes. In addition, during any optional deferral period, interest on the deferred interest will accrue at the then-applicable interest rate on the 2024 Junior Notes, compounded semi-annually, to the extent permitted by applicable law.

During any period in which interest payments on the 2024 Junior Notes are deferred, Aptiv may not (i) declare or pay any dividends or distributions, or redeem, purchase, acquire, or make a liquidation payment on, any shares of its capital stock; (ii) make any principal, interest or premium payments on, or repay, purchase or redeem any of its debt securities that are equal in right of payment with, or subordinated to, the 2024 Junior Notes; or (iii) make payments on any guarantees equal in right of payment with, or subordinated to, the 2024 Junior Notes, in each case subject to certain limited exceptions.

Aptiv may redeem the 2024 Junior Notes in whole or in part, at a redemption price equal to 100% of the principal amount of the 2024 Junior Notes being redeemed, plus any accrued and unpaid interest to, but excluding, the redemption date on any day in the period commencing on the date falling 90 days prior to the first reset date and ending on and including the first reset date and, after the first reset date, on any interest payment date. Aptiv also has the option to redeem the 2024 Junior Notes in whole, but not in part, at 102% of their principal amount, plus any accrued and unpaid interest thereon, if a rating agency makes certain changes in the equity credit criteria for securities such as the 2024 Junior Notes.

The indenture for the 2024 Junior Notes does not contain any restrictive covenants on the payments of dividends (except during the aforementioned deferral period), the making of investments, the incurrence of indebtedness or the purchase or prepayment, except, with respect to securities that rank equally with or junior to the 2024 Junior Notes in right of payment during the aforementioned deferral period, of securities by Aptiv or its subsidiaries. The guarantees on the indenture governing the 2024 Junior Notes ranks junior and subordinate in right of payment with all of the guarantors’ existing and future senior indebtedness, any of their existing and future secured indebtedness to the extent of the value of the collateral securing such indebtedness and are structurally subordinated to the indebtedness of each of their existing and future subsidiaries that is not a guarantor. As of June 30, 2025, the Company was in compliance with the provisions of all of the outstanding 2024 Junior Notes.

Other Financing

Receivable factoring—Aptiv maintains a €450 million European accounts receivable factoring facility that is available on a committed basis and allows for factoring of receivables denominated in both Euros and U.S. dollars (“USD”). This facility is accounted for as short-term debt and borrowings are subject to the availability of eligible accounts receivable. Collateral is not required related to these trade accounts receivable. This facility became effective on January 1, 2021 and had an initial term of three years, and was renewed for an additional three-year term, effective November 2023, subject to Aptiv’s right to terminate at any time with three months’ notice. After expiration of the new three-year term, either party can terminate with three months’ notice. Borrowings denominated in Euros under the facility bear interest at the three-month Euro Interbank Offered Rate (“EURIBOR”) plus 0.50% and USD borrowings bear interest at two-month SOFR plus 0.68%, with borrowings under either denomination carrying a minimum interest rate of 0.20%. As of June 30, 2025, Aptiv had no amounts outstanding on the European accounts receivable factoring facility. As of December 31, 2024, Aptiv had approximately \$450 million outstanding under the European accounts receivable factoring facility.

Finance leases and other—As of June 30, 2025 and December 31, 2024, approximately \$34 million and \$64 million, respectively, of other debt primarily issued by certain non-U.S. subsidiaries and finance lease obligations were outstanding.

Interest—Cash paid for interest related to debt outstanding totaled \$200 million and \$124 million for the six months ended June 30, 2025 and 2024, respectively.

Letter of credit facilities—In addition to the letters of credit issued under the Credit Agreement, Aptiv had approximately \$4 million outstanding through other letter of credit facilities as of June 30, 2025 and December 31, 2024, primarily to support arrangements and other obligations at certain of its subsidiaries.

9. PENSION BENEFITS

Certain of Aptiv’s non-U.S. subsidiaries sponsor defined benefit pension plans, which generally provide benefits based on negotiated amounts for each year of service. Aptiv’s primary non-U.S. plans are located in France, Germany, Mexico, Portugal and the United Kingdom (“U.K.”). The U.K. and certain Mexican plans are funded. In addition, Aptiv has defined benefit plans in South Korea, Turkey and Italy for which amounts are payable to employees immediately upon separation. The obligations for these plans are recorded over the requisite service period.

Aptiv sponsors a Supplemental Executive Retirement Program (“SERP”) for those employees who were U.S. executives of the former Delphi Corporation prior to September 30, 2008 and were still U.S. executives of the Company on October 7, 2009, the effective date of the program. This program is unfunded. Executives receive benefits over five years after an involuntary or voluntary separation from Aptiv. The SERP is closed to new members.

The amounts shown below reflect the defined benefit pension expense for the three and six months ended June 30, 2025 and 2024:

	Non-U.S. Plans		U.S. Plans	
	Three Months Ended June 30,			
	2025	2024	2025	2024
	(in millions)			
Service cost	\$ 5	\$ 4	\$ —	\$ —
Interest cost	10	10	—	—
Expected return on plan assets	(4)	(4)	—	—
Amortization of actuarial losses	1	—	—	1
Net periodic benefit cost	\$ 12	\$ 10	\$ —	\$ 1

	Non-U.S. Plans		U.S. Plans	
	Six Months Ended June 30,			
	2025	2024	2025	2024
	(in millions)			
Service cost	\$ 10	\$ 10	\$ —	\$ —
Interest cost	20	21	—	—
Expected return on plan assets	(8)	(9)	—	—
Amortization of actuarial losses	1	—	—	1
Net periodic benefit cost	\$ 23	\$ 22	\$ —	\$ 1

Other postretirement benefit obligations were approximately \$1 million at June 30, 2025 and December 31, 2024.

10. COMMITMENTS AND CONTINGENCIES

Ordinary Business Litigation

Aptiv is from time to time subject to various legal actions and claims incidental to its business, including those arising out of alleged defects, alleged breaches of contracts, product warranties, intellectual property matters, and employment-related matters. It is the opinion of Aptiv that the outcome of such matters will not have a material adverse impact on the consolidated financial position, results of operations, or cash flows of Aptiv. With respect to warranty matters, although Aptiv cannot ensure that the future costs of warranty claims by customers will not be material, Aptiv believes its established reserves are adequate to cover potential warranty settlements.

Environmental Matters

Aptiv is subject to the requirements of U.S. federal, state, local and non-U.S. environmental, health and safety laws and regulations. As of June 30, 2025 and December 31, 2024, the undiscounted reserve for environmental investigation and remediation recorded in other liabilities was approximately \$4 million. Aptiv cannot ensure that environmental requirements will not change or become more stringent over time or that its eventual environmental remediation costs and liabilities will not exceed the amount of its current reserves. In the event that such liabilities were to significantly exceed the amounts recorded, Aptiv's results of operations could be materially affected. At June 30, 2025, the difference between the recorded liabilities and the reasonably possible range of potential loss was not material.

11. INCOME TAXES

In connection with the change of tax residency described in Note 1. General, in December 2024, Aptiv established a new publicly-listed Jersey parent company, New Aptiv, which is resident for tax purposes in Switzerland. Following consummation of the Transaction, Aptiv PLC became a wholly-owned subsidiary of New Aptiv and New Aptiv was renamed "Aptiv PLC."

At the end of each interim period, the Company makes its best estimate of the annual expected effective income tax rate and applies that rate to its ordinary year-to-date earnings or loss. The income tax provision or benefit related to unusual or infrequent items, if applicable, that will be separately reported or reported net of their related tax effects are individually computed and recognized in the interim period in which those items occur. In addition, the effect of changes in enacted tax laws or rates, tax status, judgment on the realizability of a beginning-of-the-year deferred tax asset in future years or income tax contingencies is recognized in the interim period in which the change occurs.

The computation of the annual expected effective income tax rate at each interim period requires certain estimates and assumptions including, but not limited to, the expected pre-tax income (or loss) for the year, projections of the proportion of income (and/or loss) earned and taxed in respective jurisdictions, permanent and temporary differences, and the likelihood of the realizability of deferred tax assets generated in the current year. Global economic conditions and geopolitical factors are difficult to predict and may cause fluctuations in our expected results of operations for the year, which could create volatility in our annual expected effective income tax rate. Jurisdictions with a projected loss for the year or a year-to-date loss for which no tax benefit or expense can be recognized due to a valuation allowance are excluded from the estimated annual effective tax rate. The impact of such an exclusion could result in a higher or lower effective tax rate during a particular quarter, based upon the composition and timing of actual earnings compared to annual projections. The estimates used to compute the provision or benefit for income taxes may change as new events occur, additional information is obtained or as our tax environment changes. To the extent that the expected annual effective income tax rate changes, the effect of the change on prior interim periods is included in the income tax provision in the period in which the change in estimate occurs.

The Company's income tax expense and effective tax rates for the three and six months ended June 30, 2025 and 2024 were as follows:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
	(dollars in millions)			
Income tax expense	\$ 45	\$ 51	\$ 401	\$ 127
Effective tax rate	10 %	5 %	50 %	9 %

The Company's tax rate is affected by the fact that its parent entity was an Irish resident tax payer and became a Swiss resident tax payer in December 2024, the tax rates in Switzerland, Ireland and other jurisdictions in which the Company operates, the relative amount of income earned by jurisdiction and the relative amount of losses or income for which no tax benefit or expense was recognized due to a valuation allowance. The Company's effective tax rate is also impacted by the receipt of certain tax incentives and holidays that reduce the effective tax rate for certain subsidiaries below the statutory rate.

The Company's effective tax rate for the three and six months ended June 30, 2025 includes net discrete tax benefits of approximately \$40 million and net discrete tax expense of approximately \$241 million, respectively, primarily related to a change in valuation allowance on the Swiss tax incentive, as described below, partially offset by changes in other valuation allowances and changes in reserves. The Company's effective tax rate for the three and six months ended June 30, 2024 includes net discrete tax benefits of approximately \$27 million and \$20 million, respectively, primarily related to a business reorganization that occurred in the second quarter of 2024. Also included as a discrete item in the effective tax rate for the three months ended June 30, 2024 is the beneficial impact of approximately 8 points resulting from the Motional AD LLC ("Motional") funding and ownership restructuring transactions, as described further in Note 21. Investment in Affiliates. There was no tax expense associated with these gains as Aptiv's interest in Motional is exempt from capital gains tax in the jurisdiction in which it is owned.

Aptiv PLC is a Swiss resident taxpayer and not a domestic corporation for U.S. federal income tax purposes. As such, it is not subject to U.S. tax on remitted foreign earnings and, as a result of its capital structure, is also generally not subject to Swiss tax on the repatriation of foreign earnings.

Cash paid or withheld for income taxes was \$130 million and \$151 million for the six months ended June 30, 2025 and 2024, respectively.

On December 15, 2022, the European Union (the “E.U.”) Member States formally adopted the Pillar Two Framework (the “Framework”), which generally provides for a minimum effective tax rate of 15%, as established by the Organisation for Economic Co-operation and Development (the “OECD”). Many countries have enacted legislation consistent with the Framework effective at the beginning of 2024. The OECD continues to release additional guidance on these rules. The Company has proactively responded to these tax policy changes and will continue to closely monitor developments. Our effective tax rate for the six months ended June 30, 2025 includes an unfavorable impact from the enacted Framework.

On January 15, 2025, the OECD released Administrative Guidance (the “Guidance”) on Article 9.1 of the Global Anti-Base Erosion Model Rules (the “Model Rules”) which amends the Pillar Two Framework. Jurisdictions that have adopted the Framework may implement and administer their domestic laws consistent with the Model Rules and Guidance. The Guidance eliminates the tax basis in certain deferred tax assets including tax credit carryforwards for purposes of the global minimum tax established under the Framework. As a result, the Company no longer expects to obtain significant benefits from the tax incentive granted to its Swiss subsidiary in 2023. Accordingly, the Company recognized an increase to valuation allowances of \$294 million to reduce the related deferred tax asset during the six months ended June 30, 2025. No other deferred tax assets are impacted by the Guidance.

On July 4, 2025, the One Big Beautiful Bill Act (the “Act”) was enacted into law. The Act includes changes to U.S. tax law that will be applicable to Aptiv beginning in 2025, with additional provisions applying in subsequent years. Included in these changes are favorable adjustments to deductions for interest, qualified property, and research and development expenditures, as well as reforms to the international tax framework. We are in the process of evaluating the impact of the Act on our consolidated financial statements.

12. SHAREHOLDERS’ EQUITY AND NET INCOME PER SHARE

Change of Tax Residency

In connection with the reorganization transaction as further described in Note 1. General, in December 2024, Old Aptiv established a new publicly-listed Jersey parent company, New Aptiv, which is resident for tax purposes in Switzerland. As a result of the Transaction, all issued and outstanding ordinary shares of Old Aptiv were exchanged on a one-for-one basis for newly issued ordinary shares of New Aptiv. Following consummation of the Transaction, holders of Old Aptiv shares became ordinary shareholders of New Aptiv, Old Aptiv became a wholly-owned subsidiary of New Aptiv and New Aptiv was renamed “Aptiv PLC.” Old Aptiv merged with and into Aptiv Swiss Holdings, a newly formed Jersey incorporated private limited company, and a direct, wholly-owned subsidiary of New Aptiv, with Aptiv Swiss Holdings surviving as a direct, wholly-owned subsidiary of New Aptiv, and Old Aptiv ceasing to exist.

Net Income Per Share

Basic net income per share is computed by dividing net income attributable to Aptiv by the weighted average number of ordinary shares outstanding during the period. Diluted net income per share reflects the weighted average dilutive impact of all potentially dilutive securities from the date of issuance and is computed using the treasury stock method by dividing net income attributable to Aptiv by the diluted weighted average number of ordinary shares outstanding during the period. Unless otherwise noted, share and per share amounts included in these notes are on a diluted basis. For all periods presented, the calculation of net income per share contemplates the dilutive impacts, if any, of the Company’s share-based compensation plans. Refer to Note 18. Share-Based Compensation for additional information.

Weighted Average Shares

The following table illustrates net income per share attributable to Aptiv and the weighted average shares outstanding used in calculating basic and diluted income per share:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
(in millions, except per share data)				
Numerator:				
Net income attributable to Aptiv	\$ 393	\$ 938	\$ 382	\$ 1,156
Denominator:				
Weighted average ordinary shares outstanding, basic	217.73	270.19	223.91	272.69
Dilutive shares related to restricted stock units	0.38	0.24	0.41	0.18
Weighted average ordinary shares outstanding, including dilutive shares	218.11	270.43	224.32	272.87
Net income per share attributable to Aptiv:				
Basic	\$ 1.80	\$ 3.47	\$ 1.71	\$ 4.24
Diluted	\$ 1.80	\$ 3.47	\$ 1.70	\$ 4.24

Share Repurchase Programs

In July 2024, the Board of Directors authorized a share repurchase program of up to \$5.0 billion of ordinary shares, which commenced in August 2024 following completion of the Company's \$2.0 billion January 2019 share repurchase program. This share repurchase program provides for share purchases in the open market or in privately negotiated transactions (which may include derivative transactions, including an accelerated share repurchase program ("ASR")), depending on share price, market conditions and other factors, as determined by the Company.

As part of the Company's share repurchase program, on August 1, 2024, the Company entered into ASR agreements with each of Goldman Sachs International and JPMorgan Chase Bank, N.A. to repurchase an aggregate of \$3.0 billion of Aptiv's ordinary shares (the "ASR Agreements").

Under the terms of the ASR Agreements, on August 2, 2024, the Company made an aggregate payment of \$3.0 billion (the "Repurchase Price") and received initial deliveries of approximately 30.8 million ordinary shares with a value of \$2.25 billion, which were retired immediately and recorded as a reduction to shareholders' equity. Aptiv incurred approximately \$4 million of direct costs in connection with the ASR Agreements. Given the Company's ability to settle in shares, the remaining \$750 million prepaid forward contract was classified as a reduction to additional paid-in capital as of December 31, 2024. The Company initially funded the accelerated share repurchase program with cash on hand and borrowings under the Bridge Credit Agreement. The Bridge Credit Agreement was subsequently repaid and terminated during the third quarter of 2024 using proceeds from the Term Loan A and issuance of the 2024 Senior Notes and 2024 Junior Notes, as further described in Note 8. Debt.

During the six months ended June 30, 2025, upon final settlements under the ASR Agreements, Aptiv received incremental deliveries of approximately 17.7 million ordinary shares. All shares delivered to Aptiv under the ASR Agreements were retired immediately. Under the ASR Agreements, the Company received total deliveries of approximately 48.5 million ordinary shares at an average price of \$61.84 per share, based on the average daily volume-weighted average price of our ordinary shares on specified dates during the terms of the ASR Agreements, less a discount and subject to adjustments pursuant to the terms and conditions of the ASR Agreements. There was no other share repurchase activity during the six months ended June 30, 2025.

During the six months ended June 30, 2024, we repurchased approximately 12.7 million of our outstanding ordinary shares for \$1,034 million in the open market.

As of June 30, 2025, approximately \$2,515 million of share repurchases remained available under the July 2024 share repurchase program. All previously repurchased shares were retired and are reflected as a reduction of ordinary share capital for the par value of the shares, with the excess applied as reductions to additional paid-in-capital and retained earnings.

13. CHANGES IN ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS)

The changes in accumulated other comprehensive income (loss) attributable to Aptiv (net of tax) for the three and six months ended June 30, 2025 and 2024 are shown below:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
	(in millions)			
Foreign currency translation adjustments:				
Balance at beginning of period	\$ (935)	\$ (829)	\$ (1,036)	\$ (761)
Aggregate adjustment for the period (1)	218	(86)	319	(154)
Balance at end of period	(717)	(915)	(717)	(915)
Gains (losses) on derivatives:				
Balance at beginning of period	(59)	155	(121)	140
Other comprehensive income before reclassifications (net tax effect of \$(12), \$(4), \$(23) and \$(4))	67	(50)	128	9
Reclassification to income (net tax effect of \$(2), \$2, \$(5) and \$2)	4	(51)	5	(95)
Balance at end of period	12	54	12	54
Pension and postretirement plans:				
Balance at beginning of period	(13)	(24)	(13)	(24)
Other comprehensive income before reclassifications (net tax effect of \$1, \$0, \$1, and \$0)	(2)	—	(2)	—
Reclassification to income (nil net tax effect for all periods presented)	1	1	1	1
Balance at end of period	(14)	(23)	(14)	(23)
Unrealized gains (losses) on available-for-sale debt securities:				
Balance at beginning of period	(4)	—	(4)	—
Other comprehensive income before reclassifications (net tax effect of \$(1), \$0, \$(1) and \$0) (2)	9	—	9	—
Reclassification to income (nil net tax effect for all periods presented)	—	—	—	—
Balance at end of period	5	—	5	—
Accumulated other comprehensive loss, end of period	<u>\$ (714)</u>	<u>\$ (884)</u>	<u>\$ (714)</u>	<u>\$ (884)</u>

- (1) Includes losses of \$112 million and \$162 million for three and six months ended June 30, 2025, respectively, and gains of \$18 million and \$42 million for the three and six months ended June 30, 2024, respectively, related to non-derivative net investment hedges. Refer to Note 14. Derivatives and Hedging Activities for further description of these hedges. Includes \$6 million of accumulated currency translation adjustment gains reclassified to net income as a result of the sale of the Company's investment in TTTech Auto AG ("TTTech Auto") during the three months ended June 30, 2025. Refer to Note 21. Investment in Affiliates for additional information.
- (2) Represents change in fair value for the Company's investments in StradVision, Inc. ("StradVision") and MAXIEYE Automotive Technology (Ningbo) Co., Ltd ("Maxieye"), both of which are foreign currency-denominated investments. Refer to Note 15. Fair Value of Financial Instruments for additional information.

Reclassifications from accumulated other comprehensive income (loss) to income for the three and six months ended June 30, 2025 and 2024 were as follows:

Reclassification Out of Accumulated Other Comprehensive Income (Loss)					
Details About Accumulated Other Comprehensive Income Components	Three Months Ended June 30,		Six Months Ended June 30,		Affected Line Item in the Statements of Operations
	2025	2024	2025	2024	
(in millions)					
Foreign currency translation adjustments:					
Sale of equity method investment (1)	\$ 6	\$ —	\$ 6	\$ —	Net gain on equity method transactions
	6	—	6	—	Income before income taxes
	—	—	—	—	Income tax expense
	6	—	6	—	Net income
	—	—	—	—	Net income attributable to noncontrolling interest
	<u>\$ 6</u>	<u>\$ —</u>	<u>\$ 6</u>	<u>\$ —</u>	Net income attributable to Aptiv
Gains (losses) on derivatives:					
Commodity derivatives	\$ 6	\$ 9	\$ 10	\$ 5	Cost of sales
Foreign currency derivatives	<u>(12)</u>	<u>44</u>	<u>(20)</u>	<u>92</u>	Cost of sales
	(6)	53	(10)	97	Income before income taxes
	2	(2)	5	(2)	Income tax expense
	(4)	51	(5)	95	Net income
	—	—	—	—	Net income attributable to noncontrolling interest
	<u>\$ (4)</u>	<u>\$ 51</u>	<u>\$ (5)</u>	<u>\$ 95</u>	Net income attributable to Aptiv
Pension and postretirement plans:					
Actuarial losses	<u>\$ (1)</u>	<u>\$ (1)</u>	<u>\$ (1)</u>	<u>\$ (1)</u>	Other income, net (2)
	(1)	(1)	(1)	(1)	Income before income taxes
	—	—	—	—	Income tax expense
	(1)	(1)	(1)	(1)	Net income
	—	—	—	—	Net income attributable to noncontrolling interest
	<u>\$ (1)</u>	<u>\$ (1)</u>	<u>\$ (1)</u>	<u>\$ (1)</u>	Net income attributable to Aptiv
Total reclassifications for the period	<u>\$ 1</u>	<u>\$ 50</u>	<u>\$ —</u>	<u>\$ 94</u>	

(1) Represents accumulated currency translation adjustment gains reclassified to net income as a result of the sale of the Company's investment in TTTech Auto during the three months ended June 30, 2025.

(2) These accumulated other comprehensive loss components are included in the computation of net periodic pension cost (see Note 9. Pension Benefits for additional details).

14. DERIVATIVES AND HEDGING ACTIVITIES

Cash Flow Hedges

Aptiv is exposed to market risk, such as fluctuations in foreign currency exchange rates, commodity prices and changes in interest rates, which may result in cash flow risks. To manage the volatility relating to these exposures, Aptiv aggregates the exposures on a consolidated basis to take advantage of natural offsets. For exposures that are not offset within its operations, Aptiv enters into various derivative transactions pursuant to its risk management policies, which prohibit holding or issuing derivative financial instruments for speculative purposes, and designation of derivative instruments is performed on a transaction basis to support hedge accounting. The changes in fair value of these hedging instruments are offset in part or in whole by corresponding changes in the fair value or cash flows of the underlying exposures being hedged. Aptiv assesses the initial and ongoing effectiveness of its hedging relationships in accordance with its documented policy.

As of June 30, 2025, the Company had the following outstanding notional amounts related to commodity and foreign currency forward and option contracts designated as cash flow hedges that were entered into to hedge forecasted exposures:

Commodity	Quantity Hedged	Unit of Measure	Notional Amount (Approximate USD Equivalent)	
	(in thousands)		(in millions)	
Copper	81,690	pounds	\$	365

Foreign Currency	Quantity Hedged	Unit of Measure	Notional Amount (Approximate USD Equivalent)	
		(in millions)		
Mexican Peso	23,993	MXN	\$	1,270
Chinese Yuan Renminbi	3,216	RMB	\$	450
Polish Zloty	942	PLN	\$	260
Hungarian Forint	24,646	HUF	\$	70
British Pound	52	GBP	\$	70

As of June 30, 2025, Aptiv has entered into derivative instruments to hedge cash flows extending out to June 2027.

Gains and losses on derivatives qualifying as cash flow hedges are recorded in accumulated OCI, to the extent that hedges are effective, until the underlying transactions are recognized in earnings. Unrealized amounts in accumulated OCI will fluctuate based on changes in the fair value of hedge derivative contracts at each reporting period. Net gains on cash flow hedges included in accumulated OCI as of June 30, 2025 were \$40 million (approximately \$35 million, net of tax). Of this total, approximately \$26 million of gains are expected to be included in cost of sales within the next 12 months and approximately \$14 million of gains are expected to be included in cost of sales in subsequent periods. Cash flow hedges are discontinued when Aptiv determines it is no longer probable that the originally forecasted transactions will occur. Cash flows from derivatives used to manage commodity and foreign exchange risks designated as cash flow hedges are classified as operating activities within the consolidated statements of cash flows.

Net Investment Hedges

The Company is also exposed to the risk that adverse changes in foreign currency exchange rates could impact its net investment in non-U.S. subsidiaries. To manage this risk, the Company designates certain qualifying derivative and non-derivative instruments, including foreign currency forward contracts and foreign currency-denominated debt, as net investment hedges of certain non-U.S. subsidiaries. The gains or losses on instruments designated as net investment hedges are recognized within OCI to offset changes in the value of the net investment in these foreign currency-denominated operations. Gains and losses reported in accumulated OCI are reclassified to earnings only when the related currency translation adjustments are required to be reclassified, usually upon sale or liquidation of the investment. Cash flows from derivatives designated as net investment hedges are classified as investing activities within the consolidated statements of cash flows.

The Company has entered into a series of forward contracts, each of which have been designated as net investment hedges of the foreign currency exposure of the Company's investments in certain Chinese Yuan Renminbi ("RMB")-denominated subsidiaries. During the six months ended June 30, 2025 and 2024, the Company received \$5 million and less than \$1 million, respectively, at settlement related to forward contracts that matured during the respective period. In March 2025, the Company entered into forward contracts with a total notional amount of 700 million RMB (approximately \$100 million, using foreign currency rates on the trade date), which mature in September 2025. Refer to the tables below for details of the fair value

recorded in the consolidated balance sheets and the effects recorded in the consolidated statements of operations and consolidated statements of comprehensive income related to these derivative instruments.

The Company has designated the €750 million 2024 Euro-denominated Senior Notes and the €500 million 2016 Euro-denominated Senior Notes as net investment hedges of the foreign currency exposure of its investments in certain Euro-denominated subsidiaries, and had designated the €700 million 2015 Euro-denominated Senior Notes prior to being redeemed in the fourth quarter of 2024, as more fully described in Note 8. Debt. Due to changes in the value of the Euro-denominated debt instruments designated as net investment hedges, during the three and six months ended June 30, 2025, \$112 million and \$162 million of losses, respectively, were recognized within the cumulative translation adjustment component of OCI. During the three and six months ended June 30, 2024, \$18 million and \$42 million of gains, respectively were recognized within the cumulative translation adjustment component of OCI. Included in accumulated OCI related to these net investment hedges were cumulative losses of \$87 million and gains of \$75 million as of June 30, 2025 and December 31, 2024, respectively.

Derivatives Not Designated as Hedges

In certain occasions the Company enters into certain foreign currency and commodity contracts that are not designated as hedges. When hedge accounting is not applied to derivative contracts, gains and losses are recorded to other income, net and cost of sales in the consolidated statements of operations.

Fair Value of Derivative Instruments in the Balance Sheet

The fair value of derivative financial instruments recorded in the consolidated balance sheets as of June 30, 2025 and December 31, 2024 are as follows:

						Net Amounts of Assets and (Liabilities) Presented in the Balance Sheet	
Asset Derivatives				Liability Derivatives			
Balance Sheet Location		June 30, 2025		Balance Sheet Location		June 30, 2025	
(in millions)							
Derivatives designated as cash flow hedges:							
Commodity derivatives	Other current assets	\$	18	Accrued liabilities	\$	—	
Foreign currency derivatives*	Other current assets		27	Other current assets		4	\$ 23
Foreign currency derivatives*	Accrued liabilities		2	Accrued liabilities		3	(1)
Commodity derivatives	Other long-term assets		2	Other long-term liabilities		—	
Foreign currency derivatives*	Other long-term assets		12	Other long-term assets		3	9
Foreign currency derivatives*	Other long-term liabilities		1	Other long-term liabilities		1	—
Derivatives designated as net investment hedges:							
Foreign currency derivatives	Other current assets		—	Accrued liabilities		1	
Total derivatives designated as hedges		\$	62			\$	12
Derivatives not designated:							
Foreign currency derivatives*	Other current assets	\$	2	Other current assets	\$	—	2
Total derivatives not designated as hedges		\$	2			\$	—

				Net Amounts of Assets and (Liabilities) Presented in the Balance Sheet	
Asset Derivatives			Liability Derivatives		
Balance Sheet Location	December 31, 2024		Balance Sheet Location	December 31, 2024	December 31, 2024
(in millions)					
Derivatives designated as cash flow hedges:					
Commodity derivatives	Other current assets	\$ 5	Accrued liabilities	\$ 5	
Foreign currency derivatives*	Other current assets	10	Other current assets	3	\$ 7
Foreign currency derivatives*	Accrued liabilities	10	Accrued liabilities	80	(70)
Commodity derivatives	Other long-term assets	1	Other long-term liabilities	7	
Foreign currency derivatives*	Other long-term liabilities	3	Other long-term liabilities	35	(32)
Derivatives designated as net investment hedges:					
Foreign currency derivatives	Other current assets	5	Accrued liabilities	—	
Total derivatives designated as hedges		\$ 34			\$ 130
Derivatives not designated:					
Foreign currency derivatives*	Other current assets	\$ 1	Other current assets	\$ —	1
Foreign currency derivatives*	Accrued liabilities	—	Accrued liabilities	1	(1)
Total derivatives not designated as hedges		\$ 1			\$ 1

* Derivative instruments within this category are subject to master netting arrangements and are presented on a net basis in the consolidated balance sheets in accordance with accounting guidance related to the offsetting of amounts related to certain contracts.

The fair value of Aptiv's derivative financial instruments were in a net asset position as of June 30, 2025 and a net liability position as of December 31, 2024.

Effect of Derivatives on the Statements of Operations and Statements of Comprehensive Income

The pre-tax effects of derivative financial instruments in the consolidated statements of operations and consolidated statements of comprehensive income for the three and six months ended June 30, 2025 and 2024 are as follows:

<u>Three Months Ended June 30, 2025</u>	<u>Gain (Loss) Recognized in OCI</u>	<u>Gain (Loss) Reclassified from OCI into Income</u>
	(in millions)	
Derivatives designated as cash flow hedges:		
Commodity derivatives	\$ 4	\$ 6
Foreign currency derivatives	76	(12)
Derivatives designated as net investment hedges:		
Foreign currency derivatives	(1)	—
Total	<u>\$ 79</u>	<u>\$ (6)</u>
		<u>Gain Recognized in Income</u>
		(in millions)
Derivatives not designated:		
Foreign currency derivatives		\$ 3
Total		<u>\$ 3</u>

<u>Three Months Ended June 30, 2024</u>		<u>Gain (Loss) Recognized in OCI</u>	<u>Gain Reclassified from OCI into Income</u>
		(in millions)	
Derivatives designated as cash flow hedges:			
Commodity derivatives	\$	40	\$ 9
Foreign currency derivatives		(87)	44
Derivatives designated as net investment hedges:			
Foreign currency derivatives		1	—
Total	\$	(46)	\$ 53
		Loss Recognized in Income	
		(in millions)	
Derivatives not designated:			
Foreign currency derivatives			\$ (1)
Total			\$ (1)
<u>Six Months Ended June 30, 2025</u>		<u>Gain (Loss) Recognized in OCI</u>	<u>Gain (Loss) Reclassified from OCI into Income</u>
		(in millions)	
Derivatives designated as cash flow hedges:			
Commodity derivatives	\$	36	\$ 10
Foreign currency derivatives		117	(20)
Derivatives designated as net investment hedges:			
Foreign currency derivatives		(2)	—
Total	\$	151	\$ (10)
		Gain Recognized in Income	
		(in millions)	
Derivatives not designated:			
Foreign currency derivatives			\$ 4
Total			\$ 4
<u>Six Months Ended June 30, 2024</u>		<u>Gain (Loss) Recognized in OCI</u>	<u>Gain Reclassified from OCI into Income</u>
		(in millions)	
Derivatives designated as cash flow hedges:			
Commodity derivatives	\$	56	\$ 5
Foreign currency derivatives		(46)	92
Derivatives designated as net investment hedges:			
Foreign currency derivatives		3	—
Total	\$	13	\$ 97

	Loss Recognized in Income
	(in millions)
Derivatives not designated:	
Foreign currency derivatives	\$ (4)
Total	\$ (4)

The gain or loss recognized in income for designated and non-designated derivative instruments was recorded to cost of sales and other income, net in the consolidated statements of operations for the three and six months ended June 30, 2025 and 2024, respectively.

15. FAIR VALUE OF FINANCIAL INSTRUMENTS

Fair Value Measurements on a Recurring Basis

Derivative instruments—All derivative instruments are required to be reported on the balance sheet at fair value unless the transactions qualify and are designated as normal purchases or sales. Changes in fair value are reported currently through earnings unless they meet hedge accounting criteria. Aptiv’s derivative exposures are with counterparties with long-term investment grade credit ratings. Aptiv estimates the fair value of its derivative contracts using an income approach based on valuation techniques to convert future amounts to a single, discounted amount. Estimates of the fair value of foreign currency and commodity derivative instruments are determined using exchange traded prices and rates. Aptiv also considers the risk of non-performance in the estimation of fair value, and includes an adjustment for non-performance risk in the measure of fair value of derivative instruments. The non-performance risk adjustment reflects the credit default spread (“CDS”) applied to the net commodity by counterparty and foreign currency exposures by counterparty. When Aptiv is in a net derivative asset position, the counterparty CDS rates are applied to the net derivative asset position. When Aptiv is in a net derivative liability position, estimates of peer companies’ CDS rates are applied to the net derivative liability position.

In certain instances where market data is not available, Aptiv uses management judgment to develop assumptions that are used to determine fair value. This could include situations of market illiquidity for a particular currency or commodity or where observable market data may be limited. In those situations, Aptiv generally surveys investment banks and/or brokers and utilizes the surveyed prices and rates in estimating fair value.

As of June 30, 2025 and December 31, 2024, Aptiv was in a net derivative asset position of \$52 million and a net derivative liability position of \$96 million, respectively, and no significant adjustments were recorded for nonperformance risk based on the application of peer companies’ CDS rates, evaluation of our own nonperformance risk and because Aptiv’s exposures were to counterparties with investment grade credit ratings. Refer to Note 14. Derivatives and Hedging Activities for further information regarding derivatives.

Publicly traded equity securities—All publicly traded equity securities are reported at fair value as of each reporting date. The measurement of the asset is based on quoted prices for identical assets on active market exchanges. Gains and losses from changes in the fair value of these securities are recorded within other income, net on the consolidated statements of operations.

Available-for-sale debt securities—Investments in available-for-sale debt securities are reported at fair value with changes in the fair value recorded in other comprehensive income. Changes in the fair value of available-for-sale debt securities impact earnings only when such securities are sold, or an allowance for expected credit losses or impairment is recognized.

As further described in Note 21. Investments in Affiliates, the Company owns investments in Maxieye and StradVision, which are classified as available-for-sale debt securities due to the Company’s redemption rights, and are included within other long-term assets in the consolidated balance sheets. The fair value measurements of these investments are based on significant inputs that are not observable in the market, and are therefore classified as a Level 3 measurement.

The below table summarizes the cost, cumulative unrealized gains, cumulative unrealized losses and estimated fair value of Aptiv's debt securities as of June 30, 2025 and December 31, 2024:

	Cost basis	Gross unrealized gains	Gross unrealized losses	Estimated fair value
	(in millions)			
As of June 30, 2025				
Available-for-sale debt securities	\$ 205	\$ 18	\$ (12)	\$ 211
Total debt securities	<u>\$ 205</u>	<u>\$ 18</u>	<u>\$ (12)</u>	<u>\$ 211</u>
As of December 31, 2024				
Available-for-sale debt securities	\$ 165	\$ 8	\$ (12)	\$ 161
Total debt securities	<u>\$ 165</u>	<u>\$ 8</u>	<u>\$ (12)</u>	<u>\$ 161</u>

The change in fair value of available-for-sale debt securities classified as a Level 3 measurement for the six months ended June 30, 2025 and 2024 are as follows:

	Six Months Ended June 30,	
	2025	2024
	(in millions)	
Fair value at beginning of period	\$ 161	\$ —
Additions	40	84
Measurement adjustments	10	—
Fair value at end of period	<u>\$ 211</u>	<u>\$ 84</u>

There were no impairment charges related to these investments during the three and six months ended June 30, 2025 and 2024.

As of June 30, 2025 and December 31, 2024, Aptiv had the following assets measured at fair value on a recurring basis:

	Total	Quoted Prices in Active Markets Level 1	Significant Other Observable Inputs Level 2	Significant Unobservable Inputs Level 3
	(in millions)			
As of June 30, 2025:				
Commodity derivatives	\$ 20	\$ —	\$ 20	\$ —
Foreign currency derivatives	34	—	34	—
Publicly traded equity securities	11	11	—	—
Available-for-sale debt securities	211	—	—	211
Total	<u>\$ 276</u>	<u>\$ 11</u>	<u>\$ 54</u>	<u>\$ 211</u>
As of December 31, 2024:				
Commodity derivatives	\$ 6	\$ —	\$ 6	\$ —
Foreign currency derivatives	13	—	13	—
Publicly traded equity securities	11	11	—	—
Available-for-sale debt securities	161	—	—	161
Total	<u>\$ 191</u>	<u>\$ 11</u>	<u>\$ 19</u>	<u>\$ 161</u>

As of June 30, 2025 and December 31, 2024, Aptiv had the following liabilities measured at fair value on a recurring basis:

	Total	Quoted Prices in Active Markets Level 1	Significant Other Observable Inputs Level 2	Significant Unobservable Inputs Level 3
	(in millions)			
As of June 30, 2025:				
Foreign currency derivatives	\$ 2	\$ —	\$ 2	\$ —
Total	\$ 2	\$ —	\$ 2	\$ —
As of December 31, 2024:				
Commodity derivatives	\$ 12	\$ —	\$ 12	\$ —
Foreign currency derivatives	103	—	103	—
Total	\$ 115	\$ —	\$ 115	\$ —

Non-derivative financial instruments—Aptiv’s non-derivative financial instruments include cash and cash equivalents, accounts and notes receivable, accounts payable, as well as debt, which consists of its accounts receivable factoring arrangement, finance leases and other debt issued by Aptiv’s non-U.S. subsidiaries, the Revolving Credit Facility, the Term Loan A and all series of outstanding senior and junior notes. The fair value of debt is based on quoted market prices for instruments with public market data or significant other observable inputs for instruments without a quoted public market price (Level 2). As of June 30, 2025 and December 31, 2024, total debt was recorded at \$7,790 million and \$8,352 million, respectively, and had estimated fair values of \$6,656 million and \$7,125 million, respectively. For all other financial instruments recorded at June 30, 2025 and December 31, 2024, fair value approximates book value.

Fair Value Measurements on a Nonrecurring Basis

In addition to items that are measured at fair value on a recurring basis, Aptiv also has items in its balance sheet that are measured at fair value on a nonrecurring basis. As these items are not measured at fair value on a recurring basis, they are not included in the tables above. Financial and nonfinancial assets and liabilities that are measured at fair value on a nonrecurring basis include long-lived assets, intangible assets, equity investments without readily determinable fair values and liabilities for exit or disposal activities measured at fair value upon initial recognition. Aptiv recorded non-cash long-lived asset impairment charges of \$4 million during the three months ended June 30, 2025 within cost of sales, primarily related to the declines in the fair value of certain fixed assets in connection with a planned site exit. Aptiv recorded non-cash long-lived asset impairment charges of \$9 million during the six months ended June 30, 2025 within cost of sales, primarily related to the declines in the fair value of certain fixed assets in connection with the consolidation of certain business operations and in connection with a planned site exit. Aptiv recorded non-cash long-lived asset impairment charges of \$14 million for the six months ended June 30, 2024 within cost of sales, primarily related to an operating lease right-of-use asset that will no longer be in use during the remaining lease term. Fair value of long-lived and other assets is determined primarily using the anticipated cash flows discounted at a rate commensurate with the risk involved and a review of appraisals or other market indicators and management estimates. As such, Aptiv has determined that the fair value measurements of long-lived and other assets principally fall in Level 3 of the fair value hierarchy.

16. OTHER INCOME, NET

Other income, net included:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
	(in millions)			
Interest income	\$ 13	\$ 16	\$ 24	\$ 36
Loss on extinguishment of debt	—	—	(3)	—
Components of net periodic benefit cost other than service cost (Note 9)	(7)	(7)	(13)	(13)
Gain on change in fair value of publicly traded equity securities	3	3	1	2
Other, net	3	(2)	3	—
Other income, net	\$ 12	\$ 10	\$ 12	\$ 25

During the three months ended June 30, 2025 and 2024, net unrealized gains of \$3 million were recognized for publicly traded equity securities still held as of June 30, 2025. During the six months ended June 30, 2025 and 2024, net unrealized gains of \$1 million and \$2 million, respectively, were recognized for publicly traded equity securities still held as of June 30, 2025.

17. ACQUISITIONS AND DIVESTITURES

In April 2025, one of Aptiv's wholly-owned subsidiaries completed the sale of certain assets (net of certain liabilities) that were previously reported within the Advanced Safety and User Experience segment for net cash proceeds of approximately \$4 million. As a result of the sale, the Company recognized a pre-tax gain of approximately \$5 million during the three months ended June 30, 2025, within cost of sales in the consolidated statements of operations.

The Company had no other business acquisitions or divestitures during the three and six months ended June 30, 2025 and for the fiscal year ended December 31, 2024.

18. SHARE-BASED COMPENSATION

Long-Term Incentive Plan

The Aptiv PLC 2024 Long-Term Incentive Plan (the "2024 LTIP"), which was approved by the Company's shareholders in April 2024, allows for the grant of awards of up to 9,880,000 ordinary shares for long-term compensation. Prior to April 2024, the Company issued awards for long-term compensation under the Aptiv PLC Long-Term Incentive Plan, as amended and restated effective April 23, 2015 (the "PLC LTIP"). The Company's long-term incentive plans were designed to align the interests of management and shareholders. The awards can be in the form of shares, options, stock appreciation rights, restricted stock units ("RSUs"), performance awards and other share-based awards to the employees, directors, consultants and advisors of the Company. The Company has awarded annual long-term grants of RSUs under its long-term incentive plans in order to align management compensation with Aptiv's overall business strategy. All of the RSUs granted under both the 2024 LTIP and PLC LTIP are eligible to receive dividend equivalents for any dividend paid from the grant date through the vesting date. When applicable, dividend equivalents are paid out in ordinary shares upon vesting of the underlying RSUs. In addition, the Company has competitive and market-appropriate ownership requirements for its directors and officers.

In connection with the reorganization transaction as further described in Note 1. General, in December 2024, Old Aptiv established a new publicly-listed Jersey parent company, New Aptiv, which is resident for tax purposes in Switzerland. As a result of the Transaction, all issued and outstanding ordinary shares of Old Aptiv were exchanged on a one-for-one basis for newly issued ordinary shares of New Aptiv. In connection with the Transaction, New Aptiv assumed Old Aptiv's long-term incentive plans.

Board of Director Awards

Aptiv has granted RSUs to the Board of Directors as detailed in the table below:

Grant Date	RSUs granted	Grant Date Fair Value (1)	Vesting Date	Shares Issued Upon Vesting	Fair Value of Shares at Issuance	Shares Withheld to Cover Withholding Taxes
(dollars in millions)						
April 2025	38,590	\$ 2	April 2026	N/A	N/A	N/A
April 2024	30,497	\$ 2	April 2025	29,199	\$ 2	1,298
April 2023	20,584	\$ 2	April 2024	18,272	\$ 1	2,312

(1) Determined based on the closing price of the Company's ordinary shares on the date of the grant.

Executive Awards

Aptiv has made annual grants of RSUs to its executives in February of each year beginning in 2012. These awards include a time-based vesting portion and a performance-based vesting portion, as well as continuity awards in certain years. The time-based RSUs, which make up 40% of the awards for Aptiv's officers and 50% for Aptiv's other executives, vest ratably over three years beginning on the first anniversary of the grant date. The performance-based RSUs, which make up 60% of the awards for Aptiv's officers and 50% for Aptiv's other executives, vest at the completion of a three-year performance period if certain targets are met. Each executive will receive between 0% and 240% (200% prior to 2025) of his or her target performance-based award based on the Company's performance against established company-wide performance metrics, which are:

Metric	2025 Grant	2021 - 2024 Grants
Average return on invested capital (1)	70%	N/A
Software and adjacent market revenue	30%	N/A
Relative total shareholder return (2)	(3)	33%
Average return on net assets (4)	N/A	33%
Cumulative net income	N/A	33%

- (1) Average return on invested capital is measured by tax-affected operating income divided by average invested capital. Average invested capital is measured by the sum of average total shareholders' equity plus average net debt for each calendar year during the respective performance period.
- (2) Relative total shareholder return is measured by comparing the average closing price per share of the Company's ordinary shares for the specified trading days in December of the performance period to the average closing price per share of the Company's ordinary shares for the specified trading days in December of the year preceding the grant, including dividends, and assessed against a comparable measure of competitor and peer group companies.
- (3) The performance-based RSUs granted in 2025 are subject to a performance modifier based on relative total shareholder return, whereby the ultimate payout level of the performance-based RSUs may be adjusted upwards by 20% if relative total shareholder return is in the upper quartile against a comparable measure of competitor and peer group companies or downwards by 20% if in the bottom quartile for the specified trading days of the performance period as defined above. There will be no adjustment if relative total shareholder return is in the middle quartiles.
- (4) Average return on net assets is measured by tax-affected operating income divided by average net working capital plus average net property, plant and equipment for each calendar year during the respective performance period.

The details of the annual executive grants were as follows:

Grant Date	RSUs Granted	Grant Date Fair Value	Time-Based Award Vesting Dates	Performance-Based Award Vesting Date
(in millions)				
February 2021	0.44	\$ 72	Annually on anniversary of grant date, 2022 - 2024	December 31, 2023
February 2022	0.59	\$ 80	Annually on anniversary of grant date, 2023 - 2025	December 31, 2024
February 2023	0.79	\$ 99	Annually on anniversary of grant date, 2024 - 2026	December 31, 2025
February 2024	1.12	\$ 94	Annually on anniversary of grant date, 2025 - 2027	December 31, 2026
February 2025	1.88	\$ 130	Annually on anniversary of grant date, 2026 - 2028	December 31, 2027

The grant date fair value of the RSUs is determined based on the target number of awards issued, the closing price of the Company's ordinary shares on the date of the grant of the award, including an estimate for forfeitures, and a contemporaneous valuation performed by a third-party valuation specialist with respect to the portion of the awards subject to relative total shareholder return.

Any new executives hired after the annual executive RSU grant date may be eligible to participate in the 2024 LTIP. The Company has also granted additional awards to employees in certain periods under both the PLC LTIP and 2024 LTIP. Any off-cycle grants made to new hires or other employees are valued at their grant date fair value based on the closing price of the Company's ordinary shares on the date of such grant.

The details of shares issued for vested annual executive grants are as follows:

Vesting Date	Time-Based Awards			Performance-Based Awards		
	Ordinary Shares Issued Upon Vesting	Fair Value of Shares at Issuance	Ordinary Shares Withheld to Cover Withholding Taxes	Ordinary Shares Issued Upon Vesting	Fair Value of Shares at Issuance	Ordinary Shares Withheld to Cover Withholding Taxes
	(dollars in millions)					
Q1 2025	554,363	\$ 36	224,317	138,010	\$ 9	58,518
Q1 2024	461,052	\$ 36	188,897	151,245	\$ 12	65,910

A summary of RSU activity, including award grants, vesting and forfeitures is provided below:

	RSUs	Weighted Average Grant Date Fair Value
	(in thousands)	
Nonvested, January 1, 2025	2,770	\$ 92.98
Granted	2,087	\$ 68.97
Vested	(635)	\$ 96.62
Forfeited	(211)	\$ 84.03
Nonvested, June 30, 2025	4,011	\$ 80.38

Aptiv recognized share-based compensation expense related to these RSUs of \$37 million (\$32 million, net of tax) and \$27 million (\$23 million, net of tax) based on the Company's best estimate of ultimate performance against the respective targets during the three months ended June 30, 2025 and 2024, respectively. Aptiv recognized share-based compensation expense of \$67 million (\$59 million, net of tax) and \$52 million (\$44 million, net of tax) based on the Company's best estimate of ultimate performance against the respective targets during the six months ended June 30, 2025 and 2024, respectively. Aptiv will continue to recognize compensation expense, based on the grant date fair value of the awards applied to the Company's best estimate of ultimate performance against the respective targets, over the requisite vesting periods of the awards. Based on the grant date fair value of the awards and the Company's best estimate of ultimate performance against the respective targets as of June 30, 2025, unrecognized compensation expense on a pre-tax basis of approximately \$253 million is anticipated to be recognized over a weighted average period of approximately two years. For the six months ended June 30, 2025 and 2024, approximately \$19 million and \$21 million, respectively, of cash was paid and reflected as a financing activity in the consolidated statements of cash flows related to the tax withholding for vested RSUs.

19. SEGMENT REPORTING

In connection with the Separation, as further described in Note 22. Separation of Electrical Distribution Systems, in the first quarter of 2025 Aptiv realigned its business into three reportable operating segments: Electrical Distribution Systems, Engineered Components Group and Advanced Safety and User Experience. Prior period amounts have been adjusted retrospectively to reflect the change in reportable operating segments, consistent with the current year presentation, throughout the consolidated financial statements and the accompanying notes to the consolidated financial statements.

Aptiv operates its core business along the following operating segments, which are grouped on the basis of similar product, market and operating factors:

- Electrical Distribution Systems, which includes the full range of low voltage and high voltage power, signal and data distribution solutions needed to deliver fully integrated, cost-optimized architectures. As described in Note 22. Separation of Electrical Distribution Systems, the Company is pursuing a separation of the Electrical Distribution Systems business into a new, independent publicly traded company, through a transaction expected to be treated as a tax-free spin-off to its shareholders.
- Engineered Components Group, which includes interconnect and component solutions that optimize the distribution of signal, power and data for next-generation applications across multiple end markets.

- Advanced Safety and User Experience, which includes platforms and modular offerings, such as perception systems, high-performance compute solutions, cloud-native software for ADAS and user experience, and edge-to-cloud DevOps tools.
- Eliminations and Other, which includes i) the elimination of inter-segment transactions, and ii) certain other expenses and income of a non-operating or strategic nature.

The accounting policies of the segments are the same as those described in Note 2. Significant Accounting Policies, except that the disaggregated financial results for the segments have been prepared using a management approach, which is consistent with the basis and manner in which management internally disaggregates financial information for which Aptiv's chief operating decision maker ("CODM"), who is the Company's chair and chief executive officer, regularly reviews financial results to assess performance of, and make internal operating decisions about allocating resources to, the segments.

Generally, Aptiv evaluates segment performance based on stand-alone segment net income before interest expense, other income (expense), net, income tax (expense) benefit, equity income (loss), net of tax, amortization, restructuring, separation costs related to the planned spin-off of the Electrical Distribution Systems business, other acquisition and portfolio project costs (which includes costs incurred to integrate acquired businesses and to plan and execute product portfolio transformation actions, including business and product acquisitions and divestitures), asset impairments and other related charges, compensation expense related to acquisitions and gains (losses) on business divestitures and other transactions ("Adjusted Operating Income").

Aptiv's management, including the CODM, utilizes Adjusted Operating Income as the key performance measure of segment income or loss to evaluate segment performance, and for planning and forecasting purposes to allocate resources to the segments, as management believes this measure is most reflective of the operational profitability or loss of Aptiv's operating segments. The CODM regularly evaluates budget-to-actual and period-over-period variances for this metric when making decisions about the allocation of operating and capital resources to each segment. The CODM also uses Adjusted Operating Income in evaluating the operating performance of each segment and as part of determining the compensation of the segment managers and certain other employees.

Segment Adjusted Operating Income should not be considered a substitute for results prepared in accordance with U.S. GAAP and should not be considered an alternative to net income attributable to Aptiv, which is the most directly comparable financial measure to Adjusted Operating Income that is prepared in accordance with U.S. GAAP. Segment Adjusted Operating Income, as determined and measured by Aptiv, should also not be compared to similarly titled measures reported by other companies.

Included below are sales, significant expenses and operating data for Aptiv's segments for the three and six months ended June 30, 2025 and 2024.

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other (1)	Total
	(in millions)				
For the Three Months Ended June 30, 2025:					
Sales from external customers	\$ 2,206	\$ 1,499	\$ 1,503	\$ —	\$ 5,208
Intersegment revenues	—	224	4	(228)	—
Net sales	\$ 2,206	\$ 1,723	\$ 1,507	\$ (228)	\$ 5,208
Cost of sales	(1,944)	(1,277)	(1,218)	228	(4,211)
Selling, general and administrative	(132)	(160)	(114)	—	(406)
Other segment items (2)	33	1	3	—	37
Segment adjusted operating income	\$ 163	\$ 287	\$ 178	\$ —	\$ 628
Depreciation and amortization	\$ 64	\$ 113	\$ 73	\$ —	\$ 250
Net gain on equity method transactions	\$ —	\$ —	\$ 46	\$ —	\$ 46
Equity income (loss), net of tax	\$ 3	\$ —	\$ (14)	\$ —	\$ (11)
Net income attributable to noncontrolling interest	\$ 5	\$ —	\$ —	\$ —	\$ 5
Net loss attributable to redeemable noncontrolling interest	\$ —	\$ (1)	\$ —	\$ —	\$ (1)
Capital expenditures	\$ 51	\$ 61	\$ 33	\$ 4	\$ 149

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other (1)	Total
	(in millions)				
For the Three Months Ended June 30, 2024:					
Sales from external customers	\$ 2,064	\$ 1,433	\$ 1,554	\$ —	\$ 5,051
Intersegment revenues	1	193	—	(194)	—
Net sales	\$ 2,065	\$ 1,626	\$ 1,554	\$ (194)	\$ 5,051
Cost of sales	(1,822)	(1,183)	(1,272)	194	(4,083)
Selling, general and administrative	(114)	(153)	(138)	—	(405)
Other segment items (2)	9	8	26	—	43
Segment adjusted operating income	\$ 138	\$ 298	\$ 170	\$ —	\$ 606
Depreciation and amortization	\$ 56	\$ 106	\$ 86	\$ —	\$ 248
Net gain on equity method transactions	\$ —	\$ —	\$ 641	\$ —	\$ 641
Equity income (loss), net of tax	\$ 4	\$ —	\$ (38)	\$ —	\$ (34)
Net income attributable to noncontrolling interest	\$ 5	\$ —	\$ —	\$ —	\$ 5
Capital expenditures	\$ 64	\$ 88	\$ 65	\$ 9	\$ 226

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other (1)	Total
	(in millions)				
For the Six Months Ended June 30, 2025:					
Sales from external customers	\$ 4,229	\$ 2,880	\$ 2,924	\$ —	\$ 10,033
Intersegment revenues	1	424	7	(432)	—
Net sales	\$ 4,230	\$ 3,304	\$ 2,931	\$ (432)	\$ 10,033
Cost of sales	(3,722)	(2,443)	(2,383)	432	(8,116)
Selling, general and administrative	(256)	(308)	(226)	—	(790)
Other segment items (2)	54	8	11	—	73
Segment adjusted operating income	\$ 306	\$ 561	\$ 333	\$ —	\$ 1,200
Depreciation and amortization	\$ 121	\$ 225	\$ 146	\$ —	\$ 492
Net gain on equity method transactions	\$ —	\$ —	\$ 46	\$ —	\$ 46
Equity income (loss), net of tax	\$ 8	\$ —	\$ (29)	\$ —	\$ (21)
Net income attributable to noncontrolling interest	\$ 6	\$ —	\$ —	\$ —	\$ 6
Net loss attributable to redeemable noncontrolling interest	\$ —	\$ (2)	\$ —	\$ —	\$ (2)
Capital expenditures	\$ 79	\$ 182	\$ 74	\$ 11	\$ 346

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other (1)	Total
	(in millions)				
For the Six Months Ended June 30, 2024:					
Sales from external customers	\$ 4,144	\$ 2,826	\$ 2,982	\$ —	\$ 9,952
Intersegment revenues	2	396	1	(399)	—
Net sales	\$ 4,146	\$ 3,222	\$ 2,983	\$ (399)	\$ 9,952
Cost of sales	(3,671)	(2,383)	(2,451)	399	(8,106)
Selling, general and administrative	(221)	(304)	(246)	—	(771)
Other segment items (2)	20	16	39	— 0	75
Segment adjusted operating income	\$ 274	\$ 551	\$ 325	\$ —	\$ 1,150
Depreciation and amortization	\$ 114	\$ 209	\$ 155	\$ —	\$ 478
Net gain on equity method transactions	\$ —	\$ —	\$ 641	\$ —	\$ 641
Equity income (loss), net of tax	\$ 8	\$ —	\$ (111)	\$ —	\$ (103)
Net income attributable to noncontrolling interest	\$ 11	\$ —	\$ —	\$ —	\$ 11
Capital expenditures	\$ 131	\$ 213	\$ 120	\$ 27	\$ 491

- (1) Eliminations and Other includes the elimination of inter-segment transactions. Capital expenditures amounts are attributable to corporate administrative and support functions, including corporate headquarters and certain technical centers.
- (2) Other segment items represent costs that are not included in Adjusted operating income, such as other acquisitions and portfolio project costs, asset impairments, compensation expense related to acquisitions and separation costs, as described above in the definition of Adjusted operating income.

The reconciliations of Segment Adjusted Operating Income to net income attributable to Aptiv for the three and six months ended June 30, 2025 and 2024 are as follows:

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Total
	(in millions)			
For the Three Months Ended June 30, 2025:				
Segment adjusted operating income	\$ 163	\$ 287	\$ 178	\$ 628
Amortization	(1)	(30)	(22)	(53)
Restructuring	(25)	(17)	(10)	(52)
Separation costs	(28)	—	—	(28)
Other acquisition and portfolio project costs	(2)	—	(4)	(6)
Asset impairments	(3)	(1)	—	(4)
Compensation expense related to acquisitions	—	—	(4)	(4)
Gain on asset sale	—	—	5	5
Operating income				486
Interest expense				(91)
Other income, net				12
Net gain on equity method transactions				46
Income before income taxes and equity loss				453
Income tax expense				(45)
Equity loss, net of tax				(11)
Net income				397
Net income attributable to noncontrolling interest				5
Net loss attributable to redeemable noncontrolling interest				(1)
Net income attributable to Aptiv				\$ 393

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Total
	(in millions)			
For the Three Months Ended June 30, 2024:				
Segment adjusted operating income	\$ 138	\$ 298	\$ 170	\$ 606
Amortization	—	(31)	(21)	(52)
Restructuring	(35)	(19)	(16)	(70)
Other acquisition and portfolio project costs	(9)	(8)	(8)	(25)
Asset impairments	—	—	(14)	(14)
Compensation expense related to acquisitions	—	—	(4)	(4)
Operating income				441
Interest expense				(64)
Other income, net				10
Net gain on equity method transactions				641
Income before income taxes and equity loss				1,028
Income tax expense				(51)
Equity loss, net of tax				(34)
Net income				943
Net income attributable to noncontrolling interest				5
Net income attributable to Aptiv				\$ 938

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Total
	(in millions)			
For the Six Months Ended June 30, 2025:				
Segment adjusted operating income	\$ 306	\$ 561	\$ 333	\$ 1,200
Amortization	(1)	(59)	(44)	(104)
Restructuring	(41)	(32)	(16)	(89)
Separation costs	(47)	—	—	(47)
Other acquisition and portfolio project costs	(4)	(2)	(7)	(13)
Asset impairments	(3)	(6)	—	(9)
Compensation expense related to acquisitions	—	—	(9)	(9)
Gain on asset sale	—	—	5	5
Operating income				934
Interest expense				(184)
Other income, net				12
Net gain on equity method transactions				46
Income before income taxes and equity loss				808
Income tax expense				(401)
Equity loss, net of tax				(21)
Net income				386
Net income attributable to noncontrolling interest				6
Net loss attributable to redeemable noncontrolling interest				(2)
Net income attributable to Aptiv				\$ 382

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Total
	(in millions)			
For the Six Months Ended June 30, 2024:				
Segment adjusted operating income	\$ 274	\$ 551	\$ 325	\$ 1,150
Amortization	(1)	(61)	(44)	(106)
Restructuring	(50)	(26)	(33)	(109)
Other acquisition and portfolio project costs	(20)	(16)	(17)	(53)
Asset impairments	—	—	(14)	(14)
Compensation expense related to acquisitions	—	—	(8)	(8)
Operating income				860
Interest expense				(129)
Other income, net				25
Net gain on equity method transactions				641
Income before income taxes and equity loss				1,397
Income tax expense				(127)
Equity loss, net of tax				(103)
Net income				1,167
Net income attributable to noncontrolling interest				11
Net income attributable to Aptiv				\$ 1,156

	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other (1)	Total
(in millions)					
Balance as of June 30, 2025:					
Investment in affiliates	\$ 145	\$ —	\$ 1,166	\$ —	\$ 1,311
Total segment assets	\$ 5,528	\$ 10,469	\$ 9,722	\$ (1,777)	\$ 23,942
Balance as of December 31, 2024:					
Investment in affiliates	\$ 132	\$ —	\$ 1,301	\$ —	\$ 1,433
Total segment assets	\$ 5,019	\$ 9,707	\$ 9,585	\$ (853)	\$ 23,458

(1) Eliminations and Other includes corporate assets and the elimination of inter-segment transactions.

20. REVENUE

Refer to Note 2. Significant Accounting Policies for a complete description of the Company's revenue recognition accounting policy.

Nature of Goods and Services

The principal activity from which the Company generates its revenue is the manufacturing of production parts for OEM customers. Aptiv recognizes revenue for production parts at a point in time, rather than over time, as the performance obligation is satisfied when customers obtain control of the product upon title transfer and not as the product is manufactured or developed.

Although production parts are highly customized with no alternative use, Aptiv does not have an enforceable right to payment as customers have the right to cancel a product program without a notification period. The amount of revenue recognized is based on the purchase order price and adjusted for revenue allocated to variable consideration (i.e., estimated rebates and price discounts), as applicable. Customers typically pay for production parts based on customary business practices with payment terms averaging 60 days.

The Company also generates revenue from the sale of software licenses, post delivery support and maintenance and professional software services. The Company generally recognizes revenue for software licenses and professional software services at a point in time upon delivery or when the services are provided. Revenue from post delivery support and maintenance for software contracts is generally recognized over time on a ratable basis over the contract term. Under certain of these arrangements, timing may differ between revenue recognition and billing.

Disaggregation of Revenue

Revenue generated from Aptiv's operating segments is disaggregated by primary geographic market and by core product line in the following tables for the three and six months ended June 30, 2025 and 2024. Information concerning geographic market reflects the manufacturing location.

Revenue by geographic market for the three and six months ended June 30, 2025 and 2024 is as follows:

For the Three Months Ended June 30, 2025:	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other	Total
(in millions)					
Geographic Market					
North America	\$ 921	\$ 537	\$ 572	\$ (95)	\$ 1,935
Europe, Middle East and Africa	555	575	695	(62)	1,763
Asia Pacific	667	575	240	(66)	1,416
South America	63	36	—	(5)	94
Total net sales	\$ 2,206	\$ 1,723	\$ 1,507	\$ (228)	\$ 5,208

For the Three Months Ended June 30, 2024:	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other	Total
	(in millions)				
Geographic Market					
North America	\$ 855	\$ 548	\$ 554	\$ (80)	\$ 1,877
Europe, Middle East and Africa	519	526	714	(52)	1,707
Asia Pacific	633	512	286	(58)	1,373
South America	58	40	—	(4)	94
Total net sales	\$ 2,065	\$ 1,626	\$ 1,554	\$ (194)	\$ 5,051

For the Six Months Ended June 30, 2025:	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other	Total
	(in millions)				
Geographic Market					
North America	\$ 1,742	\$ 1,049	\$ 1,108	\$ (181)	\$ 3,718
Europe, Middle East and Africa	1,069	1,079	1,354	(113)	3,389
Asia Pacific	1,303	1,110	469	(129)	2,753
South America	116	66	—	(9)	173
Total net sales	\$ 4,230	\$ 3,304	\$ 2,931	\$ (432)	\$ 10,033

For the Six Months Ended June 30, 2024:	Electrical Distribution Systems	Engineered Components Group	Advanced Safety and User Experience	Eliminations and Other	Total
	(in millions)				
Geographic Market					
North America	\$ 1,731	\$ 1,084	\$ 1,044	\$ (166)	\$ 3,693
Europe, Middle East and Africa	1,045	1,063	1,407	(96)	3,419
Asia Pacific	1,258	996	532	(128)	2,658
South America	112	79	—	(9)	182
Total net sales	\$ 4,146	\$ 3,222	\$ 2,983	\$ (399)	\$ 9,952

Revenue by core product line for the three and six months ended June 30, 2025 and 2024 are as follows:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
	(in millions)			
Electrical Distribution Systems	\$ 2,206	\$ 2,065	\$ 4,230	\$ 4,146
Engineered Components Group	1,723	1,626	3,304	3,222
Active Safety	807	758	1,550	1,444
Smart Vehicle Compute and Software	138	134	271	252
User Experience and Other	578	676	1,140	1,316
Eliminations	(16)	(14)	(30)	(29)
Advanced Safety and User Experience	1,507	1,554	2,931	2,983
Eliminations	(228)	(194)	(432)	(399)
Total net sales	\$ 5,208	\$ 5,051	\$ 10,033	\$ 9,952

Contract Balances

Contract liabilities solely consist of deferred revenue. As of June 30, 2025 and December 31, 2024, the balance of contract liabilities was \$121 million (of which \$96 million was recorded in other current liabilities and \$25 million was recorded in other long-term liabilities) and \$124 million (of which \$111 million was recorded in other current liabilities and \$13 million was recorded in other long-term liabilities), respectively. The decrease in the contract liabilities balance was primarily driven by \$77 million of revenues recognized during the six months ended June 30, 2025 that were included in the contract liability balance as of December 31, 2024, partially offset by cash payments received or due in advance of the performance obligation being satisfied.

Contract assets are primarily comprised of unbilled receivables, which consist of amounts related to the Company's unconditional right to consideration for completed performance obligations that have not been invoiced. As of June 30, 2025, the balance of contract assets was \$156 million (of which \$74 million was recorded in other current assets and \$82 million was recorded in other long-term assets). As of December 31, 2024, the balance of contract assets was \$130 million (of which \$65 million was recorded in other current assets and \$65 million was recorded in other long-term assets).

Remaining Performance Obligations

For production parts, customer contracts generally are represented by a combination of a current purchase order and a current production schedule issued by the customer. There are no contracts for production parts outstanding beyond one year. Aptiv does not enter into fixed long-term supply agreements.

As permitted, Aptiv does not disclose information about remaining performance obligations that have original expected durations of one year or less for production parts.

Customer contracts for sales of software and related services are generally represented by a sales contract or purchase order with contract durations typically ranging from one to three years. Remaining performance obligations include contract liabilities and unbilled amounts that will be recognized as revenue in future periods. Transaction price allocated to the remaining performance obligation is based on the standalone selling price. The value of the transaction price allocated to remaining performance obligations under software and related service contracts as of June 30, 2025 was approximately \$188 million. The Company expects to recognize approximately 65% of remaining performance obligations as revenue in the next twelve months, and the remainder thereafter.

Payments to Customers

From time to time, Aptiv makes payments to customers in conjunction with ongoing business. These payments to customers are generally recognized as a reduction to revenue at the time of the commitment to make these payments. However, certain other payments to customers, or upfront fees, are capitalized as they are directly attributable to a contract, are

incremental and management expects the fees to be recoverable. As of June 30, 2025 and December 31, 2024, Aptiv has recorded \$49 million (of which \$11 million was classified within other current assets and \$38 million was classified within other long-term assets) and \$53 million (of which \$10 million was classified within other current assets and \$43 million was classified within other long-term assets), respectively, related to these capitalized upfront fees.

Capitalized upfront fees are amortized to revenue based on the transfer of goods and services to the customer for which the upfront fees relate, which typically range from three to five years. There have been no impairment losses in relation to the costs capitalized. The amount of amortization to net sales was \$2 million and \$3 million for the three months ended June 30, 2025 and 2024, respectively, and \$4 million and \$11 million for the six months ended June 30, 2025 and 2024, respectively.

21. INVESTMENTS IN AFFILIATES

Equity Method Investments

As part of Aptiv's operations, it has investments in various non-consolidated affiliates accounted for under the equity method of accounting. These affiliates are not publicly traded companies and are located primarily in North America, Europe and Asia Pacific. Aptiv's ownership percentages vary generally from approximately 15% to 50%, with the most significant investment being in Motional AD LLC ("Motional").

Motional Joint Venture Funding and Ownership Restructuring Transactions

On April 19, 2024, Aptiv and Hyundai Motor Group ("Hyundai") entered into an agreement to restructure Aptiv's ownership interest in Motional and for Hyundai to provide additional funding to Motional, each as described below. Prior to these transactions, Motional was 50% owned by each of Aptiv and Hyundai.

As part of the agreement, on May 2, 2024, Hyundai invested \$475 million in Motional in exchange for additional common equity interests. Aptiv did not participate in this funding round. This transaction resulted in the dilution of Aptiv's common equity interest in Motional from 50% to approximately 44%, prior to the completion of any further transactions as described below. As these units were issued at a valuation greater than the carrying value of our investment in Motional, the Company recognized a gain of approximately \$91 million during the year ended December 31, 2024, within net gain on equity method transactions in the consolidated statements of operations.

Also as part of the agreement, on May 16, 2024, Aptiv sold 11% of its common equity interest in Motional to Hyundai for approximately \$448 million of cash consideration. Aptiv also exchanged approximately 21% of its common equity in Motional for a like number of Motional preferred shares. These transactions resulted in the reduction of Aptiv's common equity interest in Motional from approximately 44% to approximately 15%. As a result of these transactions, the Company recognized a gain of approximately \$550 million during the year ended December 31, 2024, within net gain on equity method transactions in the consolidated statements of operations.

The total gain recorded as a result of the Motional funding and ownership restructuring transactions completed in May 2024, all as described above, was approximately \$641 million (approximately \$2.50 per diluted share) for the year ended December 31, 2024.

On May 30, 2025, Hyundai invested approximately \$440 million in Motional in exchange for additional common equity interests. Aptiv did not participate in this funding round. This transaction resulted in the dilution of Aptiv's common equity interest in Motional from approximately 15% as of March 31, 2025 to approximately 13%. As a result of this transaction, the Company recognized a gain of approximately \$33 million (approximately \$0.15 per diluted share) during the three months ended June 30, 2025, within net gain on equity method transactions in the consolidated statements of operations.

As of June 30, 2025, the carrying values of the Company's common equity and preferred equity investments in Motional were \$267 million and \$899 million, respectively. As of December 31, 2024, the carrying values of the Company's common equity and preferred equity investments in Motional were \$256 million and \$899 million, respectively. These investments are recorded within investment in affiliates in the consolidated balance sheets and included in the Advanced Safety and User Experience segment. The Company's preferred equity investment in Motional was initially measured at fair value, and subsequently accounted for under the measurement alternative in accordance with ASC Topic 321, *Investments – Equity Securities*, as it does not have a readily determinable fair value.

Motional Lease Agreement

In connection with the formation of Motional, Aptiv agreed to sublease certain office space to Motional, which has a remaining lease term of approximately four years as of June 30, 2025. Total income under the agreement was less than \$1 million and \$1 million during the three months ended June 30, 2025 and 2024, respectively, and \$1 million and \$2 million during the six months ended June 30, 2025 and 2024. The sublease income and Aptiv's associated operating lease cost are

recorded to cost of sales in the consolidated statements of operations. The Company believes the terms of the lease agreement have not significantly been affected by the fact the Company and the lessee are related parties.

Investment in TTTech Auto AG

The shareholders of TTTech Auto AG (“TTTech Auto”) entered into an agreement for the sale of 100% of TTTech Auto to an unrelated third party, and as a result, the Company determined there was an other-than-temporary impairment to its equity method investment in TTTech Auto in the fourth quarter of 2024 based on the anticipated acquisition value of TTTech Auto. During the year ended December 31, 2024, the Company’s equity investment in TTTech Auto was written down to its estimated fair value of \$147 million, resulting in a non-cash, pre-tax impairment charge of approximately \$36 million within net gain on equity method transactions in the consolidated statements of operations.

The impairment was based on the fair value of the investment at the balance sheet date. The fair value was determined based on the contractual sales price of TTTech Auto pursuant to the executed purchase and sale agreement. Contractual sales prices are considered observable inputs other than quoted prices, and are therefore classified as a Level 2 measurement.

The sale of TTTech Auto closed in June 2025, resulting in net cash proceeds to Aptiv of \$164 million. As a result of the sale, the Company recognized a gain of approximately \$13 million during the three months ended June 30, 2025, within net gain on equity method transactions in the consolidated statements of operations, which includes accumulated currency translation adjustment impacts of \$6 million. Following completion of the sale, Aptiv no longer holds an equity interest in TTTech Auto and accordingly reduced the carrying value of the investment to zero in the consolidated balance sheet. As of December 31, 2024, the carrying value of the Company’s investment in TTTech Auto was \$147 million, which was included in the Advanced Safety and User Experience segment. As of December 31, 2024, the difference between the amount at which the Company’s investment was carried and the amount of the Company’s share of the underlying equity in net assets of TTTech Auto was approximately \$111 million. The basis difference was primarily attributable to equity method goodwill associated with the investment, which was not amortized.

Technology Investments

The Company has made technology investments in certain non-consolidated affiliates for which Aptiv does not have the ability to exercise significant influence (generally when ownership interest is less than 20%) as described in Note 2. Significant Accounting Policies. Equity investments in non-consolidated affiliates without readily determinable fair values are measured at cost, less impairments, adjusted for observable price changes in orderly transactions for identical or similar investments of the same issuer. Investments in available-for-sale debt securities are measured at fair value based on significant inputs that are not observable in the market. Equity investments in publicly traded equity securities are measured at fair value based on quoted prices for identical assets on active market exchanges.

The following is a summary of technology investments, which are classified within other long-term assets in the consolidated balance sheets, as of June 30, 2025 and December 31, 2024:

Investment Name	Segment	June 30, 2025	December 31, 2024
(in millions)			
Publicly traded equity securities:			
Smart Eye AB	Advanced Safety and User Experience	\$ 6	\$ 5
Valens Semiconductor Ltd.	Engineered Components Group	5	6
Total publicly traded equity securities		11	11
Non-publicly traded investments:			
StradVision, Inc.	Advanced Safety and User Experience	156	106
MAXIEYE Automotive Technology (Ningbo) Co., Ltd	Advanced Safety and User Experience	55	55
Other investments	Various	8	6
Total non-publicly traded investments		219	167
Total technology investments		\$ 230	\$ 178

During the three months ended June 30, 2025, the Company sold a portion of its Valens Semiconductor Ltd. ordinary shares for net proceeds of approximately \$1 million.

In April 2025, the Company's Advanced Safety and User Experience segment made an investment of approximately 42 billion Korean Won ("KRW") (approximately \$29 million, using foreign currency rates on the investment date) in convertible redeemable preferred shares of StradVision, a provider of deep learning-based camera perception software for automotive applications. The Company previously made KRW-denominated investments in StradVision totaling approximately \$11 million in the first quarter of 2025 and approximately \$108 million in prior years (using foreign currency rates on the date of the respective investments). Due to the Company's redemption rights, the Company's investment in StradVision is classified as an available-for-sale debt security within other long-term assets in the consolidated balance sheets, with changes in fair value recorded in other comprehensive income. As of June 30, 2025, the Company's investment in StradVision was recorded at \$156 million. Refer to Note 15. Fair Value of Financial Instruments for additional information.

In September 2024, the Company's Advanced Safety and User Experience segment made an investment totaling approximately 399 million RMB (approximately \$57 million, using foreign currency rates on the investment date) in preferred equity of Maxieye, a provider of advanced driver-assistance systems and autonomous driving applications. Due to the Company's redemption rights, the Company's investment in Maxieye is classified as an available-for-sale debt security within other long-term assets in the consolidated balance sheets, with changes in fair value recorded in other comprehensive income. The Company also agreed to invest an additional 171 million RMB (approximately \$24 million, using June 30, 2025 foreign currency rates) in preferred equity of Maxieye, contingent on the achievement of certain technical milestones, which have not yet been met as of June 30, 2025, and the satisfaction of customary closing conditions. As of June 30, 2025, the Company's investment in Maxieye was recorded at \$55 million. Refer to Note 15. Fair Value of Financial Instruments for additional information.

As of June 30, 2025, none of the Company's equity securities were subject to contractual sales restrictions.

There were no other material transactions, events or changes in circumstances requiring an impairment or an observable price change adjustment to our investments without readily determinable fair value. The Company continues to monitor these investments to identify potential transactions which may indicate an impairment or an observable price change requiring an adjustment to its carrying value.

22. SEPARATION OF ELECTRICAL DISTRIBUTION SYSTEMS

On January 22, 2025, the Company announced its intention to pursue a separation of its Electrical Distribution Systems business into a new, independent publicly traded company, through a transaction expected to be treated as a tax-free spin-off to its shareholders (the "Separation"). The Company plans to complete the Separation by March 31, 2026, subject to customary closing conditions.

During the three and six months ended June 30, 2025, the Company incurred costs of \$28 million and \$47 million, respectively, related to the Separation. These costs, which are included in selling, general and administrative expense within the consolidated statements of operations, were primarily related to third-party professional fees associated with planning the Separation.

CAUTIONARY STATEMENT REGARDING FORWARD-LOOKING INFORMATION

This Quarterly Report on Form 10-Q, including the exhibits being filed as part of this report, as well as other statements made by Aptiv PLC (“Aptiv,” the “Company,” “we,” “us” and “our”), contain forward-looking statements that reflect, when made, the Company’s current views with respect to current events, certain investments and acquisitions and financial performance. Such forward-looking statements are subject to many risks, uncertainties and factors relating to the Company’s operations and business environment, which may cause the actual results of the Company to be materially different from any future results, express or implied, by such forward-looking statements. All statements that address future operating, financial or business performance or the Company’s strategies or expectations are forward-looking statements. In some cases, you can identify these statements by forward-looking words such as “may,” “might,” “will,” “should,” “expects,” “plans,” “intends,” “anticipates,” “believes,” “estimates,” “predicts,” “projects,” “potential,” “outlook” or “continue,” and other comparable terminology. Factors that could cause actual results to differ materially from these forward-looking statements include, but are not limited to, the following: global and regional economic conditions, including conditions affecting the credit market; global inflationary pressures; uncertainties created by the conflict between Ukraine and Russia, and its impacts to the European and global economies and our operations in each country; uncertainties created by the conflicts in the Middle East and their impacts on global economies; fluctuations in interest rates and foreign currency exchange rates; the cyclical nature of global automotive sales and production; the potential disruptions in the supply of and changes in the competitive environment for raw material and other components integral to the Company’s products, including the ongoing semiconductor supply shortage; the Company’s ability to maintain contracts that are critical to its operations; potential changes to beneficial free trade laws and regulations, such as the United States-Mexico-Canada Agreement; the effects of significant increases in trade tariffs, import quotas and other trade restrictions or actions, including retaliatory responses to such actions; changes to tax laws; future significant public health crises; the ability of the Company to integrate and realize the expected benefits of recent transactions; the ability of the Company to achieve the intended benefits from, or to complete, the proposed separation of its Electrical Distribution Systems business; the ability of the Company to attract, motivate and/or retain key executives; the ability of the Company to avoid or continue to operate during a strike, or partial work stoppage or slow down by any of its unionized employees or those of its principal customers; and the ability of the Company to attract and retain customers. Additional factors are discussed under the captions “Risk Factors” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” in the Company’s filings with the Securities and Exchange Commission, including those set forth in the Company’s Annual Report on Form 10-K for fiscal year ended December 31, 2024. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events or how they may affect the Company. It should be remembered that the price of the ordinary shares and any income from them can go down as well as up. Aptiv disclaims any intention or obligation to update or revise any forward-looking statements, whether as a result of new information, future events and/or otherwise, except as may be required by law.

ITEM 2. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following management's discussion and analysis of financial condition and results of operations ("MD&A") is intended to help you understand the business operations and financial condition of the Company for the three and six months ended June 30, 2025. This discussion should be read in conjunction with Item 1. Financial Statements. Our MD&A is presented in eight sections:

- Executive Overview
- Consolidated Results of Operations
- Results of Operations by Segment
- Liquidity and Capital Resources
- Off-Balance Sheet Arrangements
- Contingencies and Environmental Matters
- Recently Issued Accounting Pronouncements
- Critical Accounting Estimates

Within the MD&A, "Aptiv," the "Company," "we," "us" and "our" refer to Old Aptiv (Aptiv PLC before the Transaction in December 2024, as defined below) and to New Aptiv (Aptiv PLC after the Transaction in December 2024, as defined below). The Company's ordinary shares are publicly traded on the New York Stock Exchange ("NYSE") under the symbol "APTIV."

Executive Overview

Our Business

We are a global technology company focused on making the world safer, greener and more connected. We deliver solutions enabling our customers' transition to a more electrified, software-defined future. Our technologies reach from sensor to cloud, including the software, hardware, engineered components and electrical interconnects necessary to support the global automotive and commercial vehicle markets and increasingly other mission-critical industries. Our Advanced Safety and User Experience segment provides software and advanced computing platforms, our Engineered Components Group segment provides interconnect and component solutions and our Electrical Distribution Systems segment provides low voltage and high voltage power, signal and data distribution solutions.

We are one of the largest vehicle technology suppliers and our customers include the 25 largest automotive original equipment manufacturers ("OEMs") in the world.

In December 2024, Old Aptiv (as defined below) completed its previously announced reorganization transaction (the "Transaction," or the "reorganization transaction"), in which Old Aptiv established a new publicly-listed Jersey parent company, Aptiv Holdings Limited ("New Aptiv"), which is resident for tax purposes in Switzerland. As a result of the Transaction, all issued and outstanding ordinary shares of Old Aptiv were exchanged on a one-for-one basis for newly issued ordinary shares of New Aptiv. Following consummation of the Transaction, holders of Old Aptiv shares became ordinary shareholders of New Aptiv, Old Aptiv became a wholly-owned subsidiary of New Aptiv and New Aptiv was renamed "Aptiv PLC." The previous publicly-listed Jersey parent company, which was an Irish tax resident, is referred to as "Old Aptiv" throughout this Quarterly Report on Form 10-Q. New Aptiv's ordinary shares are publicly traded on the NYSE under the symbol "APTIV," the same symbol under which the Old Aptiv shares were previously listed. Aptiv PLC remains a public limited company incorporated under the laws of Jersey, and continues to be subject to U.S. Securities and Exchange Commission reporting requirements.

In December 2024, following the completion of the Transaction, Old Aptiv merged with and into Aptiv Swiss Holdings Limited ("Aptiv Swiss Holdings"), a newly formed Jersey incorporated private limited company, and a direct, wholly-owned subsidiary of New Aptiv, with Aptiv Swiss Holdings surviving as a direct, wholly-owned subsidiary of New Aptiv, and Old Aptiv ceasing to exist. Except as otherwise noted, all property, rights, privileges, powers and franchises of Old Aptiv vested in Aptiv Swiss Holdings, and all debts, liabilities and duties of Old Aptiv became debts, liabilities and duties of Aptiv Swiss Holdings. As a result of the Transaction described above, there were no material changes in Aptiv PLC's operations or governance.

In connection with the Transaction, New Aptiv assumed Old Aptiv's long-term incentive plans and its existing obligations in connection with awards granted thereunder, and Aptiv Swiss Holdings (i) entered into a supplemental indenture to each indenture in which Aptiv Swiss Holdings assumed all of Old Aptiv's obligations under each series of Old Aptiv's

outstanding Notes and (ii) entered into an assumption and/or supplement agreement relating to the Credit Agreement in which New Aptiv assumed all of Old Aptiv's obligations under the Credit Agreement as the "parent entity" thereunder. In addition, New Aptiv (i) entered into a supplemental indenture to each indenture in which New Aptiv guaranteed the outstanding Notes and (ii) entered into a guarantee joinder relating to the Credit Agreement in which New Aptiv guaranteed the obligations under the Credit Agreement. Following the reorganization transaction, Aptiv Swiss Holdings (i) replaced Old Aptiv as a guarantor of the borrowers' obligations under the Credit Agreement, and (ii) succeeded to Old Aptiv as an obligor under the senior notes and the junior notes, and New Aptiv became a guarantor under the Credit Agreement (and will act as the "parent entity" thereunder) and the indentures.

On January 22, 2025, we announced our intention to pursue a separation of our Electrical Distribution Systems business through a transaction expected to be treated as a tax-free spin-off to its shareholders (the "Separation"). The Company plans to complete the Separation by March 31, 2026, subject to customary closing conditions. During the three and six months ended June 30, 2025, the Company incurred costs of \$28 million and \$47 million, respectively, related to the Separation. These costs, which are included in selling, general and administrative expense within the consolidated statements of operations, are primarily related to third party professional fees associated with planning the Separation. The Company expects to continue to incur additional expenses related to the Separation through the date of completion.

In connection with the Separation, in the first quarter of 2025 Aptiv realigned its business into three reportable operating segments: Electrical Distribution Systems, Engineered Components Group and Advanced Safety and User Experience. Prior period amounts have been adjusted retrospectively to reflect the change in reportable operating segments, consistent with the current year presentation, throughout the consolidated financial statements and the accompanying notes to the consolidated financial statements.

Our total net sales during the three and six months ended June 30, 2025 were \$5.2 billion and \$10.0 billion, an increase of 3% and 1% compared to the same periods of 2024, respectively. Our volumes increased 2% for the three months ended June 30, 2025, which primarily reflects volume growth in Asia Pacific and North America, partially offset by volume declines in Europe, compared to increased global automotive production of 2% (flat on an Aptiv weighted market basis, which represents global vehicle production weighted to the geographic regions in which the Company generates its revenue, "AWM"). Our volumes increased 1% for the six months ended June 30, 2025, which primarily reflects volume growth in Asia Pacific, partially offset by volume declines in Europe, compared to increased global automotive production of 3% (down 1% on an AWM basis).

We are focused on maintaining a low fixed cost structure that provides us flexibility to remain profitable at all points of the traditional vehicle industry production cycle, including during periods of reduced industry volumes. Accordingly, we will continue to adjust our cost structure and optimize our manufacturing footprint in response to changes in the global and regional automotive markets and in order to increase investment in advanced technologies and engineering as conditions permit. As we operate in a cyclical industry that is impacted by movements in the global and regional economies, we continually evaluate opportunities to further refine our cost structure, as evidenced by our ongoing restructuring programs focused on the continued rotation of our manufacturing footprint to best cost locations and on reducing our global overhead costs, as described in Note 7. Restructuring to the consolidated financial statements contained herein. We believe our strong balance sheet coupled with our flexible cost structure will position us to capitalize on improvements in OEM production volumes as economic conditions improve.

Trends, Uncertainties and Opportunities

Economic conditions. Our business is directly related to automotive sales and automotive vehicle production by our customers. Automotive sales depend on a number of factors, including global and regional economic conditions. Global automotive vehicle production decreased 1% (3% on an AWM basis) from 2023 to 2024, reflecting vehicle production declines of 5% in Europe and 2% in North America, partially offset by increased production of 4% in China and 3% in South America, our smallest region.

Economic volatility or weakness in North America, Europe, China or, to a lesser extent, South America could result in a significant reduction in automotive sales and production by our customers, which would have an adverse effect on our business, results of operations and financial condition. Global inflationary pressures have, at times, both reduced consumer demand for automotive vehicles and increased the price of inputs to our products, which has adversely impacted our sales and profitability, and this trend has continued in 2025. There is also potential that geopolitical factors could adversely impact the U.S. and other economies, and specifically the automotive sector. In particular, changes to international trade agreements, such as the United States-Mexico-Canada Agreement (the "USMCA"), increases in trade tariffs, import quotas and other trade restrictions or actions, including retaliatory responses to such actions, or other political pressures have affected and could continue to affect our operations and the operations of our OEM customers, resulting in reduced automotive production in certain regions or shifts in the mix of production to higher cost regions. Increases in interest rates could also negatively impact automotive production as a result of increased consumer borrowing costs or reduced credit availability. Additionally, economic weakness may result in

shifts in the mix of future automotive sales (from vehicles with more content such as luxury vehicles, trucks and sport utility vehicles toward smaller passenger cars). While our diversified customer and geographic revenue base, along with our flexible cost structure, have well positioned us to withstand the impact of industry downturns and benefit from industry upturns, shifts in the mix of global automotive production to higher cost regions or to vehicles with less content could adversely impact our profitability.

Ukraine/Russia conflict. The conflict between Ukraine and Russia, which began in February 2022, has had, and is expected to continue to have, negative economic impacts to both countries and to the European and global economies. In response to the conflict, the European Union (the “E.U.”), the U.S. and other nations implemented broad economic sanctions against Russia. These countries may impose further sanctions and take other actions as the situation continues.

Ukraine and Russia are significant global producers of raw materials used in our supply chain, including copper, aluminum, palladium and neon gases. Disruptions in the supply and volatility in the price of these materials and other inputs produced by Ukraine or Russia, including increased logistics costs and longer transit times, could adversely impact our business and results of operations. The conflict has also increased the possibility of cyberattacks occurring, which could either directly or indirectly impact our operations. Furthermore, the conflict has caused our customers to analyze their continued presence in the region and future customer production plans in the region remain uncertain.

We do not have a material physical presence in either Ukraine or Russia, with less than 1% of our workforce located in the countries as of December 31, 2024 and less than 1% of our net sales for the year ended December 31, 2024 generated from manufacturing facilities in those countries. However, the impacts of the conflict have adversely impacted, and may continue to adversely impact, global economies, and in particular, the European economy, a region which accounted for approximately 33% of our net sales for the year ended December 31, 2024.

We continue to monitor the situation and will seek to minimize its impact to our business, while prioritizing the safety and well-being of our employees located in both countries and our compliance with applicable laws and regulations in the locations where we operate. Any of the impacts mentioned above, among others, could adversely affect our business, business opportunities, results of operations, financial condition and cash flows.

Global supply chain disruptions. Global supply chain disruptions have in the past and could in the future lead to interruptions in our production, which could impact our ability to fully meet the vehicle production demands of OEMs at times due to events which are outside our control. For example, as a result of the rapidly evolving trade policies and tariff actions, the uncertainty in the automotive industry has increased, which could adversely affect our business and financial results. We will continue to actively monitor our global supply chain and will seek to aggressively mitigate and minimize the impact of any future disruptions on our business.

In addition, we are carrying critical inventory items and key components, and we continue to procure productive, raw material and non-critical inventory components in order to satisfy our customers’ vehicle production schedules. However, as a result of our customers’ recent production volatility and cancellations, among other things, our balance of productive, raw and component material inventories has increased substantially from customary levels as of June 30, 2025 and December 31, 2024. These changes to the production environment were primarily driven by the global supply chain disruptions that impacted the automotive industry at times during previous years. We will continue to actively monitor and manage inventory levels across all inventory types in order to maximize both supply continuity and the efficient use of working capital. Normally we do not carry inventories of such raw materials in excess of those reasonably required to meet our production and shipping schedules.

Commercializing the high-tech evolution of the automotive industry. The automotive industry is increasingly evolving towards the implementation of software-defined components and solutions. In particular, the industry is focused on the development of advanced driver assistance technologies, with the goal of developing and introducing a commercially-viable, fully automated driving experience. We expect automated driving technologies will provide strong societal benefit as well as the opportunity for long-term growth for our product offerings in this space. We are focused on enabling and delivering end-to-end smart mobility solutions, enabling our customers’ transition to more electrified, software-defined vehicles, accelerating the commercialization of active safety and autonomous driving technologies and providing enhanced user experience and connected services.

As part of our strategy to harness the full potential of connected intelligent systems across industries, strengthen our capabilities in software-defined mobility and to enable advanced smart vehicle architecture changes, we acquired Wind River in December 2022. Wind River is a global leader in delivering software for the intelligent edge for multiple industries, including automotive, by leveraging mixed-criticality software products and solutions enabling customers to develop in the cloud, deploy over the air and run and manage software at the vehicle edge.

We are also continuing to develop market-leading automated driving solutions such as automated driving software, sensing and perception technologies enhanced through artificial intelligence and machine learning, as well as the underlying architecture technologies capable of supporting safety-critical applications. We believe we are well-aligned with industry

technology trends that will help to support sustainable future growth in this space and have partnered with leaders in their respective fields to advance the pace of development and commercialization of these emerging technologies.

In March 2020, we completed a transaction with Hyundai Motor Group (“Hyundai”) to form Motional, AD LLC (“Motional”), a joint venture focused on the design, development and commercialization of autonomous driving technologies. Although we believe our strategic partnerships have us well-aligned with industry technology mega-trends in these evolving areas, the timeline necessary to produce commercially viable autonomous vehicles has been extended and is still subject to significant uncertainty, which resulted in additional funding requirements for Motional.

In April 2024, Aptiv and Hyundai entered into an agreement to restructure Aptiv’s ownership interest in Motional and for Hyundai to provide additional funding to Motional, which also eliminated any requirements for additional future funding from Aptiv. These transactions, which were completed in May 2024, resulted in the reduction of our common equity interest in Motional from 50% as of December 31, 2023 to approximately 15%. In May 2025, Hyundai provided additional funding to Motional, further reducing Aptiv’s common equity interest in Motional from 15% as of March 31, 2025 to approximately 13%. Refer to Note 21. Investments in Affiliates to the consolidated financial statements contained herein for further information on these transactions.

There are many risks associated with these evolving areas, including the high development costs of active safety and autonomous driving technologies, the uncertain timing of customer and consumer adoption of these technologies, increased competition from entrants outside the traditional automotive industry and evolving regulations, such as the guidance for automated driving systems published by the U.S. Department of Transportation. While we believe we are well-positioned in these markets, the high development cost of active safety and autonomous driving technologies may result in a higher risk of exposure to the success of new or disruptive technologies different than those being developed by us or our partners and ultimately there can be no assurance that we will be successful in our efforts to develop these technologies.

Key growth markets. We believe our strong global presence has positioned us to generate strong growth rates over the long-term. We continue to expand our established presence in key growth markets, positioning us to benefit from the expected long-term growth opportunities in these regions. We are capitalizing on our long-standing relationships with the global OEMs and further enhancing our positions with the key growth market OEMs to continue expanding our worldwide leadership. We continue to build upon our extensive geographic reach to capitalize on fast-growing automotive markets. We believe that our presence in best cost countries positions us to realize incremental margin improvements as the global balance of automotive production shifts towards the key growth markets.

We have a strong local presence in China, including a major manufacturing base and well-established customer relationships. Each of our business segments have operations and sales in China. There have been periods of increased market volatility and moderation in the level of economic growth in China, which resulted in periods of lower automotive production growth rates in China than those previously experienced. Automotive production in China experienced growth of 4% in 2024, which follows growth of 10% in 2023. Despite the market volatility and moderation in the level of economic growth in China, rising income levels in China and other key growth markets are expected to result in stronger growth rates in these markets over the long-term.

Our business in China remains sensitive to economic and market conditions that impact automotive sales volumes in China and may be affected if the pace of growth slows as the Chinese market matures or if there are reductions in vehicle demand in China. Our business in China may also be impacted by the expanding market share of domestic Chinese OEMs in the China market, which has led to declines in revenue and market share of non-Chinese OEMs, resulting in certain traditional OEMs taking steps to reduce or restructure their operations in China. However, we continue to believe this market will benefit from long-term demand for new vehicles and stringent governmental regulation driving increased vehicle content, including accelerated demand for electrified vehicles.

Market driven products. Our product offerings satisfy the OEMs’ needs to meet increasingly stringent government regulations and meet consumer preferences for products that address the mega-trends of Safe, Green and Connected, leading to increased content per vehicle, greater profitability and higher margins. With these offerings, we believe we are well-positioned to benefit from the growing demand for vehicle content and technology related to safety, electrification, high speed data, connectivity to the global information network and automated driving technologies. We are benefiting from the substantial increase in vehicle content, software and electrification that requires a complex and reliable electrical architecture and systems to operate, such as automated advanced driver assistance technologies, electrical vehicle monitoring, active safety systems, lane departure warning systems, integrated vehicle cockpit displays, navigation systems and technologies that enable connected infotainment in vehicles. Our ability to design a reliable electrical architecture that optimizes power distribution and/or consumption is key to satisfying the OEMs’ needs to reduce emissions while continuing to meet consumer demand for increased vehicle content and technology. While we have identified high voltage electrification systems as a key product market, certain of our OEM customers have recently announced delays in their electric vehicle investment strategies amidst reduced expectations for future consumer demand for these products.

Global capabilities and risks. Many OEMs are continuing to develop vehicle platforms intended to increase standardization, reduce per-unit cost and increase capital efficiency and profitability. In addition, geopolitical tensions are also forcing them to regionalize their supply chain. As a result, OEMs prefer suppliers that have the capability to manufacture products on a global basis with manufacturing and design flexibility to adapt to regional variations. Suppliers with global scale and strong design, engineering and manufacturing capabilities are best positioned to benefit from this trend. Our global manufacturing footprint enables us to efficiently manufacture in and supply from best cost countries at scale. Our regional teams allow us to stay connected to local market requirements and more closely partner with our customers during all phases of the development process, from design through production, while maintaining focus on increasing efficiency and lowering costs. Increasing manufacturing automation, footprint rotation to best cost countries, and other operational initiatives have supported our commitment to continuous improvement, leveraging scale and enhancing efficiency to improve our margins.

Our operations are subject to certain risks inherent in doing business globally, including military conflicts in regions in which we operate, changes in laws or regulations governing labor, trade, or other monetary or tax fiscal policy changes, including the Organisation for Economic Co-operation and Development (the “OECD”) Pillar Two Framework (the “Framework”), tariffs, quotas, customs and other import or export restrictions or trade barriers.

Existing free trade laws and regulations, such as the USMCA, provide certain beneficial duties and tariffs for qualifying imports and exports, subject to compliance with the applicable classification and other requirements. Changes in laws or policies governing the terms of trade, and in particular increased trade restrictions, tariffs, taxes or non-tariff barriers on imports from countries where we manufacture products, such as China and Mexico, could have a material adverse effect on our business and financial results. For example, beginning on April 2, 2025, the U.S. government announced tariffs of at least 10% across imported goods from all countries, with rates even higher for goods from certain countries with a high trade deficit with the U.S. Subsequent to this announcement, a number of other countries announced tariffs on U.S. goods and have negotiated or continue to negotiate trade agreements with the U.S.

While the impacts to the Company resulting from these incremental tariffs were not significant during the first half of 2025, the future impact of any announced tariffs is subject to a number of factors, including the effective date and duration of such tariffs, changes in the amount, scope and nature of the tariffs in the future, any retaliatory responses to such actions that the target countries may take and any mitigating actions that may become available. In addition, we are continuing to work with our customers and suppliers to mitigate the impact of these incremental tariffs on our results of operations. Despite recent trade negotiations and the potential for trade agreements between the U.S. and the Mexican, Canadian and Chinese governments, given the uncertainty regarding the scope and duration of any new tariffs and any associated retaliatory measures, as well as the potential for additional tariffs or trade barriers by the U.S., Mexico, Canada, China or other countries, we can provide no assurance that any strategies we implement to mitigate the impact of such tariffs or other trade actions will be successful. Management continues to monitor the volatile geopolitical environment to identify, quantify and assess proposed or threatened duties, taxes or other business restrictions which could adversely affect our business and financial results.

In addition, effective January 1, 2024 and January 1, 2025, the government of Mexico implemented country-wide statutory minimum wage increases of 20% and 12%, respectively. The government of Mexico has also indicated it may implement other labor reforms, such as an initiative to shorten the work week from 48 to 40 hours. While management has implemented measures to mitigate the impact of these labor reforms on our cost structure, we cannot predict the ultimate future impact on our business.

The outbreak of armed conflicts in the Middle East beginning in October 2023 has also created numerous uncertainties, including the risk that the conflicts spread throughout the broader region, and their impact on the global economy and supply chains. In addition, as described above, the conflict between Ukraine and Russia has also created numerous economic uncertainties, including the potential for further sanctions against Russia, the impact on the global supply chain for raw materials produced in each country, as well as increased logistics costs and transit times, and the actions of automotive OEMs and suppliers as they relate to production plans in each country and within the region. We are also subject to risks associated with actions taken by governmental authorities to impose changes in laws or regulations that restrict certain business operations, trade or travel in response to a pandemic or widespread outbreak of an illness. The impacts of any of these factors mentioned above, among others, could adversely affect our business, business opportunities, results of operations, financial condition and cash flows.

Product development. The automotive technology and components industry is highly competitive and is characterized by rapidly changing technology, evolving industry standards and changes in customer needs. Our ability to anticipate changes in technology and regulatory standards and to successfully develop and introduce new and enhanced products on a timely and cost competitive basis will be a significant factor in our ability to remain competitive. To compete effectively in the automotive technology and components industry, we must be able to develop and launch new products to meet our customers’ demands in a timely manner. With our innovative technologies and robust global engineering and development capabilities we are well positioned to meet the increasingly stringent vehicle manufacturer demands and consumer preferences for high-technology content in automobiles.

OEMs are increasingly looking to their suppliers to simplify vehicle design and assembly processes to reduce costs. As a result, OEMs prefer suppliers that have the capability to manufacture products on a global basis with manufacturing and design flexibility to adapt to regional variations. Suppliers that can provide fully engineered solutions, systems and pre-assembled combinations of component parts, such as our Company, are positioned to leverage the trend toward system sourcing from global suppliers.

Engineering, design and development. Our history and culture of innovation have enabled us to develop significant intellectual property and design and development expertise to provide advanced technology solutions that meet the demands of our customers. We have a team of approximately 21,200 scientists, engineers and technicians focused on developing leading product solutions for our key markets, located at 11 major technical centers in China, Germany, India, Mexico, Poland, Singapore and the United States. During the year ended December 31, 2024, we invested approximately \$1.6 billion (which includes approximately \$535 million co-investment by customers and government agencies) in research and development, including engineering, to maintain our portfolio of innovative products, and own/hold approximately 11,000 patents and protective rights. We also encourage “open innovation” and collaborate extensively with peers in the industry, government agencies and academic institutions. Our technology competencies are recognized by both customers and government agencies, which, as noted above, co-invest in new product development, accelerating the pace of innovation and reducing the risk associated with successful commercialization of technological breakthroughs.

In the past, suppliers often incurred the initial cost of engineering, designing and developing automotive component parts, and recovered their investments over time by including a cost recovery component in the price of each part based on expected volumes. Recently, we and many other suppliers have negotiated for cost recovery payments independent of volumes. This trend reduces our economic risk.

Pricing. Cost-cutting initiatives adopted by our customers result in increased downward pressure on pricing. Our customer supply agreements generally require step-downs in component pricing over the periods of production and OEMs have historically possessed significant leverage over their outside suppliers because the automotive component supply industry is fragmented and serves a limited number of automotive OEMs. Our profitability depends in part on our ability to generate sufficient production cost savings in the future to offset price reductions. In addition, during recent years, global economies and our industry were subjected to significant inflationary cost pressures, and we continue to face additional potential impacts from the rapidly evolving trade policies and tariff actions. We continue to work with our customers, both through price recoveries and adjustments as well as future pricing adjustments as contracts renew, to mitigate the impact of these inflationary pressures on our results of operations.

We are focused on maintaining a low fixed cost structure that provides us flexibility to remain profitable at all points of the traditional vehicle industry production cycle. As a result, approximately 97% of our hourly workforce is located in best cost countries. Furthermore, we have substantial operational flexibility by leveraging a large workforce of contingent workers, which represented approximately 30% of the hourly workforce as of June 30, 2025. However, we will continue to adjust our cost structure and optimize our manufacturing footprint in response to changes in the global and regional automotive markets and in order to increase investment in advanced technologies and engineering, as evidenced by our ongoing restructuring programs focused on reducing our global overhead costs and on the continued rotation of our manufacturing footprint to best cost locations in Europe and aligning our manufacturing capacity with the current levels of automotive production in each region. As we continue to operate in a cyclical industry that is impacted by movements in the global and regional economies, we continually evaluate opportunities to further refine our cost structure.

We have a strong balance sheet with gross debt of approximately \$7.9 billion and substantial available liquidity of approximately \$4.0 billion as of June 30, 2025, consisting of cash and cash equivalents and available financing under our Revolving Credit Facility and committed European accounts receivable factoring facility, and no significant U.S. defined benefit or workforce postretirement health care benefits and employer-paid postretirement basic life insurance benefits (“OPEB”) liabilities. We intend to maintain strong financial discipline by targeting industry-leading earnings growth, cash flow generation and return on invested capital and to maintain sufficient liquidity to sustain our financial flexibility throughout the industry cycle.

OEM product recalls. The number of vehicles recalled globally by OEMs has increased above historical levels. These recalls can either be initiated by the OEMs or influenced by regulatory agencies. Although there are differing rules and regulations across countries governing recalls for safety issues, as automotive components are increasingly standardized across regions, the level of recalls outside of the U.S. may also increase. Given the sensitivity to safety issues in the automotive industry, including increased focus from regulators and consumers, we anticipate the number of automotive recalls may remain above historical levels in the near future. Although we engage in extensive product quality programs and processes, it is possible that we may be adversely affected in the future if the pace of these recalls continues.

Efficient use of capital. The global vehicle components industry is generally capital intensive and a portion of a supplier’s capital equipment is frequently utilized for specific customer programs. Lead times for procurement of capital equipment are

long and typically exceed start of production by one to two years. Substantial advantages exist for suppliers that can leverage their prior investments in capital equipment or amortize the investment over higher volume global customer programs.

Industry consolidation and disruptive new entrants. Consolidation among worldwide OEMs and suppliers is expected to continue as these companies seek to achieve operating synergies and value stream efficiencies, acquire complementary technologies and build stronger customer relationships. Additionally, the rise of advanced software and technologies in vehicles has attracted new and disruptive entrants from outside the traditional automotive supply industry. These entrants may seek to gain access to certain vehicle technology and component markets. Any of these new competitors may develop and introduce technologies that gain greater customer or consumer acceptance, which could adversely affect the future growth of the Company. We believe companies with strong balance sheets and financial discipline are in the best position to take advantage of these trends.

Consolidated Results of Operations

Aptiv typically experiences fluctuations in revenue due to changes in OEM production schedules, vehicle sales mix and the net of new and lost business (which we refer to collectively as volume), increased prices attributable to escalation clauses in our supply contracts for recovery of increased commodity costs (which we refer to as commodity pass-through), fluctuations in foreign currency exchange rates (which we refer to as “FX”), contractual reductions of the sales price to the OEM (which we refer to as contractual price reductions) and engineering changes. Changes in sales mix can have either favorable or unfavorable impacts on revenue. Such changes can be the result of shifts in regional growth, shifts in OEM sales demand, as well as shifts in consumer demand related to vehicle segment purchases and content penetration. For instance, a shift in sales demand favoring a particular OEM’s vehicle model for which we do not have a supply contract may negatively impact our revenue. A shift in regional sales demand toward certain markets could favorably impact the sales of those of our customers that have a large market share in those regions, which in turn would be expected to have a favorable impact on our revenue.

We typically experience (as described below) fluctuations in operating income due to:

- Volume, net of contractual price reductions—changes in volume offset by contractual price reductions (which typically range from 1% to 3% of net sales) and changes in mix;
- Operational performance—changes to costs for materials and commodities or manufacturing and engineering variances; and
- Other—including restructuring costs and any remaining variances not included in Volume, net of contractual price reductions or Operational performance.

The automotive technology and component supply industry is traditionally subject to inflationary pressures with respect to raw materials and labor which may place operational and profitability burdens on the entire supply chain. For instance, the industry has recently been subjected to increased pricing pressures, specifically in relation to copper and petroleum-based resin products, which have experienced significant volatility in price. We have also been impacted globally by increased overall inflation as a result of a variety of global trends. For example, the rapidly evolving trade policies and tariff actions could result in increased pricing pressures on our global supply chain, which could adversely affect our business and financial results. In addition, we expect semiconductor supply cost and commodity cost volatility to have a continual impact on future earnings and/or operating cash flows. Management continues to seek to mitigate both inflationary pressures and our material-related cost exposures using a number of approaches, including combining purchase requirements with customers and/or other suppliers, using alternate suppliers or product designs, negotiating cost reductions and/or commodity cost contract escalation clauses into our vehicle manufacturer supply contracts and hedging. We have also negotiated, and will continue to negotiate, price increases with our customers in response to the aforementioned increased overall inflation and global supply chain disruptions.

Three and Six Months Ended June 30, 2025 versus Three and Six Months Ended June 30, 2024

The results of operations for the three and six months ended June 30, 2025 and 2024 were as follows:

	Three Months Ended June 30,			Six Months Ended June 30,		
	2025	2024	Favorable/(unfavorable)	2025	2024	Favorable/(unfavorable)
	(dollars in millions)					
Net sales	\$ 5,208	\$ 5,051	\$ 157	\$ 10,033	\$ 9,952	\$ 81
Cost of sales	4,211	4,083	(128)	8,116	8,106	(10)
Gross margin	997 19.1%	968 19.2%	29	1,917 19.1%	1,846 18.5%	71
Selling, general and administrative	406	405	(1)	790	771	(19)
Amortization	53	52	(1)	104	106	2
Restructuring	52	70	18	89	109	20
Operating income	486	441	45	934	860	74
Interest expense	(91)	(64)	(27)	(184)	(129)	(55)
Other income, net	12	10	2	12	25	(13)
Net gain on equity method transactions	46	641	(595)	46	641	(595)
Income before income taxes and equity loss	453	1,028	(575)	808	1,397	(589)
Income tax expense	(45)	(51)	6	(401)	(127)	(274)
Income before equity loss	408	977	(569)	407	1,270	(863)
Equity loss, net of tax	(11)	(34)	23	(21)	(103)	82
Net income	397	943	(546)	386	1,167	(781)
Net income attributable to noncontrolling interest	5	5	—	6	11	(5)
Net loss attributable to redeemable noncontrolling interest	(1)	—	(1)	(2)	—	(2)
Net income attributable to Aptiv	<u>\$ 393</u>	<u>\$ 938</u>	<u>\$ (545)</u>	<u>\$ 382</u>	<u>\$ 1,156</u>	<u>\$ (774)</u>

Total Net Sales

Below is a summary of our total net sales for the three months ended June 30, 2025 versus June 30, 2024.

	Three Months Ended June 30,			Variance Due To:				
	2025	2024	Favorable/(unfavorable)	Volume, net of contractual price reductions	FX	Commodity pass-through	Other	Total
	(in millions)			(in millions)				
Total net sales	\$ 5,208	\$ 5,051	\$ 157	\$ 96	\$ 38	\$ 23	\$ —	\$ 157

Total net sales for the three months ended June 30, 2025 increased 3% compared to the three months ended June 30, 2024. Our volumes increased 2% for the period, which primarily reflects volume growth in Asia Pacific and North America, partially offset by volume declines in Europe, compared to increased global automotive production of 2% (flat on an AWM basis). Our net sales also reflect contractual price reductions, net of price recoveries, of \$17 million and favorable foreign currency impacts, primarily related to the Euro.

	Six Months Ended June 30,			Variance Due To:				
	2024	2023	Favorable/(unfavorable)	Volume, net of contractual price reductions	FX	Commodity pass-through	Other	Total
	(in millions)			(in millions)				
Total net sales	\$ 10,033	\$ 9,952	\$ 81	\$ 54	\$ (26)	\$ 53	\$ —	\$ 81

Total net sales for the six months ended June 30, 2025 increased 1% compared to the six months ended June 30, 2024. Our volumes increased 1% for the period, which primarily reflects volume growth in Asia Pacific, partially offset by volume declines in Europe, compared to increased global automotive production of 3% (down 1% on an AWM basis). Our net sales also reflect the impact of contractual price reductions, net of price recoveries, of \$30 million, and unfavorable foreign currency impacts, primarily related to the Chinese Yuan Renminbi and South Korean Won, partially offset by the Euro.

Cost of Sales

Cost of sales is primarily comprised of material, labor, manufacturing overhead, freight, fluctuations in foreign currency exchange rates, product engineering, design and development expenses, depreciation, warranty costs and other operating expenses. Gross margin is revenue less cost of sales and gross margin percentage is gross margin as a percentage of net sales.

Cost of sales increased \$128 million for the three months ended June 30, 2025 compared to the three months ended June 30, 2024, as summarized below. The Company's material cost of sales was approximately 50% of net sales for both the three months ended June 30, 2025 and 2024.

	Three Months Ended June 30,			Variance Due To:				
	2025	2024	Favorable/(unfavorable)	Volume (a)	FX	Operational performance	Other	Total
	(dollars in millions)			(in millions)				
Cost of sales	\$ 4,211	\$ 4,083	\$ (128)	\$ (70)	\$ (85)	\$ 57	\$ (30)	\$ (128)
Gross margin	\$ 997	\$ 968	\$ 29	\$ 26	\$ (47)	\$ 57	\$ (7)	\$ 29
Percentage of net sales	19.1 %	19.2 %						

(a) Presented net of contractual price reductions for gross margin variance.

The increase in cost of sales reflects the impacts of improved operational performance, offset by increased volumes and currency exchange. Cost of sales was also impacted by the following item in Other above:

- \$23 million of increased commodity pass-through costs.

Cost of sales increased \$10 million for the six months ended June 30, 2025 compared to the six months ended June 30, 2024, as summarized below. The Company's material cost of sales was approximately 50% of net sales for both the six months ended June 30, 2025 and 2024.

	Six Months Ended June 30,			Variance Due To:				
	2025	2024	Favorable/(unfavorable)	Volume (a)	FX	Operational performance	Other	Total
	(dollars in millions)			(in millions)				
Cost of sales	\$ 8,116	\$ 8,106	\$ (10)	\$ (37)	\$ (41)	\$ 169	\$ (101)	\$ (10)
Gross margin	\$ 1,917	\$ 1,846	\$ 71	\$ 17	\$ (67)	\$ 169	\$ (48)	\$ 71
Percentage of net sales	19.1 %	18.5 %						

(a) Presented net of contractual price reductions for gross margin variance.

The increase in cost of sales reflects the impacts of improved operational performance, offset by increased volumes and currency exchange. Cost of sales was also impacted by the following items in Other above:

- \$53 million of increased commodity pass-through costs;
- Approximately \$20 million of increased depreciation, which includes increased long-lived asset impairment charges of \$5 million; and
- \$15 million of increased warranty costs.

Selling, General and Administrative Expense

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(dollars in millions)		
Selling, general and administrative expense	\$ 406	\$ 405	\$ (1)
Percentage of net sales	7.8 %	8.0 %	

	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(dollars in millions)		
Selling, general and administrative expense	\$ 790	\$ 771	\$ (19)
Percentage of net sales	7.9 %	7.7 %	

Selling, general and administrative expense (“SG&A”) primarily includes administrative expenses, information technology costs, incentive compensation related costs, separation, acquisition and project portfolio costs and selling and marketing expenses. SG&A remained consistent as a percentage of net sales for the three and six months ended June 30, 2025 compared to 2024. SG&A includes \$28 million and \$47 million of separation costs during the three and six months ended June 30, 2025, respectively.

Amortization

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Amortization	\$ 53	\$ 52	\$ (1)

	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Amortization	\$ 104	\$ 106	\$ 2

Amortization expense reflects the non-cash charge related to definite-lived intangible assets. Amortization during the three and six months ended June 30, 2025 and 2024 reflects the continued amortization of our definite-lived intangible assets, which resulted primarily from our acquisitions, over their estimated useful lives.

Restructuring

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(dollars in millions)		
Restructuring	\$ 52	\$ 70	\$ 18
Percentage of net sales	1.0 %	1.4 %	
	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(dollars in millions)		
Restructuring	\$ 89	\$ 109	\$ 20
Percentage of net sales	0.9 %	1.1 %	

The Company recorded employee-related and other restructuring charges totaling approximately \$52 million and \$89 million during the three and six months ended June 30, 2025, respectively, which included the recognition of approximately \$12 million and \$15 million, respectively, for a program initiated in the fourth quarter of 2024 focused on global salaried workforce optimization, primarily in the European region. The charges recorded during the three and six months ended June 30, 2025 also included the recognition of approximately \$9 million and \$22 million, respectively, within the Electrical Distribution Systems segment for programs to downsize and close European manufacturing sites. We expect to make cash payments of approximately \$110 million over the next twelve months pursuant to currently implemented restructuring programs.

During the three and six months ended June 30, 2024, Aptiv recorded employee-related and other restructuring charges totaling approximately \$70 million and \$109 million, respectively, which included the recognition of approximately \$30 million and \$54 million, respectively, for a program initiated in the fourth quarter of 2023 focused on global salaried workforce optimization, primarily in the European region. The charges recorded during the three and six months ended June 30, 2024 also reflected programs to align manufacturing capacity with the current levels of automotive production in North America and Asia Pacific.

We expect to continue to incur additional restructuring expense in 2025 and beyond, primarily related to programs focused on reducing global overhead costs, the continued rotation of our manufacturing footprint to best cost locations in Europe and aligning manufacturing capacity with the levels of automotive production, which includes approximately \$25 million (of which approximately \$10 million relates to the Electrical Distribution Systems segment, approximately \$10 million relates to the Engineering Components Group segment and approximately \$5 million relates to the Advanced Safety and User Experience segment) for programs approved as of June 30, 2025. Additionally, as we continue to operate in a cyclical industry that is impacted by movements in the global and regional economies, we continually evaluate opportunities to further adjust our cost structure and optimize our manufacturing footprint. The Company plans to implement additional restructuring activities in the future, if necessary, in order to align manufacturing capacity and other costs with prevailing regional automotive production levels and locations, to improve the efficiency and utilization of other locations and in order to increase investment in advanced technologies and engineering. Such future restructuring actions are dependent on market conditions, customer actions and other factors.

Refer to Note 7. Restructuring to the consolidated financial statements contained herein for additional information.

Interest Expense

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Interest expense	\$ 91	\$ 64	\$ (27)

	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Interest expense	\$ 184	\$ 129	\$ (55)

The increase in interest expense during the three and six months ended June 30, 2025 compared to 2024 primarily reflects the issuance of €750 million in aggregate principal amount of 4.25% Euro-denominated senior unsecured notes due 2036 (the “2024 Euro-denominated Senior Notes”) in June 2024, the issuance of \$1,650 million in aggregate principal amount of senior unsecured notes (the “2024 Senior Notes”) in September 2024 and the issuance of \$500 million in aggregate principal amount of junior subordinated notes (the “2024 Junior Notes”) in September 2024, partially offset by the redemption of the \$700 million in aggregate principal amount of 2.396% senior unsecured notes due 2025 (the “2.396% Senior Notes”) in September 2024 and the redemption of the €700 million in aggregate principal amount of 1.50% Euro-denominated senior unsecured notes due 2025 in December 2024. Refer to Note 8. Debt to the consolidated financial statements contained herein for additional information.

Other Income, Net

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Other income, net	\$ 12	\$ 10	\$ 2

	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Other income, net	\$ 12	\$ 25	\$ (13)

Other income, net for the three months ended June 30, 2025 includes interest income of \$13 million. Other income, net for the six months ended June 30, 2025 includes interest income of \$24 million, partially offset by a loss on extinguishment of debt of \$3 million primarily in conjunction with the repayment of the Term Loan A, as discussed in Note 8. Debt to the consolidated financial statements contained herein.

Other income, net for the three and six months ended June 30, 2024 includes interest income of \$16 million and \$36 million, respectively.

Refer to Note 16. Other Income, net to the consolidated financial statements contained herein for additional information.

Net Gain on Equity Method Transactions

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Net gain on equity method transactions	\$ 46	\$ 641	\$ (595)

	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Net gain on equity method transactions	\$ 46	\$ 641	\$ (595)

Net gain on equity method transactions for the three and six months ended June 30, 2025 includes a gain of approximately \$33 million recorded as a result of the Motional funding transaction completed in May 2025 and a gain of approximately \$13 million from the closing of the sale of TTTech Auto in June 2025.

Net gain on equity method transactions for the three and six months ended June 30, 2024 includes a gain of approximately \$641 million recorded as a result of the Motional funding and ownership restructuring transactions completed in May 2024.

Refer to Note 21. Investments in Affiliates to the consolidated financial statements contained herein for additional information.

Income Taxes

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Income tax expense	\$ 45	\$ 51	\$ 6

	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Income tax expense	\$ 401	\$ 127	\$ (274)

The Company's tax rate is affected by the fact that its parent entity was an Irish resident tax payer and became a Swiss resident tax payer in December 2024, the tax rates in Switzerland, Ireland and other jurisdictions in which the Company operates, the relative amount of income earned by jurisdiction and the relative amount of losses or income for which no tax benefit or expense was recognized due to a valuation allowance. The Company's effective tax rate is also impacted by the receipt of certain tax incentives and holidays that reduce the effective tax rate for certain subsidiaries below the statutory rate.

The Company's effective tax rate for the three and six months ended June 30, 2025 includes net discrete tax benefits of approximately \$40 million and net discrete tax expense of approximately \$241 million, respectively, primarily related to a change in valuation allowance on the Swiss tax incentive, as described below, partially offset by changes in other valuation allowances and changes in reserves. The Company's effective tax rate for the three and six months ended June 30, 2024 includes net discrete tax benefits of approximately \$27 million and \$20 million, respectively, primarily related to a business reorganization that occurred in the second quarter of 2024. Also included as a discrete item in the effective tax rate for the three months ended June 30, 2024 is the beneficial impact of approximately 8 points resulting from the Motional funding and ownership restructuring transactions, as described further in Note 21. Investment in Affiliates. There was no tax expense associated with these gains as Aptiv's interest in Motional is exempt from capital gains tax in the jurisdiction in which it is owned.

On December 15, 2022, the E.U. Member States formally adopted the Framework, which generally provides for a minimum effective tax rate of 15%, as established by the OECD. Many countries have enacted legislation consistent with the Framework effective at the beginning of 2024. The OECD continues to release additional guidance on these rules. The Company has proactively responded to these tax policy changes and will continue to closely monitor developments. Our effective tax rate for the six months ended June 30, 2025 includes an unfavorable impact from the enacted Framework.

On January 15, 2025, the OECD released Administrative Guidance (the “Guidance”) on Article 9.1 of the Global Anti-Base Erosion Model Rules (the “Model Rules”) which amends the Pillar Two Framework. Jurisdictions that have adopted the Framework may implement and administer their domestic laws consistent with the Model Rules and Guidance. The Guidance eliminates the tax basis in certain deferred tax assets including tax credit carryforwards for purposes of the global minimum tax established under the Framework. As a result, the Company no longer expects to obtain significant benefits from the tax incentive granted to its Swiss subsidiary in 2023. Accordingly, the Company recognized an increase to valuation allowances of \$294 million to reduce the related deferred tax asset during the six months ended June 30, 2025. No other deferred tax assets are impacted by the Guidance.

On July 4, 2025, the One Big Beautiful Bill Act (the “Act”) was enacted into law. The Act includes changes to U.S. tax law that will be applicable to Aptiv beginning in 2025, with additional provisions applying in subsequent years. Included in these changes are favorable adjustments to deductions for interest, qualified property, and research and development expenditures, as well as reforms to the international tax framework. We are in the process of evaluating the impact of the Act on our consolidated financial statements.

Refer to Note 11. Income Taxes to the consolidated financial statements contained herein for additional information.

Equity Loss

	Three Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Equity loss, net of tax	\$ 11	\$ 34	\$ 23

	Six Months Ended June 30,		
	2025	2024	Favorable/ (unfavorable)
	(in millions)		
Equity loss, net of tax	\$ 21	\$ 103	\$ 82

Equity loss, net of tax reflects the Company’s interest in the results of ongoing operations of entities accounted for as equity method investments. The decrease in equity losses recognized by Aptiv during the three and six months ended June 30, 2025 compared to 2024 is primarily attributable to the decrease in Aptiv’s common equity interest in Motional from 50% to approximately 13% as a result of the Motional funding and ownership restructuring transactions that were completed in May 2024 and May 2025. Refer to Note 21. Investments in Affiliates to the consolidated financial statements contained herein for additional information.

Results of Operations by Segment

In connection with the Separation, as further described in Note 22. Separation of Electrical Distribution Systems to the consolidated financial statements contained herein for additional information, in the first quarter of 2025, Aptiv realigned its business into three reportable operating segments:

- Electrical Distribution Systems, which includes the full range of low voltage and high voltage power, signal and data distribution solutions needed to deliver fully integrated, cost-optimized architectures. As described in Note 22. Separation of Electrical Distribution Systems to the consolidated financial statements contained herein, the Company is pursuing a separation of the Electrical Distribution Systems business into a new, independent publicly traded company, through a transaction expected to be treated as a tax-free spin-off to its shareholders.
- Engineered Components Group, which includes interconnect and component solutions that optimize the distribution of signal, power and data for next-generation applications across multiple end markets.

- Advanced Safety and User Experience, which includes platforms and modular offerings, such as perception systems, high-performance compute solutions, cloud-native software for ADAS and user experience, and edge-to-cloud DevOps tools.
- Eliminations and Other, which includes i) the elimination of inter-segment transactions, and ii) certain other expenses and income of a non-operating or strategic nature.

Prior period amounts were adjusted retrospectively to reflect the change in reportable operating segments, consistent with the current year presentation, throughout the consolidated financial statements and the accompanying notes to the consolidated financial statements.

Our management utilizes Adjusted Operating Income as the key performance measure of segment income or loss to evaluate segment performance, and for planning and forecasting purposes to allocate resources to the segments, as management believes this measure is most reflective of the operational profitability or loss of our operating segments. Segment Adjusted Operating Income should not be considered a substitute for results prepared in accordance with U.S. GAAP and should not be considered an alternative to net income attributable to Aptiv, which is the most directly comparable financial measure to Adjusted Operating Income that is prepared in accordance with U.S. GAAP. Segment Adjusted Operating Income, as determined and measured by Aptiv, should also not be compared to similarly titled measures reported by other companies. Refer to Note 19. Segment Reporting to the consolidated financial statements contained herein for additional information.

Net sales, gross margin as a percentage of net sales and Adjusted Operating Income by segment for the three and six months ended June 30, 2025 and 2024 are as follows:

Net Sales by Segment

	Three Months Ended June 30,			Variance Due To:				
	2025	2024	Favorable/ (unfavorable)	Volume, net of contractual price reductions	FX	Commodity pass-through	Other	Total
	(in millions)			(in millions)				
Electrical Distribution Systems	\$ 2,206	\$ 2,065	\$ 141	\$ 106	\$ 13	\$ 22	\$ —	\$ 141
Engineered Components Group	1,723	1,626	97	75	21	1	—	97
Advanced Safety and User Experience	1,507	1,554	(47)	(53)	6	—	—	(47)
Eliminations and Other	(228)	(194)	(34)	(32)	(2)	—	—	(34)
Total	\$ 5,208	\$ 5,051	\$ 157	\$ 96	\$ 38	\$ 23	\$ —	\$ 157

	Six Months Ended June 30,			Variance Due To:				
	2025	2024	Favorable/(unfavorable)	Volume, net of contractual price reductions	FX	Commodity pass-through	Other	Total
	(in millions)			(in millions)				
Electrical Distribution Systems	\$ 4,230	\$ 4,146	\$ 84	\$ 50	\$ (14)	\$ 48	\$ —	\$ 84
Engineered Components Group	3,304	3,222	82	92	(14)	4	—	82
Advanced Safety and User Experience	2,931	2,983	(52)	(53)	1	—	—	(52)
Eliminations and Other	(432)	(399)	(33)	(35)	1	1	—	(33)
Total	\$ 10,033	\$ 9,952	\$ 81	\$ 54	\$ (26)	\$ 53	\$ —	\$ 81

Gross Margin Percentage by Segment

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Electrical Distribution Systems	11.9 %	11.8 %	12.0 %	11.5 %
Engineered Components Group	25.9 %	27.2 %	26.1 %	26.0 %
Advanced Safety and User Experience	19.2 %	18.1 %	18.7 %	17.8 %
Total	19.1 %	19.2 %	19.1 %	18.5 %

Adjusted Operating Income by Segment

	Three Months Ended June 30,			Variance Due To:			
	2025	2024	Favorable/ (unfavorable)	Volume, net of contractual price reductions	Operational performance	Other	Total
	(in millions)			(in millions)			
Electrical Distribution Systems	\$ 163	\$ 138	\$ 25	\$ 17	\$ 21	\$ (13)	\$ 25
Engineered Components Group	\$ 287	\$ 298	\$ (11)	\$ 26	\$ (1)	\$ (36)	\$ (11)
Advanced Safety and User Experience	\$ 178	\$ 170	\$ 8	\$ (17)	\$ 37	\$ (12)	\$ 8

As noted in the table above, Adjusted Operating Income for the three months ended June 30, 2025 as compared to the three months ended June 30, 2024 was impacted by operational performance, volume, including product mix, as well as the impacts of contractual price reductions, net of price recoveries, of \$17 million. Adjusted Operating Income was also impacted by the following items included within Other in the table above:

- \$53 million of unfavorable foreign currency impacts, primarily related to the Mexican Peso; and
- Approximately \$10 million of increased depreciation, primarily as a result of a higher fixed asset base.

	Six Months Ended June 30,			Variance Due To:			
	2025	2024	Favorable/ (unfavorable)	Volume, net of contractual price reductions	Operational performance	Other	Total
	(in millions)			(in millions)			
Electrical Distribution Systems	\$ 306	\$ 274	\$ 32	\$ 7	\$ 56	\$ (31)	\$ 32
Engineered Components Group	\$ 561	\$ 551	\$ 10	\$ 30	\$ 31	\$ (51)	\$ 10
Advanced Safety and User Experience	\$ 333	\$ 325	\$ 8	\$ (20)	\$ 82	\$ (54)	\$ 8

As noted in the table above, Adjusted Operating Income for the six months ended June 30, 2025 as compared to the six months ended June 30, 2024 was impacted by operational performance, volume, including product mix, as well as the impacts of contractual price reductions, net of price recoveries, of \$30 million. Adjusted Operating Income was also impacted by the following items included within Other in the table above:

- \$69 million of unfavorable foreign currency impacts, primarily related to the Mexican Peso and Chinese Yuan Renminbi;
- Approximately \$25 million of increased depreciation, primarily as a result of a higher fixed asset base;
- \$15 million of increased SG&A expense, not including the impact of separation costs and other acquisition and portfolio project costs; and
- \$15 million of increased warranty costs.

Liquidity and Capital Resources

Overview of Capital Structure

Our liquidity requirements are primarily to fund our business operations, including capital expenditures and working capital requirements, as well as to fund debt service requirements, operational restructuring activities and separation activities. Our primary sources of liquidity are cash flows from operations, our existing cash balance, and as necessary and available, borrowings under credit facilities and issuance of long-term debt and equity. To the extent we generate discretionary cash flow we may consider using this additional cash flow for optional prepayments of existing indebtedness, strategic acquisitions or investments, additional share repurchases and/or general corporate purposes. We also continually explore ways to enhance our capital structure.

As of June 30, 2025, we had cash and cash equivalents of \$1.4 billion and net debt (defined as outstanding debt less cash and cash equivalents) of \$6.3 billion. The following table summarizes our available liquidity, which includes cash, cash equivalents and funds available under our significant committed credit facilities, as of June 30, 2025:

	June 30, 2025
	(in millions)
Cash and cash equivalents	\$ 1,448
Revolving Credit Facility, unutilized portion (1)	1,999
Committed European accounts receivable factoring facility, unutilized portion (2)	527
Total available liquidity	\$ 3,974

(1) Availability reduced by \$1 million in letters of credit issued under the Credit Agreement as of June 30, 2025.

(2) Based on June 30, 2025 foreign currency rates, subject to the availability of eligible accounts receivable.

We expect existing cash, available liquidity and cash flows from operations to continue to be sufficient to fund our global operating activities, including restructuring payments, capital expenditures, debt obligations and separation activities. In addition, we expect to continue to repurchase outstanding ordinary shares pursuant to our authorized ordinary share repurchase program, as further described below.

We also continue to expect to be able to move funds between different countries to manage our global liquidity needs without material adverse tax implications, subject to current monetary policies. We utilize a combination of strategies, including dividends, cash pooling arrangements, intercompany loan repayments and other distributions and advances to provide the funds necessary to meet our global liquidity needs. There are no significant restrictions on the ability of our subsidiaries to pay dividends or make other distributions to Aptiv. As of June 30, 2025, the Company's cash and cash equivalents held by our non-U.S. subsidiaries totaled approximately \$1.4 billion. If additional non-U.S. cash was needed for our U.S. operations, we may be required to accrue and pay withholding if we were to distribute such funds from non-U.S. subsidiaries to the U.S.; however, based on our current liquidity needs and strategies, we do not anticipate a need to accrue and pay such additional amounts.

Share Repurchase Programs

In July 2024, the Board of Directors authorized a share repurchase program of up to \$5.0 billion of ordinary shares, which commenced in August 2024 following completion of the Company's \$2.0 billion January 2019 share repurchase program. This share repurchase program provides for share purchases in the open market or in privately negotiated transactions (which may include derivative transactions, including an accelerated share repurchase program ("ASR")), depending on share price, market conditions and other factors, as determined by the Company.

As part of the Company's share repurchase program, on August 1, 2024, the Company entered into ASR agreements with each of Goldman Sachs International and JPMorgan Chase Bank, N.A. to repurchase an aggregate of \$3.0 billion of Aptiv's ordinary shares (the "ASR Agreements").

Under the terms of the ASR Agreements, on August 2, 2024, the Company made an aggregate payment of \$3.0 billion (the "Repurchase Price") and received initial deliveries of approximately 30.8 million ordinary shares with a value of \$2.25 billion, which were retired immediately and recorded as a reduction to shareholders' equity. Aptiv incurred approximately \$4 million of direct costs in connection with the ASR Agreements. Given the Company's ability to settle in shares, the remaining \$750 million prepaid forward contract was classified as a reduction to additional paid-in capital as of December 31, 2024. The Company initially funded the accelerated share repurchase program with cash on hand and borrowings under the Bridge Credit Agreement. The Bridge Credit Agreement was subsequently repaid and terminated during the third quarter of 2024 using proceeds from the Term Loan A and issuance of the 2024 Senior Notes and 2024 Junior Notes, as further described in Note 8. Debt.

During the six months ended June 30, 2025, upon final settlements under the ASR Agreements, Aptiv received incremental deliveries of approximately 17.7 million ordinary shares. All shares delivered to Aptiv under the ASR Agreements were retired immediately. Under the ASR Agreements, the Company received total deliveries of approximately 48.5 million ordinary shares at an average price of \$61.84 per share, based on the average daily volume-weighted average price of our ordinary shares on specified dates during the terms of the ASR Agreements, less a discount and subject to adjustments pursuant to the terms and conditions of the ASR Agreements. There was no other share repurchase activity during the six months ended June 30, 2025.

During the six months ended June 30, 2024, we repurchased approximately 12.7 million of our outstanding ordinary shares for \$1,034 million in the open market.

As of June 30, 2025, approximately \$2,515 million of share repurchases remained available under the July 2024 share repurchase program. All previously repurchased shares were retired and are reflected as a reduction of ordinary share capital for the par value of the shares, with the excess applied as reductions to additional paid-in-capital and retained earnings.

Dividends from Equity Investments

During the three months ended June 30, 2025, Aptiv received dividends of \$8 million from its equity method investments. During the six months ended June 30, 2024, Aptiv received dividends of \$7 million from its equity method investments. The dividends were recognized as a reduction to the investment and represented a return on investment included in cash flows from operating activities.

Acquisitions, Divestitures and Other Transactions

In April 2025, one of Aptiv's wholly-owned subsidiaries completed the sale of certain assets (net of certain liabilities) that were previously reported within the Advanced Safety and User Experience segment for net cash proceeds of approximately \$4 million. As a result of the sale, the Company recognized a pre-tax gain of approximately \$5 million during the three months ended June 30, 2025, within cost of sales in the consolidated statements of operations.

Motional Joint Venture Funding and Ownership Restructuring Transactions—On April 19, 2024, Aptiv and Hyundai Motor Group (“Hyundai”) entered into an agreement to restructure Aptiv's ownership interest in Motional and for Hyundai to provide additional funding to Motional, each as described below. Prior to these transactions, Motional was 50% owned by each of Aptiv and Hyundai.

As part of the agreement, on May 2, 2024, Hyundai invested \$475 million in Motional in exchange for additional common equity interests. Aptiv did not participate in this funding round. This transaction resulted in the dilution of Aptiv's common equity interest in Motional from 50% to approximately 44%, prior to the completion of any further transactions as described below. As these units were issued at a valuation greater than the carrying value of our investment in Motional, the Company recognized a gain of approximately \$91 million during the year ended December 31, 2024, within net gain on equity method transactions in the consolidated statements of operations.

Also as part of the agreement, on May 16, 2024, Aptiv sold 11% of its common equity interest in Motional to Hyundai for approximately \$448 million of cash consideration. Aptiv also exchanged approximately 21% of its common equity in Motional for a like number of Motional preferred shares. These transactions resulted in the reduction of Aptiv's common equity interest in Motional from approximately 44% to approximately 15%. As a result of these transactions, the Company recognized a gain of approximately \$550 million during the year ended December 31, 2024, within net gain on equity method transactions in the consolidated statements of operations.

The total gain recorded as a result of the Motional funding and ownership restructuring transactions completed in May 2024, all as described above, was approximately \$641 million (approximately \$2.50 per diluted share) for the year ended December 31, 2024.

On May 30, 2025, Hyundai invested approximately \$440 million in Motional in exchange for additional common equity interests. Aptiv did not participate in this funding round. This transaction resulted in the dilution of Aptiv's common equity interest in Motional from approximately 15% as of March 31, 2025 to approximately 13%. As a result of this transaction, the Company recognized a gain of approximately \$33 million (approximately \$0.15 per diluted share) during the three months ended June 30, 2025, within net gain on equity method transactions in the consolidated statements of operations.

Investment in TTTech Auto AG—The shareholders of TTTech Auto AG (“TTTech Auto”) entered into an agreement for the sale of 100% of TTTech Auto to an unrelated third party, and as a result, the Company determined there was an other-than-temporary impairment to its equity method investment in TTTech Auto in the fourth quarter of 2024 based on the anticipated acquisition value of TTTech Auto. During the year ended December 31, 2024, the Company's equity investment in TTTech Auto was written down to its estimated fair value of \$147 million, resulting in a non-cash, pre-tax impairment charge of approximately \$36 million within net gain on equity method transactions in the consolidated statements of operations. The sale of TTTech Auto closed in June 2025, resulting in net cash proceeds to Aptiv of \$164 million. As a result of the sale, the

Company recognized a gain of approximately \$13 million during the three months ended June 30, 2025, within net gain on equity method transactions in the consolidated statements of operations, which includes accumulated currency translation adjustment impacts of \$6 million. Following completion of the sale, Aptiv no longer holds an equity interest in TTTech Auto and accordingly reduced the carrying value of the investment to zero in the consolidated balance sheet.

Technology Investments—During the three months ended June 30, 2025, the Company sold a portion of its Valens Semiconductor Ltd. ordinary shares for net proceeds of approximately \$1 million.

In April 2025, the Company's Advanced Safety and User Experience segment made an investment of approximately 42 billion Korean Won ("KRW") (approximately \$29 million, using foreign currency rates on the investment date) in convertible redeemable preferred shares of StradVision, Inc. ("StradVision"), a provider of deep learning-based camera perception software for automotive applications. The Company previously made KRW-denominated investments in StradVision totaling approximately \$11 million in the first quarter of 2025 and approximately \$108 million in prior years (using foreign currency rates on the date of the respective investments). Due to the Company's redemption rights, the Company's investment in StradVision is classified as an available-for-sale debt security within other long-term assets in the consolidated balance sheets, with changes in fair value recorded in other comprehensive income.

In September 2024, the Company's Advanced Safety and User Experience segment made an investment totaling approximately 399 million RMB (approximately \$57 million, using foreign currency rates on the investment date) in preferred equity of MAXIEYE Automotive Technology (Ningbo) Co., Ltd. ("Maxieye"), a provider of advanced driver-assistance systems and autonomous driving applications. Due to the Company's redemption rights, the Company's investment in Maxieye is classified as an available-for-sale debt security within other long-term assets in the consolidated balance sheets, with changes in fair value recorded in other comprehensive income. The Company also agreed to invest an additional 171 million RMB (approximately \$24 million, using June 30, 2025 foreign currency rates) in preferred equity of Maxieye, contingent on the achievement of certain technical milestones, which have not yet been met as of June 30, 2025, and the satisfaction of customary closing conditions.

Refer to Note 21. Investments in Affiliates to the consolidated financial statements contained herein for further detail of the Company's investments.

Credit Agreement

Aptiv PLC and its wholly-owned subsidiaries Aptiv Corporation and Aptiv Global Financing Designated Activity Company ("AGF DAC") entered into a credit agreement (the "Credit Agreement") with, among others, JPMorgan Chase Bank, N.A., as administrative agent (the "Administrative Agent"), under which it maintains a senior unsecured credit facility currently consisting of a revolving credit facility of \$2 billion (the "Revolving Credit Facility"). AGF DAC and Aptiv Corporation are each borrowers under the Credit Agreement, under which such borrowings would be guaranteed by each of the other borrowers, Aptiv PLC and Aptiv Swiss Holdings.

The Credit Agreement was entered into in March 2011 and has been subsequently amended and restated on several occasions, most recently on March 31, 2025 (the "March 2025 amendment"). The March 2025 amendment, among other things, (1) refinanced and replaced the revolver with a new five-year revolving credit facility with aggregate commitments of \$2 billion, and (2) removed provisions from the June 2021 amendment for sustainability-linked rate adjustments. The Revolving Credit Facility matures on March 31, 2030. The Credit Agreement also contains an uncommitted accordion feature that permits Aptiv to increase, from time to time, on customary terms and conditions, the aggregate borrowing capacity under the Credit Agreement by up to an additional \$1 billion upon Aptiv's request, the agreement of the lenders participating in the increase, and the approval of the Administrative Agent. Borrowings under the Credit Agreement are revolving in nature and may be made and prepaid from time to time at Aptiv's option without premium or penalty, in accordance with the terms and conditions of the Credit Agreement. The March 2025 amendment also required that Aptiv pay amendment fees of \$5 million during the six months ended June 30, 2025, which are reflected as a financing activity in the consolidated statements of cash flows.

As of June 30, 2025, Aptiv had no amounts outstanding under the Revolving Credit Facility and approximately \$1 million in letters of credit were issued under the Credit Agreement. Letters of credit issued under the Credit Agreement reduce availability under the Revolving Credit Facility. No amounts were drawn on the Revolving Credit Facility during the six months ended June 30, 2025.

Loans under the Credit Agreement bear interest, at Aptiv's option, at either (a) the Administrative Agent's Alternate Base Rate ("ABR" as defined in the Credit Agreement) or (b) SOFR plus in either case a percentage per annum as set forth in the table below (the "Applicable Rate"). The rates under the Credit Agreement on the specified dates are set forth below:

	June 30, 2025		December 31, 2024	
	SOFR plus	ABR plus	SOFR plus	ABR plus
Revolving Credit Facility	1.125 %	0.125 %	1.06 %	0.06 %

The Applicable Rate under the Credit Agreement, as well as the facility fee, may increase or decrease from time to time based on changes in the Company's credit ratings. Accordingly, the interest rate is subject to fluctuation during the term of the Credit Agreement based on changes in the ABR, SOFR and changes in the Company's corporate credit ratings. The Credit Agreement also requires that Aptiv pay certain facility fees on the Revolving Credit Facility, which are also subject to adjustment based on certain letter of credit issuance and fronting fees.

The Credit Agreement contains certain covenants that limit, among other things, the Company's (and the Company's subsidiaries') ability to incur certain additional indebtedness or liens or to dispose of substantially all of its assets. In addition, the Credit Agreement requires that the Company maintain a consolidated leverage ratio (the ratio of Consolidated Total Indebtedness to Consolidated EBITDA, each as defined in the Credit Agreement) of not more than 3.5 to 1.0 (or 4.0 to 1.0 for four full fiscal quarters following completion of material acquisitions, as defined in the Credit Agreement).

The Credit Agreement also contains events of default customary for financings of this type. The Company was in compliance with the Credit Agreement covenants as of June 30, 2025.

Term Loan A Credit Agreement

On August 19, 2024, Aptiv PLC and its wholly-owned subsidiaries AGF DAC and Aptiv Corporation entered into a senior unsecured term loan A credit agreement (the "Term Loan A Credit Agreement") with, among others, JPMorgan Chase Bank, N.A., as Administrative Agent, under which it maintained a senior unsecured credit facility consisting of a term loan (the "Term Loan A") in aggregate principal amount of \$600 million. Aptiv incurred approximately \$2 million of issuance costs in connection with the Term Loan A.

As described above, proceeds from the Term Loan A were used to repay a portion of the loans incurred under the Bridge Credit Agreement during the three months ended September 30, 2024. This transaction was accounted for as a modification of debt in accordance with ASC Topic 470-50, *Debt Modifications and Extinguishments*. Accordingly, a pro-rata portion of the unamortized fees from the Bridge Credit Agreement in the amount of \$4 million was transferred to the Term Loan A and, together with the \$2 million of direct issuance costs referenced above, were amortized to interest expense over the term of the Term Loan A.

During the fourth quarter of 2024, the Company repaid \$350 million of the outstanding principal balance on the Term Loan A, utilizing cash on hand. During the first quarter of 2025, the Company fully repaid the remaining outstanding principal balance of \$250 million on the Term Loan A utilizing cash on hand, and recognized a loss on debt extinguishment of approximately \$2 million during the six months ended June 30, 2025 within other income, net in the consolidated statements of operations.

The Term Loan A had a maturity date of August 19, 2027. Prior to its repayment, borrowings under the Term Loan A Credit Agreement were prepayable at Aptiv's option without premium or penalty. No principal payment was required until the maturity date.

Loans under the Term Loan A Credit Agreement bore interest, at Aptiv's option, at either (a) ABR or (b) SOFR plus in either case a percentage per annum as set forth in the table below (the "Term Loan Applicable Rate"). The rates under the Term Loan A Credit Agreement on the specified dates are set forth below:

	June 30, 2025		December 31, 2024	
	SOFR plus	ABR plus	SOFR plus	ABR plus
Term Loan A	N/A	N/A	1.250 %	0.250 %

Senior and Junior Unsecured Notes

As of June 30, 2025, the Company had the following senior and junior unsecured notes issued and outstanding:

Aggregate Principal Amount (in millions)	Stated Coupon Rate	Issuance Date	Maturity Date	Interest Payment Date
\$ 585	1.60%	September 2016	September 2028	September 15
\$ 300	4.35%	March 2019	March 2029	March 15 and September 15
\$ 550	4.65%	September 2024	September 2029	March 13 and September 13
\$ 800	3.25%	February 2022	March 2032	March 1 and September 1
\$ 550	5.15%	September 2024	September 2034	March 13 and September 13
\$ 877	4.25%	June 2024	June 2036	June 11
\$ 300	4.40%	September 2016	October 2046	April 1 and October 1
\$ 350	5.40%	March 2019	March 2049	March 15 and September 15
\$ 1,500	3.10%	November 2021	December 2051	June 1 and December 1
\$ 1,000	4.15%	February 2022	May 2052	May 1 and November 1
\$ 550	5.75%	September 2024	September 2054	March 13 and September 13
\$ 500	6.875% (1)	September 2024	December 2054	June 15 and December 15

(1) Represents fixed-to-fixed reset rate junior subordinated unsecured notes.

Although the specific terms of each indenture governing each series of senior and junior notes vary, the senior indentures contain certain restrictive covenants, including with respect to Aptiv's (and Aptiv's subsidiaries') ability to incur liens, enter into sale and leaseback transactions and merge with or into other entities. As of June 30, 2025, the Company was in compliance with the provisions of all series of the outstanding senior and junior notes. Refer to Note 8. Debt to the consolidated financial statements contained herein for additional information.

Guarantor Summarized Financial Information

As further described in Note 8. Debt to the consolidated financial statements contained herein, Aptiv Corporation and AGF DAC are each borrowers under the Credit Agreement, under which such borrowings would be guaranteed by each of the other borrowers, Aptiv PLC and Aptiv Swiss Holdings. Old Aptiv issued the 2016 Euro-denominated Senior Notes, 2016 Senior Notes, 2019 Senior Notes and 2021 Senior Notes. In February 2022, Aptiv Corporation and AGF DAC were added as guarantors on each series of outstanding senior notes previously issued by Old Aptiv. AGF DAC was added as a joint and several co-issuer of the 2021 Senior Notes in December 2021, effective as of the date of issuance. Old Aptiv and Aptiv Corporation jointly issued the 2022 Senior Notes, which are guaranteed by AGF DAC. In 2024, Old Aptiv and AGF DAC co-issued the 2024 Euro-denominated Senior Notes, the 2024 Senior Notes, and the 2024 Junior Notes, which are all guaranteed by Aptiv Corporation. In December 2024, in connection with the merger of Old Aptiv with and into Aptiv Swiss Holdings, with respect to each series of outstanding senior and junior notes previously issued by Old Aptiv, Aptiv Swiss Holdings succeeded to Old Aptiv as obligor, and Aptiv PLC was added as a guarantor. Together, Aptiv PLC, Aptiv Corporation, AGF DAC and Aptiv Swiss Holdings comprise the "Obligor Group." All other consolidated direct and indirect subsidiaries of Aptiv PLC are not subject to any guarantee under any series of notes outstanding (the "Non-Guarantors"). The guarantees rank equally in right of payment with all of the guarantors' existing and future senior indebtedness, are effectively subordinated to any of their existing and future secured indebtedness to the extent of the value of the collateral securing such indebtedness and are structurally subordinated to the indebtedness of each of their existing and future subsidiaries that is not a guarantor.

The below summarized financial information is presented on a combined basis after the elimination of intercompany balances and transactions among the Obligor Group and equity in earnings from and investments in the Non-Guarantors. The below summarized financial information should be read in conjunction with the Company's consolidated financial statements contained herein, as the financial information may not necessarily be indicative of results of operations or financial position had the subsidiaries operated as independent entities.

	Obligor Group
	(in millions)
Six Months Ended June 30, 2025	
Net sales	\$ —
Gross margin	\$ —
Operating loss	\$ (81)
Net loss	\$ (181)
Net loss attributable to Aptiv	\$ (181)
As of June 30, 2025:	
Current assets (1)	\$ 7,156
Long-term assets (1)	\$ 789
Current liabilities (2)	\$ 6,227
Long-term liabilities (2)	\$ 7,993
Noncontrolling interest	\$ —
As of December 31, 2024:	
Current assets (1)	\$ 6,969
Long-term assets (1)	\$ 692
Current liabilities (2)	\$ 5,683
Long-term liabilities (2)	\$ 8,126
Noncontrolling interest	\$ —

- (1) Includes current assets of \$6,382 million and \$6,212 million, and long-term assets of \$770 million and \$687 million, due from Non-Guarantors as of June 30, 2025 and December 31, 2024, respectively.
- (2) Includes current liabilities of \$6,134 million and \$5,481 million, and long-term liabilities of \$226 million and \$226 million, due to Non-Guarantors as of June 30, 2025 and December 31, 2024, respectively.

Other Financing

Receivable factoring—Aptiv maintains a €450 million European accounts receivable factoring facility that is available on a committed basis and allows for factoring of receivables denominated in both Euros and U.S. dollars (“USD”). This facility is accounted for as short-term debt and borrowings are subject to the availability of eligible accounts receivable. Collateral is not required related to these trade accounts receivable. This facility became effective on January 1, 2021 and had an initial term of three years, and was renewed for an additional three-year term, effective November 2023, subject to Aptiv’s right to terminate at any time with three months’ notice. After expiration of the new three-year term, either party can terminate with three months’ notice. Borrowings denominated in Euros under the facility bear interest at the three-month Euro Interbank Offered Rate (“EURIBOR”) plus 0.50% and USD borrowings bear interest at two-month SOFR plus 0.68%, with borrowings under either denomination carrying a minimum interest rate of 0.20%. As of June 30, 2025, Aptiv had no amounts outstanding on the European accounts receivable factoring facility. As of December 31, 2024, Aptiv had approximately \$450 million outstanding under the European accounts receivable factoring facility. The maximum amount drawn under the European accounts receivable factoring facility during the six months ended June 30, 2025 was \$450 million, primarily to manage intra-month working capital requirements.

Finance leases and other—As of June 30, 2025 and December 31, 2024, approximately \$34 million and \$64 million, respectively, of other debt primarily issued by certain non-U.S. subsidiaries and finance lease obligations were outstanding.

Letter of credit facilities—In addition to the letters of credit issued under the Credit Agreement, Aptiv had approximately \$4 million outstanding through other letter of credit facilities as of June 30, 2025 and December 31, 2024, primarily to support arrangements and other obligations at certain of its subsidiaries.

Cash Flows

Intra-month cash flow cycles vary by region, but in general we are users of cash through the first half of a typical month and we generate cash during the latter half of a typical month. Due to this cycle of cash flows, we may utilize short-term financing, including our Revolving Credit Facility and European accounts receivable factoring facility, to manage our intra-month working capital needs. Our cash balance typically peaks at month end.

We utilize a combination of strategies, including dividends, cash pooling arrangements, intercompany loan structures and other distributions and advances, to provide the funds necessary to meet our global liquidity needs. We utilize a global cash pooling arrangement to consolidate and manage our global cash balances, which enables us to efficiently move cash into and out of a number of the countries in which we operate.

Operating activities—Net cash provided by operating activities totaled \$783 million and \$887 million for the six months ended June 30, 2025 and 2024, respectively. Cash flows provided by operating activities for the six months ended June 30, 2025 consisted primarily of net earnings of \$386 million, increased by \$518 million for non-cash charges for depreciation, amortization, pension costs and extinguishment of debt, and by \$306 million for non-cash changes in deferred income taxes, primarily resulting from an increase in the valuation allowance associated with the Company's 2023 Swiss tax benefit, partially offset by \$482 million related to changes in operating assets and liabilities, net of restructuring and pension contributions. Cash flows provided by operating activities for the six months ended June 30, 2024 consisted primarily of net earnings of \$1,167 million, increased by \$501 million for non-cash charges for depreciation, amortization and pension costs, partially offset by \$641 million for non-cash gains resulting from the Motional transactions and \$343 million related to changes in operating assets and liabilities, net of restructuring and pension contributions.

Investing activities—Net cash used in investing activities totaled \$212 million and \$829 million for the six months ended June 30, 2025 and 2024, respectively. Cash flows used in investing activities for the six months ended June 30, 2025 primarily consisted of capital expenditures of \$346 million, partially offset by proceeds from the sale of equity method investments of \$164 million. Cash flows used in investing activities for the six months ended June 30, 2024 primarily consisted of short-term investment purchases of \$748 million and capital expenditures of \$491 million, partially offset by proceeds from the sale of equity method investments of \$448 million.

Financing activities—Net cash used in financing activities totaled \$732 million and \$264 million for the six months ended June 30, 2025 and 2024, respectively. Cash flows used in financing activities for the six months ended June 30, 2025 primarily included \$458 million in repayments under short-term debt agreements and \$250 million for the repayment of the Term Loan A. Cash flows used in financing activities for the six months ended June 30, 2024 primarily included \$1,030 million paid to repurchase ordinary shares partially offset by net proceeds of \$798 million received from the issuance of the 2024 Euro-denominated Senior Notes.

Off-Balance Sheet Arrangements

We do not engage in any off-balance sheet financial arrangements that have or are reasonably likely to have a material current or future effect on our financial condition, changes in financial condition, revenues or expenses, results of operations, liquidity, capital expenditures or capital resources.

Contingencies and Environmental Matters

The information concerning contingencies, including environmental contingencies and the amount currently held in reserve for environmental matters, contained in Note 10. Commitments and Contingencies to the unaudited consolidated financial statements included in Part I, Item 1 of this report is incorporated herein by reference.

Recently Issued Accounting Pronouncements

The information concerning recently issued accounting pronouncements contained in Note 2. Significant Accounting Policies to the unaudited consolidated financial statements included in Part I, Item 1 of this report is incorporated herein by reference.

Critical Accounting Estimates

There have been no significant changes in our critical accounting estimates during the three and six months ended June 30, 2025.

ITEM 3. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

There have been no material changes to the information concerning our exposures to market risk as stated in the Company's Annual Report on Form 10-K for the year ended December 31, 2024. As described in the Form 10-K, we have currency exposures related to buying, selling and financing in currencies other than the local functional currencies in which we operate ("transactional exposure"). We also have currency exposures related to the translation of the financial statements of our non-U.S. subsidiaries that use the local currency as their functional currency into U.S. dollars, the Company's reporting currency ("translational exposure"). As described in Note 14. Derivatives and Hedging Activities to the unaudited consolidated financial statements included in Part I, Item 1 of this report, to manage this risk the Company designates certain qualifying instruments as net investment hedges of certain non-U.S. subsidiaries. The effective portion of the gains or losses on instruments designated as net investment hedges are recognized within the cumulative translation adjustment component of OCI to offset changes in the value of the net investment in these foreign currency-denominated operations.

ITEM 4. CONTROLS AND PROCEDURES

A control system, no matter how well conceived and operated, can provide only reasonable, not absolute, assurance that the objectives of the control system are met. Because of the inherent limitations in all control systems, no evaluation of controls can provide absolute assurance that all control issues and instances of fraud, if any, within the Company have been detected.

Disclosure Controls and Procedures

Management is responsible for establishing and maintaining adequate internal control over financial reporting, as such term is defined in Rules 13a-15(f) and 15d-15(f) under the U.S. Securities Exchange Act of 1934, as amended (the "Exchange Act"). The Company maintains disclosure controls and procedures that are designed to provide reasonable assurance of achieving their objectives.

As of June 30, 2025, the Company's management, with the participation of the Chief Executive Officer and the Chief Financial Officer, has evaluated, for disclosure purposes, the effectiveness of the Company's disclosure controls and procedures, as defined in Rules 13a-15(e) and 15d-15(e) under the Exchange Act, as of the end of the period covered by this report. Based on that evaluation, the Chief Executive Officer and the Chief Financial Officer concluded that the Company's disclosure controls and procedures were effective to provide reasonable assurance that the desired control objectives were achieved as of June 30, 2025.

Changes in Internal Control over Financial Reporting

There were no material changes in the Company's internal controls over financial reporting during the three and six months ended June 30, 2025 that have materially affected, or are reasonably likely to materially affect, the Company's internal controls over financial reporting.

PART II. OTHER INFORMATION

ITEM 1. LEGAL PROCEEDINGS

We are from time to time subject to various actions, claims, suits, government investigations, and other proceedings incidental to our business, including those arising out of alleged defects, alleged breaches of contracts, competition and antitrust matters, product warranties, intellectual property matters, personal injury claims and employment-related matters. For a description of risks related to various legal proceedings and claims, see Item 1A, “Risk Factors,” in our Annual Report on Form 10-K for the year ended December 31, 2024. For a description of our outstanding material legal proceedings, see Note 10. Commitments and Contingencies to the unaudited consolidated financial statements included in this report.

ITEM 1A. RISK FACTORS

Other than as described in the Company's Form 10-Q for the quarter ended March 31, 2025, there have been no material changes to the risk factors described in Part I, “Item 1A. Risk Factors” in the Company’s Annual Report on Form 10-K for the year ended December 31, 2024.

ITEM 2. UNREGISTERED SALES OF EQUITY SECURITIES AND USE OF PROCEEDS

A summary of our ordinary shares repurchased during the three months ended June 30, 2025, is shown below:

Period	Total Number of Shares Purchased (1)	Average Price Paid per Share (2)	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs	Approximate Dollar Value of Shares that May Yet be Purchased Under the Program (in millions) (3)
April 1, 2025 to April 30, 2025				
Final settlement of ASR (4)	6,075,290		6,075,290	
Other shares repurchased	—	\$ —	—	\$ 2,515
May 1, 2025 to May 31, 2025	—	\$ —	—	\$ 2,515
June 1, 2025 to June 30, 2025	—	\$ —	—	\$ 2,515
Total	6,075,290	\$ —	6,075,290	

(1) The total number of shares purchased under the plans authorized by the Board of Directors are described below.

(2) Excluding commissions.

(3) In July 2024, the Board of Directors authorized a new share repurchase program of up to \$5.0 billion. This program commenced following completion of the Company’s January 2019 share repurchase program of up to \$2.0 billion. The timing of repurchases is dependent on price, market conditions and applicable regulatory requirements.

(4) In August 2024, the Company entered into an accelerated share repurchase program to repurchase an aggregate amount of \$3.0 billion of Aptiv’s ordinary shares (the “ASR Agreements”), and received initial deliveries of approximately 30.8 million ordinary shares in aggregate, with a value of \$2.25 billion, which were retired immediately. During the six months ended June 30, 2025, upon final settlement under the ASR Agreements, Aptiv received incremental deliveries of approximately 17.7 million ordinary shares, which were retired immediately. Under the ASR Agreements, the Company received total deliveries of approximately 48.5 million ordinary shares at an average price of \$61.84 per share, based on the average daily volume-weighted average price of our ordinary shares on specified dates during the terms of the ASR Agreements, less a discount and subject to adjustments pursuant to the terms and conditions of the ASR Agreements.

ITEM 5. OTHER INFORMATION

Securities Trading Plans of Executive Officers and Directors

Transactions in our securities by our executive officers and directors are required to be made in accordance with our insider trading policy, which, among other things, requires that the transactions be in accordance with applicable U.S. federal securities laws that prohibit trading while in possession of material nonpublic information. Our insider trading policy permits our executive officers and directors to enter into trading plans in accordance with Rule 10b5-1.

The following table describes contracts, instructions or written plans for the sale or purchase of our securities adopted by our executive officers and directors during the second quarter of 2025, each of which is intended to satisfy the affirmative defense conditions of Rule 10b5-1(c), referred to as Rule 10b5-1 trading plans.

Name and Title	Action	Date of Adoption of Rule 10b5-1 Trading Plan	Scheduled Expiration Date of Rule 10b5-1 Trading Plan (1)	Aggregate Number of Securities/Dollar Value to be Purchased or Sold
Obed D. Louissaint <i>Executive Vice President and Chief People Officer</i>	Adoption	5/9/2025	1/30/2026	Sale of up to 12,000 ordinary shares
Joseph R. Massaro <i>Vice Chairman, Engineered Components Group</i>	Adoption	5/22/2025	5/15/2026	Sale of up to 35,000 ordinary shares

(1) In each case, a trading plan may also expire on such earlier dates as all transactions under the trading plan are completed.

During the second quarter of 2025, no executive officer or director of the Company adopted, modified or terminated any non-Rule 10b5-1 trading arrangement (as defined in Item 408(c) of Regulation S-K).

ITEM 6. EXHIBITS

Exhibit Number		Description	Incorporated by Reference		
			Form	Exhibit	Filing Date
22	*	List of Guarantor Subsidiaries			
31.1	*	Rule 13a-14(a)/15d-14(a) Certification of Principal Executive Officer			
31.2	*	Rule 13a-14(a)/15d-14(a) Certification of Principal Financial Officer			
32.1	*	Certification by Chief Executive Officer pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002			
32.2	*	Certification by Chief Financial Officer pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002			
101.INS	#	Inline XBRL Instance Document - The instance document does not appear in the Interactive Data File because its XBRL tags are embedded within the Inline XBRL document.			
101.SCH	#	Inline XBRL Taxonomy Extension Schema Document			
101.CAL	#	Inline XBRL Taxonomy Extension Calculation Linkbase Document			
101.DEF	#	Inline XBRL Taxonomy Extension Definition Linkbase Document			
101.LAB	#	Inline XBRL Taxonomy Extension Label Linkbase Document			
101.PRE	#	Inline XBRL Taxonomy Extension Presentation Linkbase Document			
104	#	Cover Page Interactive Data File - The cover page interactive data file does not appear in the Interactive Data File because its XBRL tags are embedded within the Inline XBRL document.			

* Filed herewith.

+ Management contract or compensatory plan or arrangement.

Filed electronically with the Report.

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

APTIV PLC

/s/ Varun Laroyia

By: Varun Laroyia
Executive Vice President and Chief Financial
Officer

Dated: July 31, 2025

APTIV PLC
List of Guarantor Subsidiaries

Entity Name	Jurisdiction
Aptiv Swiss Holdings Limited*	Jersey
Aptiv Global Financing Designated Activity Company*	Ireland
Aptiv Corporation*	Delaware

*Entity is also a subsidiary issuer

CERTIFICATIONS**Certification of Principal Executive Officer**

I, Kevin P. Clark, certify that:

1. I have reviewed this quarterly report on Form 10-Q of Aptiv PLC;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - a. Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b. Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d. Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: July 31, 2025

/s/ Kevin P. Clark

Kevin P. Clark
Chair and Chief Executive Officer
(Principal Executive Officer)

CERTIFICATIONS

Certification of Principal Financial Officer

I, Varun Laroyia, certify that:

1. I have reviewed this quarterly report on Form 10-Q of Aptiv PLC;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - a. Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b. Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d. Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: July 31, 2025

/s/ Varun Laroyia

Varun Laroyia

Executive Vice President and Chief Financial Officer
(Principal Financial Officer)

**CERTIFICATION PURSUANT TO 18 U.S.C. SECTION 1350, AS ADOPTED PURSUANT TO SECTION 906 OF THE SARBANES-OXLEY ACT
OF 2002**

In connection with the filing of this quarterly report on Form 10-Q of Aptiv PLC (the “Company”) for the period ended June 30, 2025, with the Securities and Exchange Commission on the date hereof (the “Report”), I, Kevin P. Clark, Chief Executive Officer, certify, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002 to the best of my knowledge, that:

1. The Report fully complies with the requirements of section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
2. The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Date: July 31, 2025

/s/ Kevin P. Clark

Kevin P. Clark
Chair and Chief Executive Officer
(Principal Executive Officer)

A signed original of this written statement required by Section 906 has been provided to the Company and will be retained by the Company and furnished to the Securities and Exchange Commission or its staff upon request.

**CERTIFICATION PURSUANT TO 18 U.S.C. SECTION 1350, AS ADOPTED PURSUANT TO SECTION 906 OF THE SARBANES-OXLEY ACT
OF 2002**

In connection with the filing of this quarterly report on Form 10-Q of Aptiv PLC (the “Company”) for the period ended June 30, 2025, with the Securities and Exchange Commission on the date hereof (the “Report”), I, Varun Laroyia, Chief Financial Officer, certify, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002 to the best of my knowledge, that:

1. The Report fully complies with the requirements of section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
2. The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Date: July 31, 2025

/s/ Varun Laroyia

Varun Laroyia

Executive Vice President and Chief Financial Officer
(Principal Financial Officer)

A signed original of this written statement required by Section 906 has been provided to the Company and will be retained by the Company and furnished to the Securities and Exchange Commission or its staff upon request.